19-G-0309/19-G-0310 - 2-19-20 - Brooklyn Union Gas

CASE 19-G-0309 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

CASE 19-G-0310 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service

EVIDENTIARY HEARING

DATE: February 19, 2020

LOCATION: 19th Floor Hearing Room
Agency Building Three,
Empire State Plaza
Albany, New York

ALJ JAMES A. COSTELLO, DPS

ALJ MAUREEN F. LEARY, DPS

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(On the record, 9:02 a.m.)

A.L.J. COSTELLO: Okay. This is the sixth day of the evidentiary hearings in cases 19-G-0309 and 19-G-0310. We'll start with taking appearances and we'll start with the companies.

MR. MALONEY: Good morning, Your Honors, on behalf of the companies, my name is Kenneth Maloney of the law firm of Cullen & Dykman, LLP. Also appearing with me are Phillip Decicco and Patrick O'Brien of the companies.

A.L.J. COSTELLO: Department of Public -- Department of Public Service Staff.

MR. GOODRICH: Good morning, Your Honors. This is Brandon Goodrich, appearing with me is Nicholas Forst and also Raquel Parks will be joining us this morning.

A.L.J. COSTELLO: Okay. Good morning. Utility Intervention Unit.

MS. KASOW: From Department of State Utility Intervention Unit, this is Julian Kasow and Katie O'Hare.

A.L.J. COSTELLO: Good morning. Public Utility Law Project.

MR. BERKELEY: Good morning, Your

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Honors. This is Richard Berkley for the Public Utility Law Project and Lauri Wheelock is appearing with me.

A.L.J. COSTELLO: Good morning. City of New York.

MR. CONWAY: Adam Conway from the law firm of Couch White, LLP on behalf of New York City.

A.L.J. COSTELLO: Good morning. Is there anyone else here who's making an appearance today who I have not called? No. Hearing none, I guess we'll get started. And we're going to start with the Rate Design Panel, the company's Rate Design Panel.

MR. MALONEY: That's correct, Your Honor, the company's Rate Design Panel, which consists of Kellie Smith, Dawn Herrity and Howard S. Gorman. We'd also like to add to the panel this morning Elizabeth Arangio. Ms. Arangio is also the company's gas supply witness in this case.

The reason she's being added to the panel at this time is in the rebuttal testimony on pages 28 and 29, there's an issue that's raised concerning the calculation of the weighted average cost of gas and the incremental cost of gas and that

19-G-0309/19-G-0310 - 2-19-20 - Brooklyn Union Gas intersects between the responsibilities of the company's Rate Design Panel and gas supply. And so we'd ask Ms. Arangio is available to answer questions related to that.

A.L.J. LEARY: So I just have a quick question. Is this issue covered in Ms. Arangio's other testimony?

MR. MALONEY: No, it is not, Your Honor.

A.L.J. LEARY: Okay. Thank you.

THE REPORTER: And could you spell Ms. Arangio's name, please?

MR. MALONEY: Yes, it is A -- A-R-A-N-G-I-O.

MR. GOODRICH: Your Honors, before we go further, could we -- staff wanted to address the -- the city's Rate Design Panel which is scheduled for tomorrow, and that presently staff is the only party that's crossing -- that has requested cross and we're withdrawing that cross and I -- we wanted to just note this on the record and see if anyone else had cross.

A.L.J. COSTELLO: Okay. Does anyone else -- we don't have anyone else listed as having

cross? No. Not hearing anybody. Thank you. Mr. Goodrich, we'll correct the -- the schedule for tomorrow. And what I'm -- just want to remind everybody, once again, if you're speaking, the attorneys, please just state your name so that the court reporter can take it down, as well as the witnesses before you answer. Just try to remember to state your name. That way the court reporter can take the name down.

I'm going to ask you to start from the far side of me and just state your name and business address for the record?

A.L.J. LEARY: And just so you know, you're going to hear from me if I can't hear you, you need to speak directly into the microphone. You might have to move it around. It cannot hear you. I cannot hear you unless you speak directly into the microphone.

I also want to warn the panel about the use of acronyms. State the complete name of whatever you know, ETIP or whatever you want to talk about, and then you may use the shortened version, but the record has to reflect your use of both the first time you use them. So try to stay away from

acronyms to the extent possible unless there's a lot of testimony about an acronym and it's clear from the record that the court reporter will know what that acronym means. Thanks.

MS. HERRITY: Dawn Herrity, National Grid, 1 MetroTech Center, Brooklyn, New York 11201.

MS. SMITH: Kellie Smith, 300 Erie Boulevard West, Syracuse, New York.

MR. GORMAN: Howard Gorman, 25 Calthrop Avenue, Syracuse, New York.

MS. ARANGIO: Hi, Elizabeth Arangio, 40 Silver Hill, Waltham, Massachusetts.

A.L.J. COSTELLO: Okay. Please stand and raise your right hand? Do you swear or affirm that the testimony you will provide is the truth?

PANEL: Yes.

Dawn Herrity; Sworn

Kellie Smith; Sworn

Howard Gorman; Sworn

Elizabeth Arangio; Sworn

A.L.J. COSTELLO: You have to state it out loud, you can't shake your head just so.

THE WITNESS: (Smith) Yes.

A.L.J. COSTELLO: Okay, thank you.

You may be seated.

DIRECT EXAMINATION

BY MR. MALONEY:

Q. Good morning, panel, Kenneth Maloney on behalf of the companies. Panel, do you have before you a document consisting of 75 pages under a cover sheet titled, The Brooklyn Union Gas Company doing business as National Grid, New York, direct testimony of the Rate Design Panel?

A. Yes.

Q. Do you also have before you a document consisting of a cover sheet and 7 pages labeled Corrections and Updates Testimony of the Rate Design Panel?

A. Yes.

Q. Do you also have before you a document consisting of a cover sheet, table of contents and 74 pages under a cover sheet entitled, The KeySpan Gas East Corporation, doing business as National Grid, direct testimony of the Rate Design Panel?

A. Yes.

Q. And do you have before you a document consisting of a cover sheet and 8 pages,

19-G-0309/19-G-0310 - 2-19-20 - Brooklyn Union Gas also on behalf of KeySpan Gas East Corporation entitled, the Corrections and Updates Testimony of the Rate Design Panel?

A. Yes.

Q. And finally, do you have before you a document consisting of a cover sheet, table of contents, and 50 pages of testimony under the label of the Brooklyn Union Gas Company doing business as National Grid, New York, and KeySpan Gas East Corporation doing business as National Grid, rebuttal testimony of the Rate Design Panel?

A. Yes.

Q. And -- and were these testimonies prepared in connection with the company's initial filing, corrections and updates filings and rebuttal filings in this case?

A.L.J. COSTELLO: I just want to clarify. The rebuttal testimony that was corrected rebuttal testimony.

MR. MALONEY: Yes. It was corrected rebuttal testimony.

A.L.J. LEARY: What's the date of the corrections?

MR. MALONEY: Can you give us a

second, Your Honor.

A.L.J. LEARY: You can give that to me at the break.

MR. MALONEY: Okay.

A.L.J. LEARY: See what my problem is though.

MR. MALONEY: Yes.

A.L.J. LEARY: Okay.

MR. MALONEY: I'm sorry, Your Honor.

A.L.J. LEARY: Please proceed.

MR. MALONEY: Thank you.

A.L.J. LEARY: No worries.

BY MR. MALONEY: (Cont'g.)

Q. Do -- do you affirm that the testimony in your initial corrections and updates and rebut -- and corrected rebuttal testimony is true and correct?

A. Yes.

Q. And if I were to ask you the questions appearing in your direct corrections and updates and rebuttal testimony today, would your answers be the same?

A. Yes.

Q. And do you adopt this testimony

as your sworn testimony in these proceedings?

A. Yes.

MR. MALONEY: Your Honor, at this time, I'd ask that the direct corrections and updates and corrected rebuttal testimony be copied into the record as if orally given.

A.L.J. COSTELLO: That request is granted and at this point, the court reporter should insert the following files.

First one is KEDNY Rate Design Panel direct testimony. The second is KEDNY Rate Design Panel corrections and updates testimony. The third is KEDLI Rate Design Panel direct testimony. The fourth is KEDLI Rate Design Panel corrections and updates testimony. And the fifth is KEDNY-KEDLI Rate Design Panel corrected rebuttal testimony.

Before the Public Service Commission

The Brooklyn Union Gas Company d/b/a National Grid NY

Direct Testimony

of

The Rate Design Panel

Date: April 2019

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I. Introduction and Qualifications

Q. Please identify the members of the Rate Design Panel.

A. The Rate Design Panel ("Panel") consists of Kellie I. Smith, Dawn M. Herrity, and Howard S. Gorman. The Panel is testifying on behalf of The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY" or the "Company").

Q. By whom are the Panel employed and in what capacity?

A. (Ms. Smith) I am employed by National Grid USA Service Company, Inc. ("National Grid Service Company"), a subsidiary of National Grid USA ("National Grid"), as Manager of New York Gas Pricing. I am responsible for supervising the study, analysis, and design of delivery service rates, rate contracts, surcharge adjustment factors, riders, and terms and condition of service for National Grid's three New York gas utilities, KEDNY, KeySpan Gas East Corporation d/b/a National Grid ("KEDLI"), and Niagara Mohawk Power Corporation d/b/a National Grid ("NMPC").

(Ms. Herrity) I am employed by National Grid Service Company as Principal Program Manager of New York Gas Pricing. I am responsible for the management of the temperature controlled and interruptible programs, tariff compliance, and customer violations for KEDNY, KEDLI, and

NMPC. In addition, I serve as the regulatory liaison for escalated customer complaints and various customer-related issues regarding tariff rules and regulations. I also support regulatory affairs with regards to stakeholder outreach for rate cases and other regulatory initiatives.

(Mr. Gorman) I am the President of HSG Group, Inc., a consulting firm specializing in utility rate and regulatory matters.

Q. Please briefly describe the Panel's educational backgrounds and professional experience.

A. The educational backgrounds and professional experiences of the Panel members are set out in Exhibit ___ (RDP-15).

Q. Has any member of the Panel testified before the New York Public Service Commission ("Commission") or any other regulatory commissions?

A. (Ms. Smith) Yes. I have testified before the Commission in NMPC's 2012 electric rate case (Case 12-E-0201) and, most recently, in NMPC's 2017 gas rate case (Case 17-G-0239).

(Ms. Herrity) Yes. I have testified before the Commission in NMPC's 2012

gas rate case (Case 12-G-0202) and, most recently, in KEDNY and KEDLI's 2016 rate case (Cases 16-G-0058 and 16-G-0059).

(Mr. Gorman) Yes. I have testified before the Commission on behalf of KEDNY and other New York State utilities, as well as before regulatory commissions in other states.

II. Purpose of Testimony

Q. What is the purpose of the Panel's testimony?

A. The purpose of the Panel's testimony is to present the following topics related to KEDNY's rate design:

- Revenues for the Historic Test Year (twelve months ended December 31, 2018), which includes historic base delivery revenues, gas commodity revenues, revenue tax revenues, and other gas revenues;
- Forecast revenues for the Rate Year (twelve months ending March 31, 2021) and Data Years 1, 2, and 3 (twelve months ending March 31, 2022, 2023, and 2024, respectively);
- Results of the Embedded Cost of Service Study ("ECOSS") for the Rate Year;
- Proposed revenue allocation;

- The Company's proposed rate design for each service classification under KEDNY's tariff, PSC No. 12 – Gas ("Tariff");
- Proposed updates to the Company's lost and unaccounted for gas ("LAUF") target and dead band limits;
- Proposed modifications to the New York Facilities System ("NYFS") surcharge reconciliation;
- Proposed changes to the merchant function charge ("MFC");
- Proposed changes to the revenue decoupling mechanism ("RDM");
- Proposed modifications to tariff services, fees, and provisions;
- Proposed changes and updates to the Gas Safety and Reliability Surcharge ("GSRS") provisions in the Tariff;
- The Company's proposed changes to temperature-controlled ("TC") and interruptible ("IT") service classifications;
- Proposed changes to the System Benefits Charge ("SBC");
- The Company's proposal for a Green Gas Tariff offering;
- Proposed recovery of the Company's Earnings Adjustment Mechanism ("EAM") incentives;
- Proposed changes to the Company's Uncompressed Natural Gas Vehicle ("NGV") rate;
- Commitments from KEDNY's most recent rate case, Case 16-G-

0059 ("2016 KEDNY Rate Case");

- Results of the Gas Marginal Cost Study ("MCS"); and
- Levelization options for a multi-year rate plan.

Q. Is the Panel sponsoring any exhibits in support of its testimony?

A. Yes. The following exhibits were prepared by or under the supervision of one or more of the members of the Panel:

- Exhibit ___ (RDP-1) sets forth the Company's Historic Test Year revenues by service class.
- Exhibit ___ (RDP-2) provides the Company's revenue forecast at current delivery rates, by service class, for the Rate Year and Data Years, and sets forth the proposed changes to miscellaneous and other revenues.
- Exhibit ___ (RDP-3) is the ECOSS.
- Exhibit ___ (RDP-4) presents the Company's proposed revenue allocation, rate design, and customer bill impacts.
- Exhibit ___ (RDP-5) presents the calculation of the LAUF target and the associated dead band.
- Exhibit ___ (RDP-6) sets forth the proposed MFC.
- Exhibit ___ (RDP-7) sets forth the proposed revenue per class targets for the Company's RDM.

- Exhibit ___ (RDP-8) presents the Tariff fees.
- Exhibit ___ (RDP-9) presents the Company's MCS.
- Exhibit ___ (RDP-10) presents an example of the EAM surcharge calculation.
- Exhibit ___ (RDP-11) presents the Company's Inclining Block Study.
- Exhibit ___ (RDP-12) presents an ECOSS using 100 percent demand classification for the cost of mains per the commitment in the 2016 KEDNY Rate Case.
- Exhibit ___ (RDP-13) contains the updated TC/IT interruptibility matrix.
- Exhibit ___ (RDP-14) presents the updated electric generator revenue target.
- Exhibit ___ (RDP-15) contains the resumes of the Panel members.
- Exhibit ___ (RDP-16) contains workpapers supporting various exhibits illustrating a multi-year settlement.

III. Historic Test Year Revenues

Q. Please discuss the Company's Historic Test Year revenues.

A. The Historic Test Year revenues were $1,853,803,928. Exhibit ___ (RDP-1) sets forth the base delivery revenue for each service classification in the

Historic Test Year. The exhibit also includes a summary of the revenue adjustments, including the Energy Affordability credit, MFC revenue, 18-A Temporary Assessment surcharge revenue, RDM reconciliation, SBC revenue, which consists of Clean Energy Fund ("CEF") revenue and Energy Efficiency Surcharge ("EES") revenue, GSRS, electric generator revenue, and TC/IT reconciliations. In addition, the exhibit summarizes commodity revenue and revenue taxes by service classification as well as Other Gas Revenue included on the Company's books for the Historic Test Year.

IV. Rate Year Revenue Forecast

Q. What are the total revenues projected for the Rate Year?

A. The Company's total projected Rate Year revenues are $1,805,644,861 based on current delivery rates and surcharges, as compared to Historic Test Year revenues of $1,853,803,928. The forecast revenues were calculated by applying the applicable 2019 rates to the forecast billing determinants derived from the sales forecast provided by Company Witness Theodore Poe, Jr. Details of the Rate Year revenue forecast is shown in Exhibit ___ (RDP-2), Schedule 1.

Q. Please describe Exhibit ___ (RDP-2), Schedule 1.

A. Exhibit ___ (RDP-2), Schedule 1, sets forth the forecast Rate Year revenues

based on current rates approved in the 2016 KEDNY Rate Case. The revenues consist of base delivery revenue, commodity revenue, and revenue taxes. The exhibit also shows additional revenue components, including the MFC, EES, CEF revenue, electric generator revenue, and Tax Reform Surcredits ("TRS"). In addition, the exhibit includes Other Gas Revenue.

The exhibit also includes the customer count and delivery forecasts developed by Company Witness Theodore Poe, Jr. As discussed in Mr. Poe's testimony, the Company's delivery forecast projects a certain level of growth in load demand during the Rate Year. The Company developed its forecast Rate Year revenue based on this delivery forecast under the assumption that the Company will have sufficient gas supply to meet the forecast demand. As discussed in the direct testimony of Company Witness Elizabeth D. Arangio, the Company's current supply planning portfolio assumes that the Northeast Supply Enhancement ("NESE") project will be completed by the winter of 2020/21 to provide the Company sufficient gas supply to meet the projected demand while maintaining system reliability. If NESE is not available by the 2020/21 winter season, the Company will not be able to prudently serve additional load and would need to impose a moratorium on new or additional requests for natural gas. If a moratorium is required, the Company will update its forecasts.

Q. Please explain how the Company developed its base delivery revenue forecast for the Rate Year.

A. For firm sales and transportation service classifications (SC 1, 2, 3, 4A, 4A-CNG, 4B, 7, and 21), the base delivery revenue forecast was developed based on the forecast number of customers and deliveries. Deliveries were allocated to the usage blocks within each service class using an ogive analysis, which uses historic bill frequencies to develop a cumulative percentage distribution for usage levels within a service classification. This cumulative distribution is then used to allocate the forecast deliveries into the usage blocks for each service classification, after which the deliveries can be priced at the applicable rate for the particular block.

As discussed in detail below, the Company is proposing a new service classification (SC 22) that blends all TC and IT customers (formerly SC 5A and SC 6). The revenue forecast for the new non-firm demand response class under SC 22 was not based on an ogive analysis because the rate structure consists of a customer charge and a single volumetric block. The SC 6 revenue forecast was used to develop rates for SC 22.

Q. How were the remaining revenue forecast components developed,

specifically for the MFC, CEF, EES, and TRS?

A. These additional revenue components are separate surcharges that are applied to specific service classes as described in the Tariff. The Company developed the revenue forecast for these components by applying specific unitized rates to appropriate service class delivery volumes. The MFC surcharge, which is designed to recover gas supply-related costs, was developed based on the New York Mercantile Exchange ("NYMEX") forward gas prices as of December 26, 2018.

The SBC, consisting of the EES (also referred to as the Efficiency Transition Implementation Plan ("ETIP") charge) and the CEF surcharge, is designed to recover the costs associated with the Company's energy efficiency programs. The revenue forecast for the SBC was developed based on a projection of the Company's New York State Energy Research and Development Authority ("NYSERDA") and energy efficiency program expenses in the Rate Year. As further discussed below, the Company is proposing to move the ETIP costs (recovered through the EES) into base rates, so the EES will be eliminated and the forecast revenue included in the proposed rate design.

The TRS was designed to credit customers for tax savings as a result of the

federal tax law change enacted in 2017 after delivery rates were approved in the 2016 KEDNY Rate Case. The TRS forecast was allocated to customers based on their contribution to delivery revenue. Beginning in the Rate Year, the Company will eliminate the TRS as the impacts of the federal tax reform will be reflected in the revenue requirement.

Q. How were the commodity revenues and the revenue tax forecasts developed?

A. The gas commodity revenue forecast was developed based on the NYMEX forward gas prices as of December 26, 2018. The Gas Adjustment Clause ("GAC") factors were applied to the forecast sales volumes. Revenue taxes were developed by applying the applicable gross revenue tax rate to the revenues.

Q. How was the forecast of Other Gas Revenues developed?

A. The Company developed the Rate Year forecast of Other Gas Revenue components as follows:

- Late payment charge revenue was developed by calculating the Historic Test Year's late payment charge as a percentage of total revenues and applying that percentage to the projected Rate Year revenues.

- The Economic Development (Edgar) Discounts forecast was developed using the Historic Test Year amounts in the Rate Year.
- Rent from property was developed by reviewing invoices from the Historic Test Year to determine the applicable length and terms of the agreements.
- The NYFS revenue forecast was determined by calculating the payables to (or receivables from) KEDLI and payables to Consolidated Edison Company of New York, Inc. ("Con Edison") pursuant to the parties' May 1, 2018 agreement ("NYFS Agreement"). In Exhibit ___ (RDP-2), the NYFS forecast revenue appears on the "Joint Facilities" line.
- Miscellaneous revenue forecast (fees, field collection, check fees, notice fees, reconnect fees, and right of access) was developed by applying the inflation factor to the Historic Test Year values.
- Billing service fee was calculated by applying $1.42 per account per month.
- Miscellaneous third-party revenue forecast was developed by applying the inflation factor to the Historic Test Year values.
- Supervision and administrative burdens are forecast by applying the inflation factor to the Historic Test Year values.
- The Newtown Creek Project revenue forecast includes estimated

revenue from gas sales and environmental attributes.

- The geothermal revenue forecast includes estimated revenue per customer per year, allocated between KEDNY and KEDLI.

V. Embedded Cost of Service Study

A. Purpose of ECOSS and Overview of Methodology

Q. What is an ECOSS and what is its purpose?

A. The purpose of an ECOSS is to apportion a utility's total revenue requirement, including plant and other investments, operating expenses, depreciation, and taxes among the rate classes served by the utility. The ECOSS computes, for each class, the revenue that must be collected from that class to produce the system average rate of return on rate base. This information provides guidance in revenue allocation and in the development of rates.

Q. Please summarize the methodology employed for the ECOSS.

A. The ECOSS is prepared by analyzing each element of the utility's revenue requirement and assigning or allocating it among the rate classes. The ECOSS was performed using a specialized model developed by HSG Group. This model uses the traditional three-step process as follows:

- Functionalization – Each of the Company's costs and expenses, as

well as rate base components, are assigned or allocated among each of the gas functions identified in Appendix A to the Commission's November 9, 2001 Order in Case 00-M-0504.

- Classification – Each functionalized cost element is separated into demand, commodity, and customer cost categories.
- Class allocation – Each functionally classified cost element is assigned or allocated among one or more of the Company's rate classes.

Q. Please describe the functionalization step of the ECOSS.

A. In the functionalization step, cost elements are separated among the utility's basic service functions by determining what physical purpose each cost element serves.

Q. What are the functions included in the ECOSS?

A. The functions included in the ECOSS are:

- Supply and Storage – availability and supply of gas and storage to meet seasonal and daily peak demands;
- Transmission – moves gas from supply and storage sources to localized distribution facilities;
- Distribution – moves gas from the transmission system to

customers' premises (includes service lines);

- Metering and Billing – connects customers to the system, measures their usage and demand, and bills for the services provided;
- Collections;
- Sales Promotion; and
- Procurement.

Q. Please describe the classification step of the ECOSS.

A. The Company's gas distribution system is designed to meet three primary objectives:

1. Connect customers to the Company's distribution system;
2. Meet the aggregate peak design day capacity requirements of all customers entitled to service on the peak day; and
3. Deliver natural gas commodity to customers, whether they are sales or transportation customers.

Based on these objectives, each functionalized cost element is classified as being customer-related, demand-related, or commodity-related, depending on which of the foregoing objectives it serves.

Cost elements classified as customer-related are incurred to attach a customer to the distribution system, meter gas usage, and maintain the

customer's account. Customer-related cost elements are primarily a function of the number of customers served and are incurred by the Company whether or not an individual customer uses any gas. Such costs may include capital costs associated with the customer component of distribution mains, as well as costs for services, meters and metering, billing, customer service, and accounting and collection activities.

Demand or capacity related cost elements are associated with plant that is designed, installed, and operated to meet peak hourly or daily customer gas flow requirements. Demand-related components include transmission and distribution mains, localized distribution facilities, and dedicated facilities that are designed to satisfy individual customer maximum demands. Demand-related cost elements are allocated among the classes based on their contributions to the peak demand for which the system is designed.

Cost elements classified as commodity-related generally vary with the volume of gas sold or delivered (*i.e.*, throughput) to customers. Costs related to obtaining gas supply are classified as commodity-related.

Q. How were costs functionalized to Supply-Storage classified?

A. The classification step for Supply-Storage separated those costs into costs recovered through the GAC, and other costs related to supply and storage. The amount of costs recovered through the GAC was equal to the GAC revenue.

Q. Please describe the process for determining how much of the investment in mains should be considered customer-related versus demand-related.

A. Distribution mains are installed to connect customers to the distribution system (customer-related) as well as to provide capacity to meet customer requirements on the design day (demand-related). Therefore, the cost of mains is classified as partly customer-related and partly demand-related. Based on the results of its minimum-system study, the Company estimated the customer component of mains to be 47.08 percent and the demand component 52.92 percent. The customer component was allocated among the customer classes based on the number of customers. The demand component was allocated among the customer classes based on their contribution to design-day demand.

Q. Please describe how the minimum-system study was performed.

A. Minimum-system studies are a widely accepted method to classify mains

between customer- and demand-related costs. The customer-related component is the portion of cost representing the least-cost system the utility would install simply to connect customers, without regard to the need to meet demand.

The analysis begins by obtaining from plant and accounting records the cost of mains the utility has installed in recent years, detailed by material (plastic, steel, and cast iron), length, and diameter. Then the installed cost per foot is computed for each material/diameter type.

The minimum system ratio is computed as the ratio of (X), the cost of replacing the entire mains distribution system with the minimum component, which is two-inch plastic, to (Y), the cost of replacing the entire mains distribution system with plastic of the same diameter as-installed.

This produced a minimum system ratio of 47.08 percent, which represents the portion of total mains cost simply to connect customers without regard to meeting their design-day demands (*i.e.*, customer-related costs).

Q. Please explain the allocation step of the ECOSS.

A. In the allocation phase of the ECOSS, the cost elements that have been

functionalized and classified are allocated among the service classes. There are two types of allocation factors, or allocators, that are used for this purpose: external allocators and internal allocators. External allocators are based on special studies derived from data in the Company's accounting and other records. For example, the number of customers by service class is an external allocator that was used in the Company's ECOSS to allocate some of the customer care costs. Other examples of external allocators include annual deliveries, design day requirements, and historic bad debt experience. Internal allocators are based on some combination of external allocators, costs that are directly assigned, and other internal allocators. For example, the allocator for property insurance expense is based on plant investment assigned to each service class; therefore, it is necessary to compute plant investment by service class before property insurance costs can be allocated among the classes.

Q. Which service classes were identified for purposes of the allocation phase?

A. In the allocation phase of the ECOSS, the functionalized, classified cost elements were allocated among the service classifications shown in the table below.

Service Class
SC 1A – Residential Non-Heat
SC 1B – Residential Heat
SC 1BDG – Residential Distributed Generation
SC 2-1 – General Service Non-Heat
SC 2-2 – General Service Heat
SC 3 – Multi-Family
SC 4A – High Load Factor Service
SC 4A-CNG – Compressed Natural Gas Service
SC 4B – Year-round AC Non-Residential
SC-5A – On System Large Volume Interruptible
SC-6 – Temperature Controlled
SC 7 – Seasonal Off-Peak
SC 21 – Baseload DG

Q. Did the Panel prepare an exhibit that shows the allocators used for each cost element?

A. Yes. Exhibit ___ (RDP-3), Schedule 7A presents the allocator used for each cost element for each step of the ECOSS – functionalization, classification, and class allocation.

B. ECOSS Results

Q. Please explain Exhibit ___ (RDP-3).

A. Exhibit ___ (RDP-3) presents the ECOSS for the Rate Year. It is composed of the following schedules:

- Schedule 1 is a summary of the ECOSS results, discussed below.

- Schedule 2 summarizes the results of the class allocation step of the ECOSS and shows how each element of the total distribution revenue requirement is allocated among the services classes.
- Schedule 3 presents unit costs, indicating for each function the unit rates each class would be charged if it produced the system average rate of return.
- Schedule 4 presents the functionalization step of the ECOSS. The cost elements include plant, depreciation reserve, and other components of rate base, O&M expenses, depreciation expense, other taxes, income taxes, revenue, and return. The total distribution revenue requirements are presented using the Federal Energy Regulatory Commission ("FERC") Uniform System of Accounts.
- Schedule 5 presents the classification step of the ECOSS for Supply/Storage (classified between demand and commodity) and Distribution functions (classified between demand and customer). The cost elements are the same as for the functionalization step. Classification is not shown for Transmission or Procurement, because they are 100 percent demand-related, or for Metering/Billing, Collections, or Sales Promotion, which are 100 percent customer-related.

- Schedule 6 presents the class allocation step of the ECOSS. The cost elements are the same as for the functionalization and the classification steps. Separate schedules are included, as follows:
    - Schedule 6A – Supply-Storage, Non-GAC
    - Schedule 6B – Supply-Storage, GAC
    - Schedule 6C – Collections
    - Schedule 6D – Transmission
    - Schedule 6E – Distribution Demand-Related
    - Schedule 6F – Distribution Customer-Related
    - Schedule 6G – Billing
    - Schedule 6H – Sales Promotion
    - Schedule 6I – Procurement
- Schedule 7A presents the allocator used for each cost element for each step of the ECOSS-functionalization, classification, and class allocation.
- Schedules 7B, 7C, and 7D present, respectively, the values for each functionalization factor, classification factor, and class allocation factor.
- Schedule 8 presents the calculation of external allocation factors; a list of the schedules included is on the first page of the schedule.
- Schedule 9 describes the methodology used to prepare the ECOSS.

Q. Please summarize the results of the ECOSS.

A. Exhibit ___ (RDP-3), Schedule 1 presents by service class the revenue at present rates, rate of return on rate base at present rates, the revenue needed for the class to achieve the overall rate of return that the Company is requesting in this proceeding, and the increase or decrease to revenue at current rates, both in dollars and percent, needed for the class to achieve that rate of return. This information provides guidance for allocation of the Company's proposed revenue increase and rate design.

Q. For what period was the ECOSS prepared?

A. The Company's ECOSS reflects the Rate Year.

VI. Revenue Allocation, Rate Design, and Customer Bill Impacts

A. Exhibits

Q. Please summarize the exhibits relating to the Company's proposed revenue allocation, rate design, and bill impacts.

A. Exhibit ___ (RDP-4) presents and supports the Company's proposed revenue allocation, rate design, and resulting bill impacts.

- Schedule 1 presents the development of the Company's proposed revenue allocation by service class, which is discussed below.

- Schedule 2 is the reconciliation of the revenue requirement in the ECOSS to the Company's total revenue requirement, and reconciliation of the total increase to the components represented by change in delivery revenue, change in MFC, and change in other revenue.
- Schedule 3 details the specific delivery rate changes proposed for each rate block for each service class, also discussed in detail below.
- Schedule 4 provides monthly bill comparison tables that show the net impact of the proposed rates for the Rate Year at different monthly consumption levels for the following service classifications: SC 1A, SC 1AR, SC 1B, SC 1B-DG, SC 1BR, SC 2-1, SC 2-2, SC 3, SC 4A, SC4A-CNG, SC 4B, SC 7, and SC 21.
- Schedule 5 provides the estimated total annual bill impact of the proposed rates for the Rate Year for a typical SC 1B – Residential Heating customer.
- Schedule 6 presents the proposed MFC components from the ECOSS.

B. <u>Revenue Allocation</u>

Q. Please summarize the methodology used to develop the Company's revenue allocation.

A. In developing the Company's proposed revenue allocation, the Panel considered the costs to provide the type and quality of service required by each service class as determined in the ECOSS. The proposed revenue allocation is intended to produce revenue from each service class that will move the service class rate of return closer to the overall rate of return that the Company is requesting, a concept known as "unity," while mitigating extreme impacts on customer groups, a concept known as "gradualism."

As presented in the testimony of KEDNY's Revenue Requirements Panel, the Company's revenue requirement is $2,052.1 million ($1,977.1 million without revenue taxes), representing an increase of $264.6 million ($254.9 million without revenue taxes) over revenue at present rates (*See* Exhibit ___ (RRP-1), page 2). After reflecting the effects of changes in other revenue items (MFC, Billing Service Fees, elimination of the TRS and EES), the Company requires base delivery revenue of $1,194.2 million, an increase of $237.2 million. Please refer to Exhibit ___ (RDP-4), Schedule 2, page 1 for details. The total delivery revenue impact is a $236.8 million increase, which equates to a 19.3 percent increase. Please refer to Exhibit ___ (RDP-4), Schedule 2, page 2 for details.

The allocation of the overall delivery revenue increase of $237.2 million,

and the development of class revenue targets, is presented on Exhibit ___ (RDP-4), Schedule 1. This is an increase of 20.3 percent over pro forma base delivery revenue at present rates. Pro forma delivery revenue equals delivery revenue based on forecast customer count and volume at present rates (line 1), adjusted to reflect the elimination of the TRS and the EES (lines 2-3). The TRS and the EES are included in the revenue requirement but will not be assessed as a surcharge/credit mechanism going forward. Instead, they will be included in delivery rates going forward. The average rate of return was 3.45 percent (line 11).

To allocate the increase among the rate classes, the Panel employed the same methodology as in past cases. First, a tolerance band was developed for classes whose returns at present rates were close to the Company's overall rate of return at present rates. Using a tolerance band is intended to avoid disputes about minor issues in the ECOSS. The tolerance band was a rate of return 0.75 times the average at the low end and 1.25 times the average at the high end, or 2.59 percent and 4.32 percent, respectively. The classes within the tolerance band were SC 1B and SC 2-2. Revenue targets for these classes were 19.90 percent increases over pro forma revenue at present rates.

Next, service classes with returns above the tolerance band (SC 2-1, SC 4A-HLF, SC 4A-CNG, and SC 4B) were assigned revenue targets five percent over pro forma revenue at present rates. SC-22 and SC 18-22, which are the new combined TC/IT service classifications as further discussed below, were was assigned a revenue target of two percent over pro forma revenue at present rates because its current return is noticeably higher than any other class.

Service classifications with returns below the tolerance band (SC 1A, SC 1B-DG, SC 3, SC 7, and SC 21) were assigned revenue targets 28.2 percent over pro forma revenue at present rates. This information is present on Exhibit ___ (RDP-4), Schedule 1, page 1.

Q. Did the Panel compare total proposed delivery revenue to the revenue requirement?

A. Yes. The reconciliation of delivery revenue at current rates to proposed delivery revenue is shown on Exhibit ___ (RDP-4), Schedule 2**.**

Q. Did the Panel compute rates of return at the proposed class revenue targets?

A. Yes. The rates of return are on Exhibit ___ (RDP-4), Schedule 1, line 52.

Q. Does the proposed revenue allocation move the classes closer to the system average rate of return?

A. Yes. Each class makes progress towards unity (the system average rate of return), as shown on Exhibit ___ (RDP-4), Schedule 1, line 55.

Q. How was the MFC reflected in the revenue allocation?

A. The Company is proposing to collect a total of $16.6 million through the MFC. In determining the amount to be collected in delivery rates, the proposed MFC revenue is excluded (Exhibit ___ (RDP-4), Schedule 1, line 17). The MFC proposed revenue is then added back for each rate class (line 42) to compute the return at current rates.

C. Rate Design

Q. What considerations were used in developing the Company's proposed rates?

A. The Panel considered the following in developing the proposed rates:

- To collect the revenue target established for each service class in the revenue allocation process.
- To avoid severely disproportionate impacts on customer subgroups within a class.

- To provide signals to customers to reflect the effects of their usage on the overall system, including supporting conservation.

Q. How were the proposed rates developed for SC 1A – Residential Non-Heat?

A. For SC 1A, the minimum charge was set to $19.50 per month, a small increase over the current customer charge. This service class has low usage per customer and, therefore, it is not feasible to put the entire increase in the volumetric rates. The modified rate design adjusts the two blocked volumetric rates such that the ratio of the mid-block rate to the tail-block rate is less than it is at present.

Q. How were the proposed rates developed for SC 1B – Residential Heat?

A. For SC 1B, the minimum charge was set to $24.25 per month, a small increase over the current customer charge. The modified rate design adjusts the two blocked volumetric rates such that the ratio of the mid-block rate to the tail-block rate is less than it is at present.

Q. How were the proposed rates developed for SC 1B-DG – Residential Distributed Generation ("DG")?

A. For SC 1B-DG, the minimum charge was set to $37.00 per month, a modest

increase over the present charge. The one-block volumetric rate was set to produce the balance of the class revenue target.

Q. How were the proposed rates developed for SC 2-1 – Non-Residential Non-Heat?

A. For SC 2-1, the minimum charge was increased slightly to $38.70, and each of the three blocked volumetric rates was increased by approximately the same percentage to produce the class revenue target.

Q. How were the proposed rates developed for SC 2-2 – Non-Residential Heat?

A. For SC 2-2, the minimum charge was increased to $41.00. The three blocked volumetric rates were each increased so that the ratio from one rate to the next is less than it is at present.

Q. How were the proposed rates developed for SC 3 – Multi-Family?

A. For SC 3, the minimum charge was increased to $44.25. The two blocked volumetric rates were each increased so that the ratio of the mid-block rate to the tail-block rate is less than it is at present.

Q. How were the proposed rates developed for SC 4A – High Load Factor

("HLF")?

A. For SC 4A-HLF, the minimum charge was increased to $280.00 per month. This is approximately ten percent of the total customer-related costs for the service classification and represents a modest increase from the current customer charge. The current rate structure has two volumetric blocks with rates that are very close. The proposed rates have a single block that is about the same as the present first block, which eliminates the declining block structure.

Q. How were the proposed rates developed for SC 4A-CNG – Compressed Natural Gas?

A. For SC 4A-CNG, the minimum charge was increased to $280.00 per month, which is approximately seven percent of the total customer-related costs and represents a modest increase. Similar to SC 4A – HLF, the current rate structure has two volumetric blocks with rates that are very close. The proposed rates have a single block that is about the same as the present first block, which eliminates the declining block structure.

Q. How were the proposed rates developed for SC 4B – Year Round AC?

A. For SC 4B, the minimum charge was increased to $133.00 per month, a very small increase. The two blocked volumetric rates were each increased

so that the ratio of the mid-block rate to the tail-block rate is about the same as at present.

Q. How were the proposed rates developed for the new non-firm demand response service classification?

A. Currently, non-firm demand response (TC/IT) customers are served under SC 5A and 6. Pursuant to the Commission's "Order Approving Tariff Revisions and Directing Further Tariff Filings" issued on February 7, 2019 ("TC/IT Order") in Cases 16-G-0058 and 16-G-0059, the Company is implementing a single service classification (SC 22) with two tiers that includes both TC and IT customers (Tier 1 interruptible at 15 degrees Fahrenheit, and Tier 2 at 20 degrees Fahrenheit). In recent years, an average of eight days per year were 15 degrees or below and an average of 18 days per year were 20 degrees or below.

The proposed minimum charge is $375.00 for all SC 22 customers, compared to the present charges of $300.00 for smaller non-firm customers and $375.00 for larger non-firm customers. The proposed charge is less than 50 percent of the customer-related costs for the service classification.

For Tier 1, a single rate was developed at $0.3174. This rate is lower than

the current rate for SC 6M – Multi-family ($0.3238), as well as SC 6C – Commercial and SC 6G – Government ($0.3837). It is also much lower than the proposed tail block rates for the comparable firm service classes, SC 2-2 and SC 3.

For Tier 2, the proposed rate is $0.3015, which a reduction of five percent from the Tier 1 rate reflecting the lower level of service because Tier 2 customers would be interrupted at a higher temperature than a Tier 1 customer.

Exhibit ___ (RDP-4), Schedule 7 provides illustrative examples for both Tier 1 and Tier 2 customers comparing the proposed non-firm rates for a sales customer to the otherwise applicable firm rates at different usage levels. These illustrative examples show that a non-firm sales customer will pay less on the proposed non-firm rates than the otherwise applicable proposed firm rates.

The Company is also proposing to expand eligibility for Company-sponsored energy efficiency programs to include non-firm customers. If this proposal is approved, the Company will reallocate ETIP costs to include non-firm customers, which will increase delivery rates for non-firm

customers to account for their allocable portion of the ETIP costs.

Q. How were the proposed rates developed for SC 7 – Seasonal?

A. For SC 7, the minimum charge was increased to $45.00, a modest increase. The balance of the class revenue target is recovered in a single volumetric block.

Q. How were the proposed rates developed for SC 21 – DG Sales?

A. SC 21 has different minimum charges based on the capacity of the customer's DG installation and different volumetric charges based on the capacity and season. There is also a demand charge based on the customer's installed capacity. The rates are not blocked based on usage levels. Each of the present rates was increased by the same percentage.

D. Customer Bill Impacts

Q. Please describe the impact of the Company's rate design proposals on typical customer bills in the Rate Year.

A. The Company evaluated the impact of its rate design proposals on customer bills in the Rate Year using two approaches. First, for each service classification, the Company prepared monthly bill comparison tables that show the net change to customers' monthly delivery and gas commodity

charges for different levels of usage as set forth in Exhibit ___ (RDP-4), Schedule 4. Second, the Company evaluated the annual Rate Year bill impact for an average SC 1 residential heating customer. As shown on Exhibit ___ (RDP-4), Schedule 5, pages 1 and 2, an average residential heating customer is estimated to see an annual total bill increase of 12.2 percent.

VII. Lost and Unaccounted for Gas

Q. Is the Company updating its LAUF target?

A. Yes. As shown on Exhibit ___ (RDP-5), the Company's LAUF target has been updated to reflect the experience of the last five GAC years (twelve-month periods ended August 31, 2014, 2015, 2016, 2017, and 2018) using the methodology adopted in the 2016 KEDNY Rate Case. This is also consistent with the LAUF White Paper published by the Department of Public Service Staff in Case 12-G-0544. The updated LAUF target is 2.432 percent with a standard deviation of ±0.540 percent. The deadband is equal to ±2 standard deviations from the LAUF target, with an upper band of 3.512 percent and a lower band of 1.353 percent. The Company will reconcile its performance under the LAUF incentive as part of its annual Gas Cost Reconciliation filing.

Q. Is the Company proposing any changes to the current LAUF mechanism?

A. Yes. First, the Company is proposing to discontinue the inactive account adjustment beginning on September 1, 2020. Second, the Company is proposing to implement the updated LAUF targets effective September 1, 2020. Third, the Company is changing its factor of adjustment calculation.

Q. Why is the Company proposing to remove the inactive account adjustment?

A. In accordance with the Joint Proposal in the 2016 KEDNY Rate Case, beginning on September 1, 2017, the Company adjusted the annual LAUF calculation for an estimate of gas usage associated with inactive meters. However, the adjustment for inactive accounts double counts the impacts of inactive accounts in the LAUF calculation. Because an inactive account is an account that has gas flowing without a customer of record, it would not be included in metered deliveries when the Company calculates the actual LAUF. Therefore, inactive account usage is already increasing the Company's losses, and to the extent that actual LAUF is above the upper deadband, the Company incurs a penalty for inactive account usage. For this reason, the Company believes that the requirement to adjust actual LAUF for inactive account usage is unnecessary.

Q. Why is the Company proposing to make the updated LAUF target effective on September 1, 2020?

A. The Company's current LAUF targets become effective on January 1 of each year, which creates the need to develop a blended LAUF target for the annual reconciliation. The Company is proposing to change the effective date of the updated LAUF target to September 1 beginning in 2020 so that the change coincides with the GAC year ending August 31 of each year.

Q. What changes is the Company proposing to the factor of adjustment calculation?

A. Currently, the factor of adjustment used to gross up gas deliveries for LAUF is calculated as the constant 1.0 plus the LAUF percentage. The Company is proposing to change the calculation to 1.0 divided by 1.0 minus the LAUF percentage to more appropriately reflect distribution line losses. This revised calculation is consistent with how the factor of adjustment is calculated for NMPC as updated in Case 17-G-0239.

VIII. New York Facilities System

Q. Please describe the NYFS.

A. The NYFS is a high-pressure gas transmission system that spans the service territories of KEDNY, KEDLI, and Con Edison (collectively, the "NYFS Companies") and interconnects the NYFS Companies with the interstate pipelines that serve the New York metropolitan region. Gas received into the NYFS from the interstate pipelines is delivered directly, and/or by displacement, to the NYFS Companies. The carrying costs and operation and maintenance costs associated with the NYFS ("NYFS costs") are allocated among the NYFS Companies pursuant to the NYFS Agreement.

Q. How does the Company currently recover NYFS costs from customers?

A. Currently, the Company's share of NYFS costs are included in revenue requirements and recovered from customers in firm delivery rates. In accordance with the "Order Regarding NYFS Agreement" issued October 18, 2018 in Case 18-G-0318, the Company reconciles actual costs to the amounts included in base rates. Any over or under recoveries are included in the NYFS surcharge mechanism included on the Statement of NYFS Surcharge.

Q. Is the Company proposing any changes to how it recovers and reconciles NYFS costs?

A. The Company included an estimated net cost of $8.84 million for the Rate Year as a negative revenue item on Exhibit ___ (RDP-2). If actual net costs incurred in the Rate Year vary from the amount included in base rates, the Company proposes to continue to reconcile the difference annually through the Statement of NYFS Surcharge. The only change the Company is proposing is relative to the timing of the reconciliation. Currently, the NYFS costs are reconciled on a calendar year basis, with any over or under recoveries reconciled through the NYFS surcharge beginning April 1 of each year. The Company proposes to change the reconciliation to a fiscal year ("FY") basis (twelve months ending March 31) to align with the timing of the net costs included in base rates. The new proposed effective date of the reconciliation will be on July 1 of each year. To facilitate the transition, the stub period (January to March 2020) will be included in the reconciliation of FY 2021.

IX. Merchant Function Charge

Q. Please describe the Company's current MFC.

A. The MFC is designed to recover certain expenses associated with the Company's role of providing gas procurement functions for (i) customers who take firm sales service under SC 1 – Residential, SC 2 – General, SC 3 – Multi Family, SC 4A – HLF, SC 4A-CNG – Natural Gas Vehicle

Wholesale, SC 4B – Year Round Air Conditioning Service, SC 7 – Seasonal Off-Peak Service, and SC 21 – Baseload Distributed Generation; (ii) customers who take transportation service under SC 17 – Firm Transportation Service; (iii) TC and IT sales customers; and (iv) ESCOs that participate in the Company's Purchase of Receivables ("POR") program. Specifically, for the firm sales customers, the MFC is designed to recover the costs associated with gas supply procurement, commodity-related credit and collection expenses, commodity-related uncollectible expenses, return requirement on gas purchase-related working capital, the return requirement on gas storage inventory, and commodity related working capital expenses. For firm transportation customers, the MFC is designed to recover the return requirement on gas storage inventory that the Company manages on behalf of these customers. For TC and IT sales customers, the MFC is designed to recover the costs associated with gas supply procurement, commodity-related credit and collection expenses, commodity-related uncollectible expenses, and return requirement on gas purchase-related working capital.

Q. What components of the MFC are applicable to ESCOs that participate in the Company's POR program?

A. Consistent with the Commission's "Order Requiring Modifications to Billing Services Agreements" in Case 06-G-1185 (issued September 25, 2009), ESCOs that participate in the Company's POR program are charged for the commodity-related uncollectible costs and credit and collection expenses.

Q. Is the Company proposing any changes to its MFC?

A. Yes. The Company is proposing to update the MFC to reflect the most recent target.

Q. Did the Company prepare a summary of total MFC revenues for the Rate Year?

A. Yes. Exhibit ___ (RDP-6), Schedule 1 summarizes all the MFC components for the Rate Year, as well as for the GAC year, which aligns with the Company's Cost of Gas reconciliation.

Q. Has the Company updated its calculation of gas supply procurement expense?

A. Yes. Exhibit ___ (RDP-6), Schedule 3, page 1 shows the Company's updated gas supply procurement expenses to reflect the Rate Year revenue requirement. As shown on the exhibit, the updated gas supply procurement

expenses total for GAC year is $2,571,148, and the per dekatherm rate is therefore set at $0.02473. Consistent with the current mechanism, the Company will reset the gas supply procurement expense per dekatherm charge annually based on the latest sales forecast and reconcile revenue to the target as shown on Exhibit ___ (RDP-6), Schedule 3, page 1. Additionally, Exhibit ___ (RDP-6), Schedule 2, Page 1 summarizes the annual target from the Rate Year into the GAC year.

Q. Did the Company update its calculation of the commodity-related credit and collection expense?

A. Yes. Exhibit ___ (RDP-6), Schedule 3, page 2 shows the updated commodity-related credit and collection expense to reflect the Rate Year revenue requirement. As shown on the exhibit, updated commodity-related credit and collection expenses total for the GAC year is $3,730,227, and the per dekatherm rate is therefore set at $0.02224. Consistent with the current mechanism, the Company will reset the commodity-related credit and collection expenses total per dekatherm charge annually based on the latest sales forecast and reconcile revenue to the target as shown on Exhibit ___ (RDP-6), Schedule 3, page 2. Additionally, Exhibit ___ (RDP-6), Schedule 2, page 2 summarizes the annual target from Rate Year into the GAC year.

Q. How did the Company calculate the commodity-related uncollectible component of the MFC?

A. As described in the direct testimony of the Shared Services Panel, the Company determined the uncollectible rate by dividing net charge-offs by the sum of: (i) total non-ESCO revenues; (ii) ESCO/POR revenue. As shown on Exhibit ___ (RDP-6), Schedule 3, page 3, the uncollectible percentage is 0.9142 percent.

Q. Did the Company update its calculation of the commodity-related uncollectible account expense?

A. Yes. An example of the calculation is set forth on Exhibit ___ (RDP-6), Schedule 3, page 4. The unit rate is determined monthly by multiplying the GAC rate for each service classification by the uncollectible percentage. In addition, Exhibit ___ (RDP-6), Schedule 3, pages 5 and 6 show the calculation of the commodity-related uncollectible account expense for the Rate Year and the GAC year.

Q. Did the Company update its calculation of the return requirement on gas purchase-related working capital?

A. Yes. An example is set forth on Exhibit ___ (RDP-6), Schedule 3, page 7. To arrive at the working capital percentage related to purchased gas, the

Company multiplied the "lead-lag" percentage by the Company's pre-tax weighted average cost of capital ("WACC"). In addition, Exhibit ___ (RDP-6), Schedule 3, pages 8 and 9 show the calculation of the total return requirement on gas purchase-related working capital expense for the Rate Year.

Q. Did the Company update its return requirement on gas storage inventory?

A. Yes. An example of the calculation is set forth on Exhibit ___ (RDP-6), Schedule 3, page 10. The Company updated its return requirement on gas storage inventory target based on the latest storage cost forecast. The pre-tax WACC has been updated in the calculation as well.

Q. Please describe how the Company proposes to calculate the stub period (April 1, 2020 to August 31, 2020) reconciliation.

A. Exhibit ___ (RDP-6), Schedule 4 provides an illustrative example of the proposed stub period reconciliation. FY 2021 encompasses five months of the Rate Year expense levels (April 1, 2020 to August 31, 2020) and seven months of the target revenue from the third rate year of the 2016 KEDNY Rate Case (September 1, 2019 to March 31, 2020). The Company will calculate the over/under recoveries for (i) gas supply procurement charge

target revenue, (ii) commodity related credit and collection charge, and (iii) return requirement on gas storage inventory by prorating the allowed expense levels for the five-month period from April 1, 2020 to August 31, 2021. The stub period over/under recoveries will be added to the over/under recoveries from the 2016 KEDNY Rate Case target revenue for the period September 2019 through March 2020. The resulting total over/under recoveries will be included in the MFC reconciliation rates effective January 1, 2022.

X. Revenue Decoupling Mechanism

Q. Please describe the Company's current RDM.

A. Under the Company's current RDM, a revenue per customer target is set for delivery service revenues from customers taking service under SC 1B, and actual revenues are trued up against the revenue per customer target annually. For SC 2 and SC 3, a revenue per class target is set for delivery service revenues from customers, and actual revenues are trued up against those revenue per class targets annually. Any over/under collections for the SC 3 class are refunded or collected from all SC 3 customers in the following year. Any over/under collections for SC 2 heat and SC 2 non-heat customers are aggregated and collected from or refunded to all SC 2 customers in the following year. In addition, any customer growth that

exceeds the growth assumed in the revenue forecast is calculated at a marginal cost rate and is an adjustment to the annual RDM reconciliation. The annual average number of customers included in the sales forecast for the SC 2 heat, SC 2 non-heat, and SC 3 classes is compared to the actual annual average number of customers in the reconciliation year. This comparison excludes any customer migration that occurs in the Rate Year between the SC 2 non-heat and SC 2 heat classes. After making the adjustment for SC 2 customer migration, if the actual annual average number of customers is greater than the forecast annual average number of customers, the difference is multiplied by the marginal cost rates established in the MCS and removed from the actual revenues used to calculate the RDM over or under collection for the applicable rate year. In addition, revenues obtained from TC and IT customers that migrate to SC 2 and SC 3 firm service classes are excluded.

Q. Is the Company proposing to modify its RDM?

A. Yes. The Company is proposing the following changes:

- Implement a revenue per class mechanism for SC 1B customers;
- Remove incremental growth incentives in SC 2 and SC 3 RDM;
- Expand the RDM to SC 1A; and
- Change the timing of the RDM reconciliation to a FY basis.

Q. Why is the Company proposing to modify the SC 1B RDM mechanism?

A. The Company proposes to modify the SC 1B RDM to be calculated on a revenue per class basis because it better supports the Commission's goals to promote cost-effective energy conservation.

Q. How will the Company develop the SC 1B revenue per class targets?

A. The revenue per class targets will be set to include delivery service revenues for customers taking service under SC 1B. Actual revenues, including any weather normalization adjustments, will be compared to the revenue per class targets annually. The revenue per class targets can be found on Exhibit ___ (RDP-7).

Q. Is the Company proposing to modify its RDM for SC 2 and SC 3?

A. Yes. In addition to updating the current RDM targets for SC 2 and SC 3, the Company proposes to remove the incremental growth incentive currently allowed under the Tariff because the customer and usage forecasts used to develop the RDM targets already reflect a robust level of growth based on the Company's historic level of adding new customers and load. Updated revenue per class targets can be found on Exhibit ___ (RDP-7).

Q. Is the Company proposing to expand its RDM to any additional classes?

A. Yes. The Company is proposing to expand its RDM to SC 1A using a revenue per class target to account for migrations between SC 1B and SC 1A. Without an RDM for SC 1A, the Company will lose any revenue associated with conversions from residential non-heat (SC 1A) to heat (SC 1B) until the targets are updated in a subsequent case.

Q. What is the Company's RDM proposal for SC 1A?

A. Similar to the proposed RDM methodology for SC 1B, the revenue per class targets will be set to include delivery service revenues for customers taking service under SC 1B. Actual revenues will be compared to the revenue per class targets annually. Any over/under collections for SC 1 heat and SC 1 non-heat customers will be aggregated and collected from or refunded to all SC 1 customers in the following year. The revenue per class targets can be found on Exhibit ___ (RDP-7).

Q. Will the Company continue the lost revenue calculation for SC 1A?

A. No, the Company would discontinue the lost revenue calculations for SC 1A once the RDM goes into effect.

Q. What other modifications to the RDM does the Company propose?

A. Currently, the RDM reconciliation is performed on a calendar year basis. The Company proposes to instead reconcile the RDM on a fiscal year basis, which would align with the timing of the targeted revenue per class. The new proposed effective date of the reconciliation will be July 1 of each year. To facilitate the transition, the stub period (January to March 2020) will be included in the reconciliation for FY 2021.

XI. Electric Generator Revenue

Q. Please describe the Company's current treatment of electric generator revenue.

A. The Company credits 100 percent of the revenues from electric generators to the Company's revenue requirements to reduce delivery rates to firm sales and firm transportation customers. The Company reconciles the difference between the electric generator revenues included in the Company's revenue requirements and the actual revenues it recovers from the electric generators at the end of each rate year. Any difference is either credited or surcharged to firm sales and firm transportation customers through the delivery rate adjustment ("DRA") for the twelve-month period starting March 1.

Q. Is the Company proposing to update the electric generator targets?

A. Yes. The Company is proposing to update the electric generator revenue targets to reflect the average revenue received from electric generators in the last two calendar years. Exhibit ___ (RDP-14) shows the updated revenue targets.

XII. Newtown Creek Project

Q. What is the Newtown Creek Project?

A. As explained in the testimony of the Future of Heat Panel, the Newtown Creek Project, located at the Newtown Creek Wastewater Treatment Plant in New York City, seeks to reduce greenhouse gas emissions by promoting renewable natural gas ("RNG") as a long-term supply source. KEDNY will capture the biogas generated from the wastewater plant, which consists of approximately 60 percent methane and 40 percent carbon dioxide, filter it through a purification facility, and upgrade it to pipeline quality natural gas. The RNG will then be odorized and injected into the gas system for direct use by customers. The Company has contracted with a firm to market and monetize environmental credits generated from the project.

Q. How will the Company handle any revenues/credits from the Newtown Creek Project?

A. KEDNY will use the revenues from the sale of gas/environmental credits to first offset the cost of the project by reimbursing customers. Currently, the Company's revenue forecast includes a revenue estimate of approximately $1.9 million per year for the Rate Year and the Data Years for the Newtown Creek Project, which represents $1.0 million from the sale of the gas and $0.9 million from the sale of environmental attributes. The Company proposes to true-up the actual revenues and defer the difference for future recovery/credits. Any revenues realized above the level necessary to fully reimburse KEDNY's customers for the project costs will be shared evenly between customers and the City of New York. The Company will track these costs on an annual basis and compare to the project's cumulative revenue requirement, with the fifth year after operation being the first year of any revenue sharing with the City in the event customers have been fully reimbursed. Revenue sharing will then be assessed every year for the remainder of the project.

XIII. Proposed Modifications to Tariff Services, Fees, and Provisions

Q. Is the Company proposing to make any changes to the service classifications, fees, or other provisions in its Tariff?

A. Yes, the Company is proposing the following changes to its Tariff:

- Modify the Tariff to:

- Eliminate the mid-year adjustment to the annual cost of gas imbalance factor;
- Eliminate the mid-year adjustment to the MFC annual imbalance factor;
- Eliminate SC 1-BI – 3-5 Family Residential Heating Conversion Service and SC 17-BI – 3-5 Family Residential Heating Conversion Service;
- Update Tariff provisions relating to the Annual Cost of Gas Imbalance surcharge/refund calculation; and
- Update Tariff provisions relating to the GSRS.

- Modify the TC/IT service classifications, including modifications to the GAC;
- Modify the SBC to reflect movement of ETIP costs into base rates and propose new service classification eligibility;
- Implement a new Green Gas tariff offering;
- Implement a new EAM surcharge;
- Update Tariff fees:
  - Unproductive field visit;
  - Reconnection fees;
  - Disconnect fee charged to ESCOs;
- Update the paperless billing credit;

- Update the consolidated billing charge; and
- Modify the Economic Development Discount program.

A. <u>Modifications to Gas Tariff Provisions</u>

Q. Please describe the current mid-year adjustment to the annual cost of gas imbalance.

A. The Company currently has the flexibility to implement an adjustment to the annual cost of gas imbalance surcharge or refund as necessary, each March 1 for the remainder of the calendar year for sales customers taking service under SC 1, 2, 3, 4A, 4A-CNG, 4B, 7, and 21. If implemented, the adjustment includes an adjustment for principal and interest estimated to be recovered under the currently effective annual cost of gas imbalance surcharge or refund during January and February of the year the imbalance is being surcharged or refunded.

Q. Why is the Company proposing to remove this tariff provision?

A. The Company currently has the flexibility to implement a monthly cost of gas imbalance surcharge or refund as needed from October 1 through July 31 to minimize any year-end gas cost over or under recoveries. There is currently no cap on the monthly imbalance surcharge or refund. The monthly imbalance provision provides enough flexibility for the Company

to manage annual cost of gas imbalances, inclusive of the prior year cost of gas imbalances. The calculation of a revised prior year annual imbalance is cumbersome and not necessary to manage customers cost of gas imbalances. For this reason, the Company is proposing to remove this provision.

Q. Please describe the current mid-year adjustment to the MFC annual imbalance.

A. The Company currently has the flexibility to implement an adjustment to the MFC imbalance surcharge or refund as necessary, each March 1 for the remainder of the calendar year for sales customers taking service under SC 1, 2, 3, 4A, 4A-CNG, 4B, 6, 7, 21, and 5A. If implemented, the adjustment includes an adjustment for principal and interest estimated to be recovered under the currently effective MFC imbalance surcharge or refund during January and February of the year the imbalance is being surcharged or refunded.

Q. Why is the Company proposing to remove this tariff provision?

A. The MFC imbalances are generally immaterial and the revisions to the imbalances result in very small differences. For the same reasons

mentioned above for the annual cost of gas imbalance, the Company is proposing to remove this provision.

Q. Why is the Company proposing to remove SC 1-BI and SC 17-BI from the Tariff?

A. SC 1-BI – 3-5 Family Residential Heating Conversion Sales Service and SC 17-BI – 3-5 Family Residential Heating Conversion Transportation Service were closed to new customers in the 2016 KEDNY Rate Case. Existing customers were allowed to remain on the rate until the end of their three-year term. Now that all customers have completed their three-year term and have been moved to their otherwise applicable rate, the service classification can be removed from the Tariff.

Q. Please describe the proposed changes to the Annual Cost of Gas Imbalance surcharge or refund provision in the Tariff.

A. Currently, under the section describing the calculation of the Annual Cost of Gas Imbalance surcharge/refund, the Tariff lists three components for the "Total Actual Gas Credits" used in the reconciliation: (i) Actual Off-System Revenue Credits, (ii) Actual Marketer Capacity Program Credits, and (iii) Actual Non-Core Swing Service and Daily Balancing Service Demand Charge Credits. In practice, however, a fourth component is included in the

calculation of the Total Actual Gas Credits – Non-Firm Demand Response Penalty Refund – and was inadvertently excluded in the Tariff. Therefore, the Company is updating the Tariff to accurately reflect the current calculation.

Q. Does the Company propose any changes to the current GSRS?

A. Yes. As explained in the GIOP testimony, the Company proposes to expand the current GSRS mechanism to include a customer connections (unit cost) productivity incentive. In addition, the Company is proposing to include clarifying language in the Tariff regarding the recovery of incentives relative to leak prone pipe ("LPP") removal, LPP productivity, and leak repair incentives currently being recovered through the GSRS. Finally, to the extent professional engineering certification, operator qualification, and similar pipeline safety requirements are finalized after rates are set in this proceeding, the costs of those programs would be recovered through the GSRS, and the Tariff would be revised accordingly.

B. <u>Modify the TC and IT Service Classifications</u>

Q. Please explain the modifications being proposed to the current TC and IT service classifications.

A. The TC/IT Order directed the Company to file proposed tariff revisions to create and/or revise its current non-firm service classifications to combine the existing TC and IT services and to implement two pricing tiers determined by the customer's fuel switching equipment. Additionally, the TC/IT Order directed the Company to address related rate design issues in its next rate case. Accordingly, the Company developed SC 22 – Non-Firm Demand Response Sales Service, under which it will serve all TC and IT sales customers. TC/IT transportation customers will be placed into a new subclass, SC 18-22 – Non-Firm Demand Response Transportation Service. For both SC 22 and SC 18-22, the Company proposes to implement two pricing tiers determined by a customer's switching equipment. As discussed earlier, Tier One customers will utilize automatic switching equipment and receive service so long as the outside temperature remains at or above 15 degrees Fahrenheit. Under Tier Two, customers will utilize manual switching equipment and receive service so long as the outside temperature remains at or above 20 degrees Fahrenheit. Tier Two customers will pay a lower rate than Tier One customers due to the higher frequency of interruption. Additionally, customers served under the new service classifications will continue to be subject to interruption for any supply or system reliability considerations.

Q. What is the Company's proposal regarding the gas costs to serve customers under SC 22 and SC 18-22?

A. In addition to implementing a two-tier non-firm service classification as described above, the Company proposes to include the non-firm demand response gas costs in its annual gas cost reconciliation. Non-firm customers will share in the annual over/under recoveries that currently only apply to firm sales customers.

Q. How does the Company propose to calculate non-firm commodity costs?

A. The Company proposes to apply the current TC cost of gas methodology to calculate non-firm commodity costs. The non-firm commodity cost would consist each month of the weighted average cost of gas multiplied by the unaccounted for gas factor plus the non-firm demand charge.

Q. Does the Company propose any other changes to the new non-firm demand response service offering?

A. Yes. The TC/IT Order directs the Company to file revised tariff leaves that reflect Staff's recommendations discussed in the Commission's "Order Approving in Part Tariff Amendments" issued December 14, 2018 in Case 18-G-0585. First, the Company will amend the Tariff to have all

interruptible gas service customers contribute to, and be eligible for, energy efficiency programs. Therefore, customers under the new non-firm service classification will contribute to the SBC, and the service class delivery rates will include the ETIP costs. The Company updated the annual revenue target for TC/IT customers applicable to the new non-firm demand response service classification and will reconcile the non-firm demand response revenues utilizing the current TC/IT revenue reconciliation method. The revenue target for SC 22 and 18-22 is $49.676 million for the period April 1, 2020 through March 31, 2021.

Second, the Company will amend the Tariff to include a new definition for critical care customers and clarify applicable interruptibility rules, as discussed further below. The updated interruptibility matrix contained in the Company's Gas Transportation Operating Procedure manual can be found on Exhibit ___ (RDP-13).

The TC/IT Order directs the Company to submit Tariff revisions to reflect the above changes by May 8, 2019 in Case 16-G-0059. The filing will contain the same Tariff changes proposed herein, with the exception of the rates under the new non-firm demand response service classification being different.

Q. What is the Company's proposal regarding critical care customers?

A. Critical care customers are any non-firm customer that provide life-saving or life-sustaining services (*i.e.*, hospitals providing critical care, nursing homes, correctional facilities, or designated areas of refuge, identified on an annual basis by local or state governmental agency), where public safety could be affected by a need to relocate the occupants. All other customers are considered non-critical care. The Company proposes to modify the Tariff to include a definition of a critical care customer and clearly outline the steps the Company will take when critical care customers incur two unauthorized use violations (two strikes) in one winter season. The Company also proposes to modify its remediation plan for bringing strike two customers in compliance with the Tariff. This plan will include requirements that: (i) the customer complete an efficiency audit at the customer's expense; and (ii) the customer install, at the customer's expense, a tank monitoring device that alerts the customer's fuel oil supplier of tank levels.

Q. Does the Company propose any changes to its current process related to obtaining alternate fuel affidavits from TC/IT customers?

A. No. The Company proposes to continue its current three-year process to secure affidavits from all TC/IT customers, which will be fully implemented at the end of winter 2019/2020. At that time, the Company will explore imposing penalties on customers that have not returned their affidavit.

Q. Did the Company consider the proposal by Estates NY Real Estate Services LLC ("Estates") discussed in the TC/IT Order?

A. Yes. As committed to in the TC/IT Collaborative Report submitted by KEDNY and KEDLI in the 2016 KEDNY Rate Case, the Company further considered and analyzed Estates' proposal for a new dual-fuel firm service classification. At this time, the Company does not believe that a new service classification is warranted. The proposed dual-fuel firm service classification, under which Estates would be the only customer, is different from, and inconsistent with, the Company's current non-firm demand response offerings. Estates' proposal is akin to a peaking agreement and does not necessarily require a new service classification to accommodate. Furthermore, Estates is currently participating in the Company's Demand Response Demonstration project, which the Company is proposing to expand as discussed in the testimony of the Future of Heat Panel. The Company believes that its proposal to expand the current Demand Response

project will be beneficial to Estates and provide many of the same benefits that it was seeking through a dual-fuel service classification.

C. Modify the SBC

Q. Does the Company propose any changes to the service class eligibility for SBC programs?

A. Yes. The Company proposes to expand the SBC to the following service classifications: SC 21 – Baseload Distributed Generation, SC 17–21 – Baseload Distributed Generation (firm service classifications), SC 22 – Non-Firm Demand Response Sales Service, and SC 18-22 – Non-Firm Demand Response Transportation Service (new non-firm demand response service classifications). Contributing to the SBC will enable customers served under these service classifications to be eligible for the Company's energy efficiency programs. The Company has not yet reflected the proposed changes to SBC eligibility in the revenue allocation, rate design, or bill impacts pending Commission approval of this proposal.

Q. Is the Company planning to change how it recovers the cost of its energy efficiency programs?

A. Yes. The Company is proposing to recover the cost of Company sponsored energy efficiency programs (EES/ETIP) in base rates such that the SBC

surcharge would only include the cost of the NYSERDA energy efficiency programs (CEF). Any service classifications that are currently exempt from paying for energy efficiency programs (with the exception of SC-21, 17-21, 22, and 18-22 as explained above) would continue to be exempt. These service classifications would not pay the SBC, and their base rate charges will exclude any allocation of EES/ETIP costs.

Q. Is the Company planning to reconcile actual ETIP costs included in base rates to the revenue received from customers?

A. Any over/under recovery of ETIP costs will be included in RDM reconciliations for SC 1A, SC 1B, SC 2, and SC 3. The Company will reconcile the actual ETIP revenue recovered from all other service classifications that are required to pay the ETIP to the amounts included in rates over the term of the rate plan. Any differences will be refunded to or recovered from customers through the DRA (including carrying charges at pre-tax WACC) after the end of the rate plan. The rates will appear on the Statement of Energy Efficiency Program Costs.

D. Green Gas Tariff Offering

Q. Please explain the proposed Green Gas Tariff.

A. As explained in the testimony of the Future of Heat Panel, KEDNY is

introducing an innovative RNG program that promotes renewable energy source in its supply portfolio and offers firm customers the option of purchasing RNG. This program is available to all firm sales customers served under SC 1A, 1B, 1BDG, 2, 3, 4, 7, and 21. This offering allows customers the opportunity to participate in the program by paying a Green Gas Adder that will help to offset the premium cost for this renewable product.

Q. Please explain how customers will be able to participate in the Green Gas program.

A. Residential customers served under SC 1 will have the option to elect a fixed dollar amount to be dedicated to RNG in their monthly bill. Non-residential customers will have the option of either a flat rate each month or a percentage of their monthly consumption be dedicated to RNG.

Q. How will the Company reconcile RNG recoveries to actual RNG procurement costs?

A. The Company proposes to reconcile the costs of the Green Gas programs separately from the non RNG procurement costs through a separate reconciliation. Any over or under recoveries will only be applicable to customers participating in the Green Gas programs.

Q. What tariff modifications will be necessary to implement the Green Gas Tariff?

A. The Company will add a "Green Gas RNG" rider to its General Information section of the Tariff. The Company will also modify its monthly cost of gas section of the Tariff to include a "Green Cost of Gas" calculation.

E. Modifications to SC 4A-CNG Tariff

Q. Please explain the proposed tariff changes to the SC 4A-CNG.

A. As explained in the Future of Heat Panel testimony, NGVs provide one of the most economically viable ways to reduce carbon emissions in transportation. As New York State seeks to decrease its overall greenhouse gas emissions, transportation will be an important sector to address. For these reasons, the Company is proposing to offer an interruptibility option for new NGV customers under SC 4A-CNG. This option will be offered to new NGV customers because they are more likely to have options to temporarily modify their fueling profiles during periods of peak demand. The Company would install automatic fuel switching equipment and interruptions would occur similarly to current TC interruptions.

Q. How did the Company design the proposed SC 4A-CNG rates?

A. As explained above, the SC 4A-CNG class had returns above the tolerance band and was assigned a revenue target five percent over pro forma revenue at present rates. The Company is proposing a modest increase to the customer charge, which includes the first 10 therms. The current rate design includes different rates for the two volumetric blocks, but since those rates are very close, the proposed rates for this service classification eliminate the declining block structure so that the proposed rate of $0.2746/therm will be charged for all usage over 10 therms. As explained in the Future of Heat Panel testimony, the Company proposes to monitor the market and, if market conditions warrant, petition the Commission to adjust the rates.

Q. Is the Company proposing to charge different rates for firm customers and interruptible customers on this rate?

A. No. The Company is proposing to charge the same delivery rates for customers regardless of whether they are firm or interruptible. The benefit for interruptible customers is that they can save capital costs through a lower contribution in aid of construction.

F. Earnings Adjustment Mechanism Surcharge

Q. Please describe the Company's proposed recovery for EAM incentives.

A. As discussed in the testimony of the Future of Heat Panel, the Company proposes a gas energy efficiency EAM to support the Commission's REV objectives and the New York State Energy Plan. The Company is proposing to earn an incentive on these EAMs beginning in 2020 for the reasons described in the Future of Heat Panel testimony. The Company proposes to allocate the earned incentives to the firm service classes based on their contribution to peak sendout and collect on a per-therm basis. Exhibit ___ (RDP-10) provides an example of the calculated surcharge. The EAM surcharge will be included in the DRA recovered from SC-1, 2, 3, 4A, 4A-CNG, 4B, 7, and 21 firm sales and SC 17 firm transportation customers beginning the following April 1.

G. Economic Development Discount Program Riders

Q. Does the Company propose to update its economic development programs?

A. Yes. As discussed in the testimony of the Future of Heat Panel, the Company will amend its Area Development Rider to replace the current designated areas with areas that better reflect current economic development priorities. Additionally, the Company will amend its Business Incentive Rider to include qualifying tenant businesses locating or expanding in properties received benefits from an Industrial Development

Agency ("IDA").

H. Tariff Fee Updates

Q. Does the Company propose to update any of its Tariff fees?

A. Yes. The Company proposes to update: (i) unproductive field visit fee; (ii) reconnection fees; and (iii) disconnect fee charged to ESCOs. The calculations supporting these tariff fees are in Exhibit ___ (RDP-8), Schedule 1.

I. Paperless Billing Credit

Q. Please explain the current paperless billing credit.

A. The current paperless billing credit is $0.49 per service period for all customers who receive their bill electronically. The credit is based on Historic Test Year costs adjusted for inflation and represents the difference in cost to produce a paper bill versus producing an electronic bill. The paperless billing credit consists primarily of the cost of paper, postage, and envelopes offset by electronic billing costs. This calculation is detailed in Exhibit ___ (RDP-8), Schedule 2.

Q. Is the Company proposing to change the current paperless billing credit?

A. Yes, the Company proposes to update the paperless billing credit to $0.44 per service period. The calculation is detailed in Exhibit ___ (RDP-8), Schedule 2.

J. Consolidated Billing Charge

Q. Please explain the current consolidated billing charge.

A. Currently, if the Company issues a bill for a sales customer, the customer is charged $1.42 for each bill generated. If the Company issues a consolidated bill on behalf of an ESCO, the Company charges the ESCO a fee of $1.42 for each bill generated and the customer avoids the fee of $1.42 per bill.

Q. Is the Company proposing to change the current consolidated billing charge?

A. Yes. As shown in Exhibit ___ (RDP-8), Schedule 3, the Company is proposing to update the consolidated billing charge to $1.31 to reflect the results of the ECOSS. The total revenue requirement for the Competitive Billing function was based on a competitive function study and includes the costs associated with bill printing and mailing and payment processing reduced by the paperless billing adjustment. The total adjusted revenue requirement was then divided by the total number of gas bills to arrive at a monthly billing cost of $1.31.

XIV. Commitments from 2016 KEDNY Rate Case

A. Inclining Block Study

Q. Has the Company performed an inclining block study as required by the Commission in the 2016 KEDNY Rate Case?

A. Yes. The Company examined the effects of modifying the current residential rate design, which is a fixed monthly charge with declining block rates. The Company examined four block designs: (i) the rate design proposed herein, which maintains the present ratio of tail block rate to mid-block rate (44.5 percent for SC 1A and 35.4 percent for SC 1B); (ii) reducing the slope (*i.e.*, increasing the ratio of tail block to mid-block) by 50 percent; (iii) flat rates (*i.e.*, tail block equals mid blocks, eliminating the blocked structure); and (iv) inclining blocks where the tail block is 125 percent of the mid-block. The results of the study are shown in Exhibit ___ (RDP-11), Schedule 1.

Q. Please summarize the results of the study.

A. The exhibit shows that as declining block rates are eliminated, and the rate design moves toward inclining block rates, the changes in delivery revenue from current rates becomes more pronounced. For example, for SC 1A, the Panel's proposal produces increases ranging from 0.86 to 1.22 times the

25.53 percent increase for the average customer, and the effects are progressive, increasing with increasing usage. As the rate design moves toward inclining rates, it becomes regressive, with lower usage customers seeing higher percentage increases than customers with higher usage. For example, for SC 1B, the Panel's proposal produces increases ranging from 0.86 times to 1.30 times the 17.78 percent increase for the average customer. In this case, the increase in the tail block places an increasing burden on higher usage customers; with inclining rates the average customer would see a decrease of 2.77 percent, while the higher usage customers would see increases of 49.4 percent.

Q. Please summarize the Panel's conclusions from this study.

A. Neither of the results illustrated by the study – regressive increases or a huge burden on higher usage customers – are acceptable from a ratemaking perspective. The Panel notes that if the customer charge were maintained at the present level, the effect for SC 1A would be somewhat mitigated, but the effect for SC 1B, which has almost four times the revenue and twelve times the volume of SC 1A, would be exacerbated.

The Panel's proposed rate design includes modest reductions in slope (*i.e.*, ratio of tail block to mid-block is increasing). The Panel supports

continuing the modest changes it has proposed herein.

B. ECOSS 100 Percent Demand

Q. Has the Company performed an ECOSS using 100 percent demand classification for mains?

A. Yes, the study is presented in Exhibit ___ (RDP-12), Schedule 1. In the 2016 KEDNY Rate Case, the Company agreed to submit a study for illustrative purposes only. The Company does not agree that mains should be classified as 100 percent demand-related and believes that the classification of mains as presented in Exhibit ___ (RDP-3) is appropriate.

C. SC 2 Segmentation Study

Q. Did the Company perform a SC 2 segmentation study as required in the 2016 KEDNY Rate Case?

A. Yes. As required in the Joint Proposal, the Company filed in Case 16-G-0059 an initial study proposing segmentation of the SC 2 service classes for potentially merging the SC 2 Heat and Non-Heat classes and segmenting by usage level to support a revenue per customer RDM. In that filing, the Company also included SC 3 data to support a revenue per customer RDM for that class as well. In May 2017, the Company presented the proposal to interested parties and a final report was filed in March 2018.

Q. Is the Company proposing to implement the results the study?

A. The Company is not proposing to combine the SC 2 Heat and Non-Heat classes because the results of ECOSS, revenue allocation, and rate design indicate relatively large bill impacts for the SC 2 Non-Heat customers. Also, as explained above, the Company is no longer proposing a revenue per customer RDM for any service classification because a revenue per class RDM better supports the Commission's goals to promote cost-effective energy conservation, increased use of renewable resources, and decreased usage of fossil fuels.

XV. Gas Marginal Cost Study

Q. Please provide an overview of the Gas Marginal Cost Study.

A. The purpose of the MCS, presented in Exhibit ___ (RDP-9), is to compute the incremental, or marginal, cost to the Company to provide the next unit of service (*i.e.*, the next dekatherm of design-day demand or the next customer connected). The Company is presenting an MCS for distribution demand costs only; customer costs and commodity costs are not included. As shown on Exhibit ___ (RDP-9), Schedule 1, the proposed Marginal Delivery Cost is $0.86 per dth. Customers participating in the Company's Excelsior Jobs Program ("EJP") will pay the marginal delivery cost rate for

all gas consumption in excess of the consumption included in the applicable minimum charge. Based on the Company's proposal to move ETIP costs into base rates, EJP customers will also be charged an ETIP rate in addition to the marginal rate so that they continue to be eligible to participate in Company-sponsored energy efficiency programs.

Q. What are the components of marginal costs in the MCS?

A. The MCS includes the capital cost of the assets needed to serve an additional unit of design-day demand, as well as the O&M costs related to the assets.

The initial capital cost is developed by quantifying the relationship between capital spending for growth, and the growth (additional dekatherms delivered) supported. The initial capital cost is converted to an annual cost, representing the amount that would be included in the annual revenue requirement to reflect return on rate base plus associated income tax, depreciation expense, property tax and insurance.

In addition to the annualized capital cost and the associated O&M costs, the marginal cost includes property tax and insurance costs related to the assets.

Marginal Demand Cost is stated in dollars per delivered dekatherm.

XVI. Levelized Rate Increases

Q. Does the Company support levelizing the proposed rate increases over term of a potential multi-year rate plan?

A. Yes. To ease the impact on customer bills, the Company will consider options to phase-in the proposed revenue increases over the term of a multi-year plan.

Q. Does this conclude the Panel's testimony?

A. Yes, it does.

Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY

Corrections and Updates Testimony

of

The Rate Design Panel

Dated: July 3, 2019

Q. Please identify the members of the Rate Design Panel.

A. The Rate Design Panel consists of Kellie I. Smith, Dawn M. Herrity, and Howard S. Gorman. This is the same Panel that submitted direct testimony as part of KEDNY's April 30, 2019 filing. The terms defined in the Panel's direct testimony have the same meaning here.

Q. What is the purpose of the Panel's corrections and updates testimony?

A. The Panel provides corrections and updates to certain items in its direct testimony and certain exhibits. The Panel is updating its ECOSS, revenue allocation, rate design, and associated rates (including the MFC) based on corrections and updates to the Company's revenue requirement and other changes identified since the April 30, 2019 filing. The Panel also provides revised bill impacts based on the corrected and updated information. Further, the Panel is updating revenue forecast items including discounts and NYFS revenue.

Q. Does the Panel's testimony also address the Company's June 11, 2019 supplemental filing?

A. No. The supplemental filing was made to illustrate the potential impacts to the April 30, 2019 filing if KEDNY is unable to obtain incremental

natural gas supplies from the NESE project. At this time, the Company remains optimistic that the NESE project will be approved. Therefore, all corrections and/or updates discussed by the Panel pertain to the April 30 base rate filing. The Company will continue to update the parties on the status of the NESE project and its implications, if any, to this rate filing.

Q. Does the Panel sponsor any exhibits to its corrections and updates testimony?

A. Yes. The Panel prepared the following exhibits:

- Exhibit __ (RDP-2CU) – Revenue forecast at current delivery rates, by service class, for the Rate Year and Data Years;
- Exhibit __ (RDP-3CU) – ECOSS;
- Exhibit __ (RDP-4CU) – Revenue allocation, rate design, and customer bill impacts;
- Exhibit __ (RDP-6CU) – MFC;
- Exhibit __ (RDP-7CU) – RDM;
- Exhibit __ (RDP-8CU) – Tariff Fees;
- Exhibit __ (RDP-16CU) – Workpapers; and
- Appendix A – Company's Response to Information Request No. DPS-337.

Q. Please describe Exhibit __ (RDP-2CU).

A. Exhibit __ (RDP-2CU) provides the Company's revenue at current rates for the Rate Year and Data Years. The Company is updating revenue at current rates, including commodity revenue, to reflect the updated sales forecast as explained in the Corrections and Updates Testimony of Theodore Poe, Jr., as well as the updates to the forecast of commodity costs as explained in the Corrections and Updates Testimony of Elizabeth D. Arangio. The Company is also updating several miscellaneous revenue items to reflect updated inflation factors as described in the Corrections and Updates Testimony of the Revenue Requirements Panel.

The Panel is also correcting several items from the revenue forecast submitted in the original filing. First, the Panel is correcting Gross Revenue Tax revenues to address two issues: (i) the MTA rate used in the original revenue price-out was not updated to reflect the most current MTA rates; and (ii) the Company incorrectly applied delivery GRT rates instead of commodity GRT rates to MFC revenue.

Second, the Company is correcting NYFS revenue (shown as Joint Facilities on Exhibit __ (RDP-2CU)) as explained in its response to Information Request No. DPS-337. Specifically, the Company identified

an error in the calculation of forecast NYFS revenue. In the April 30, 2019 filing, NYFS revenue was shown as a credit amount of $8,844,482 per year. The correct amount should have been $8,744,482 per year.

Lastly, the Company is updating the forecast of economic development program discounts (shown as Edgar Discounts on Exhibit __ (RDP-2CU)), as described in the Corrections and Updates Testimony of the Future of Heat Panel. In the original filing, Edgar Discounts were shown as a credit amount of $792,626 for each of the Rate Year and the Data Years. The updated credit amounts are $859,247, $915,732, $997,547, and $1,094,698 for the Rate Year, Data Year 1, Data Year 2, and Data Year 3, respectively.

Q. Please describe Exhibit __ (RDP-3CU).

A. Exhibit __ (RDP-3CU) provides the Company's ECOSS, which has been updated to reflect the updated sales and revenue forecasts and revenue requirement. Further, the Company made a correction to the calculation of the functional Labor allocator, which can be found on Exhibit__(RDP-3CU), Schedule 7B, line 79; the effect of this correction was negligible. No other changes were made to the ECOSS.

Q. Please describe Exhibit __ (RDP-4CU).

A. Exhibit __ (RDP-4CU) provides the Company's revenue allocation schedules. The Panel is updating these schedules to reflect the updated results of the ECOSS, including the sales and revenue forecasts and revenue requirements. To update the revenue allocation, the percentage increase in revenue assigned to each service classification in the Company's April 30, 2019 filing was multiplied by 65.8594 percent, with one exception. The revenue allocated to the proposed combined non-firm demand response class (SC 22) changed from an increase of 2.0 percent in the April 30, 2019 filing to a decrease of 2.5 percent in this Corrections and Updates filing to produce rates no higher than the April 30 filing. Exhibit __ (RDP-4CU), Schedule 1 shows that the revenue targets produce delivery revenue of $1,388.2 million, consistent with the revenue requirement presented at Exhibit __ (RRP-1CU).

The Company's corrected and updated rate design produces the appropriate revenue target for each class, as shown on Exhibit __ (RDP-4CU), Schedule 3. For each service class, the rates were proportionately decreased from the rates proposed in the April 30, 2019 filing to produce the new revenue target.

The bill impacts resulting from the corrected and updated rates are presented on Exhibit __ (RDP-4CU), Schedule 4.

Q. Please describe Exhibit__(RDP-6CU).

A. Exhibit __ (RDP-6CU) provides the Company's calculation of MFC at proposed rates. The schedules included in Exhibit __ (RDP-6CU) have been updated to reflect the updates to the Company's ECOSS and sales forecast.

Q. Please describe Exhibit __ (RDP-7CU).

A. Exhibit __ (RDP-7CU) provides the Company's calculation of RDM targets. The schedules included in Exhibit __ (RDP-7CU) have been updated to reflect the updates to revenue at proposed rates.

Q. Please describe Exhibit __ (RDP-8CU).

A. Exhibit __ (RDP-8CU), Schedule 3 provides the Company's calculation of the Consolidated Billing Charge. The Company has updated this schedule to reflect the updates to the revenue requirement and the forecast number of bills.

Q. Please describe Exhibit __ (RDP-16CU).

A. Exhibit__(RDP-16CU) provides the workpapers supporting the Panel's exhibits submitted herein.

Q. Does this conclude your corrections and updates testimony?

A. Yes, it does.

Before the Public Service Commission

KeySpan Gas East Corporation d/b/a National Grid

Direct Testimony

of

The Rate Design Panel

Date: April 2019

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I. Introduction and Qualifications

Q. Please identify the members of the Rate Design Panel.

A. The Rate Design Panel ("Panel") consists of Kellie I. Smith, Dawn M. Herrity, and Howard S. Gorman. The Panel is testifying on behalf of KeySpan Gas East Corporation d/b/a National Grid ("KEDLI" or the "Company").

Q. By whom are the Panel employed and in what capacity?

A. (Ms. Smith) I am employed by National Grid USA Service Company, Inc. ("National Grid Service Company"), a subsidiary of National Grid USA ("National Grid"), as Manager of New York Gas Pricing. I am responsible for supervising the study, analysis, and design of delivery service rates, rate contracts, surcharge adjustment factors, riders, and terms and condition of service for National Grid's three New York gas utilities, KEDLI, The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY"), and Niagara Mohawk Power Corporation d/b/a National Grid ("NMPC").

(Ms. Herrity) I am employed by National Grid Service Company as Principal Program Manager of New York Gas Pricing. I am responsible for the management of the temperature controlled and interruptible programs, tariff compliance, and customer violations for KEDNY, KEDLI, and

NMPC. In addition, I serve as the regulatory liaison for escalated customer complaints and various customer-related issues regarding tariff rules and regulations. I also support regulatory affairs with regards to stakeholder outreach for rate cases and other regulatory initiatives.

(Mr. Gorman) I am the President of HSG Group, Inc., a consulting firm specializing in utility rate and regulatory matters.

Q. Please briefly describe the Panel's educational backgrounds and professional experience.

A. The educational backgrounds and professional experiences of the Panel members are set out in Exhibit ___ (RDP-15).

Q. Has any member of the Panel testified before the New York Public Service Commission ("Commission") or any other regulatory commissions?

A. (Ms. Smith) Yes. I have testified before the Commission in NMPC's 2012 electric rate case (Case 12-E-0201) and, most recently, in NMPC's 2017 gas rate case (Case 17-G-0239).

(Ms. Herrity) Yes. I have testified before the Commission in NMPC's 2012

gas rate case (Case 12-G-0202) and, most recently, in KEDNY and KEDLI's 2016 rate case (Cases 16-G-0058 and 16-G-0059).

(Mr. Gorman) Yes. I have testified before the Commission on behalf of KEDLI and other New York State utilities, as well as before regulatory commissions in other states.

II. Purpose of Testimony

Q. What is the purpose of the Panel's testimony?

A. The purpose of the Panel's testimony is to present the following topics related to KEDLI's rate design:

- Revenues for the Historic Test Year (twelve months ended December 31, 2018), which includes historic base delivery revenues, gas commodity revenues, revenue tax revenues, and total revenues;
- Forecast revenues for the Rate Year (twelve months ending March 31, 2021) and Data Years 1, 2, and 3 (twelve months ending March 31, 2022, 2023, and 2024, respectively);
- Results of the Embedded Cost of Service Study ("ECOSS") for the Rate Year;
- Proposed revenue allocation;

- The Company's proposed rate design for each service classification under KEDLI's tariff, PSC No. 1 – Gas ("Tariff");
- Proposed updates to the Company's lost and unaccounted for gas ("LAUF") target and dead band limits;
- Proposed modifications to the New York Facilities System ("NYFS") surcharge reconciliation;
- Proposed updates to the merchant function charge ("MFC");
- Proposed changes to the revenue decoupling mechanism ("RDM");
- Proposed modifications to tariff services, fees, and provisions;
- Proposed changes and updates to the Gas Safety and Reliability Surcharge provisions in the Tariff;
- The Company's proposed changes to temperature-controlled ("TC") and interruptible ("IT") service classifications;
- Proposed changes to the System Benefits Charge ("SBC");
- The Company's proposal for a Green Gas Tariff offering;
- Proposed recovery of the Company's Earnings Adjustment Mechanism ("EAM") incentives;
- Proposed changes to the Company's Uncompressed Natural Gas Vehicle ("NGV") rate;
- Proposed changes to the Company's Uncompressed Natural Gas

Vehicle ("NGV") rate;

- Commitments from KEDLI's most recent rate case, Case 16-G-0058 ("2016 KEDLI Rate Case");
- Results of the Gas Marginal Cost Study ("MCS"); and
- Levelization options for a multi-year rate plan.

Q. Is the Panel sponsoring any exhibits in support of its testimony?

A. Yes. The following exhibits were prepared by or under the supervision of one or more of the members of the Panel:

- Exhibit ___ (RDP-1) sets forth the Company's Historic Test Year revenues by service class.
- Exhibit ___ (RDP-2) provides the Company's revenue forecast at current delivery rates, by service class, for the Rate Year and Data Years, and sets forth the proposed changes to miscellaneous and other revenues.
- Exhibit ___ (RDP-3) is the ECOSS.
- Exhibit ___ (RDP-4) presents the Company's proposed revenue allocation, rate design, and customer bill impacts.
- Exhibit ___ (RDP-5) presents the calculation of the LAUF target and the associated dead band.
- Exhibit ___ (RDP-6) sets forth the proposed MFC.

- Exhibit ___ (RDP-7) sets forth the proposed revenue per class targets for the Company's RDM.
- Exhibit ___ (RDP-8) presents the Tariff fees.
- Exhibit ___ (RDP-9) presents the Company's MCS.
- Exhibit ___ (RDP-10) presents an example of the EAM surcharge calculation.
- Exhibit ___ (RDP-11) presents the Company's Inclining Block Study.
- Exhibit ___ (RDP-12) presents an ECOSS using 100 percent demand classification for the cost of mains per the commitment in the 2016 KEDLI Rate Case.
- Exhibit ___ (RDP-13) contains the updated TC/IT interruptibility matrix.
- Exhibit ___ (RDP-14) presents the updated electric generator revenue target.
- Exhibit ___ (RDP-15) contains the resumes of the Panel members.
- Exhibit ___ (RDP-16) contains workpapers supporting various exhibits illustrating a multi-year settlement.

III. Historic Test Year Gas Revenues

Q. Please discuss the Company's Historic Test Year revenues.

A. The Historic Test Year revenues were $1,237,593,828. Exhibit ___ (RDP-1) sets forth the base delivery revenue for each service classification in the Historic Test Year. The exhibit also includes a summary of the adjustments to revenues included on the Company's books for the Historic Test Year, including the MFC, RDM reconciliation, SBC revenue, which consists of Clean Energy Fund ("CEF") revenue and Energy Efficiency Surcharge ("EES") revenue, Gas Safety and Reliability ("GSRS") surcharge, electric generator revenue, and TC/IT reconciliations. In addition, the exhibit summarizes commodity revenue and revenue taxes by service classification as well as Other Gas Revenue included on the Company's books for the Historic Test Year.

IV. Rate Year Revenue Forecast

Q. What are the total revenues projected for the Rate Year?

A. The Company's total projected Rate Year revenues are $1,207,805,248 based on current delivery rates and surcharges, as compared to Historic Test Year revenues of $1,237,593,828. The forecast revenues were calculated by applying the applicable 2019 rates to the forecast billing determinants derived from the sales forecast provided by Company Witness Theodore Poe, Jr. Details of the Rate Year revenue forecast is shown in Exhibit ___ (RDP-2), Schedule 1.

Q. Please describe Exhibit ___ (RDP-2), Schedule 1.

A. Exhibit ___ (RDP-2), Schedule 1, sets forth the forecast Rate Year revenues based on current rates approved in the 2016 KEDLI Rate Case. The revenues consist of base delivery revenue, commodity revenue, and revenue taxes. The exhibit also shows additional revenue components, including the MFC, EES, CEF revenue, electric generator revenue, and Tax Reform Surcredits ("TRS"). In addition, the exhibit includes Other Gas Revenue.

The exhibit also includes the customer count and delivery forecasts developed by Company Witness Theodore E. Poe, Jr. As discussed in Mr. Poe's testimony, the Company's delivery forecast projects a certain level of growth in load demand during the Rate Year. The Company developed its forecast Rate Year revenue based on this delivery forecast under the assumption that the Company will have sufficient gas supply to meet the forecast demand. As discussed in the testimony of Company Witness Elizabeth D. Arangio, the Company's current supply planning portfolio assumes that the Northeast Supply Enhancement ("NESE") project will be completed by the winter of 2020/21 to provide the Company sufficient gas supply to meet the projected demand while maintaining system reliability. If NESE is not available by the 2020/21 winter season, the Company will

not be able to prudently serve additional load and would need to impose a moratorium on new or additional requests for natural gas. If a moratorium is required, the Company will update its forecasts.

Q. Please explain how the Company developed its base delivery revenue forecast for the Rate Year.

A. For firm sales and transportation service classifications (SC 1, 2, 3, 9, 15, 16 and 17), the base delivery revenue forecast was developed based on the forecast number of customers and deliveries. Deliveries were allocated to the usage blocks within each service class using an ogive analysis, which uses historic bill frequencies to develop a cumulative percentage distribution for usage levels within a service class. This cumulative distribution is then used to allocate the forecast deliveries into the usage blocks for each service class, after which the deliveries can be priced at the applicable rate for the particular block.

As discussed in detail below, the Company is proposing new service classifications (SC 18 and 19) that blends all TC and IT customers (current SC 4, 7, 12, and 13). The revenue forecast for the new non-firm demand response class under SC 18 and 19was not based on an ogive analysis because the rate structure consists of a customer charge and a single

volumetric block. The revenue forecasts for SC 4, 7, 12, and 13 were used to develop rates for SC 18 and 19.

Q. How were the remaining revenue forecast components developed, specifically for the MFC, SBC, CEF, EES, and TRS?

A. These additional revenue components are separate surcharges that are applied to specific service classes as described in the Tariff. To develop the revenue forecast for these components, the Company applied specific unitized rates to appropriate service class delivery volumes. The MFC surcharge, which is designed to recover gas supply-related costs, was developed based on the New York Mercantile Exchange ("NYMEX") forward gas prices as of December 26, 2018.

The SBC, consisting of the CEF and EES (also referred to as the Efficiency Transition Implementation Plan ("ETIP") charge), is designed to recover the costs associated with the Company's New York State Energy Research and Development Authority ("NYSERDA") and energy efficiency program expenses in the Rate Year. The revenue forecast for the SBC was developed based on a projection of the Company's energy efficiency program expenses in the Rate Year. As further discussed below, the Company is proposing to move the ETIP costs (recovered through the EES) into base

rates, so the EES will be eliminated and the forecast revenue included in the proposed rate design.

The TRS is designed to credit customers as a result of the federal tax law change enacted in 2017 after delivery rates were approved in the 2016 KEDLI Rate Case. The TRS forecast was allocated to customers based on their contribution to delivery revenue. Beginning in the Rate Year, the Company will eliminate the TRS as the impacts of the federal tax reform will be reflected in the revenue requirement.

Q. How were the commodity revenues and the revenue tax forecasts developed?

A. The gas commodity revenue forecast was developed based on the NYMEX forward gas prices as of December 26, 2018. The Gas Adjustment Clause ("GAC") factors were applied to the forecast sales volumes. Revenue taxes were developed by applying the applicable gross revenue tax rate to the revenues.

Q. How was the forecast of Other Gas Revenues developed?

A. The Company developed the Rate Year forecast of Other Gas Revenue components as follows:

- Late payment charge revenue was developed by calculating the Historic Test Year's late payment charge as a percentage of total revenues and applying that percentage to the projected Rate Year revenues.
- The Economic Development (Edgar) Discounts forecast was developed using the Historic Test Year amounts in the Rate Year.
- Rent from property was developed by reviewing invoices from the Historic Test Year to determine the applicable length and terms of the agreements.
- The NYFS revenue forecast was determined by calculating the payables to or receivables from KEDNY and payables to Consolidated Edison Company of New York, Inc. ("Con Edison") pursuant to the parties' May 1, 2018 agreement ("NYFS Agreement"). In Exhibit ___ (RDP-2), the NYFS forecast revenue appears on the "Joint Facilities" line.
- Miscellaneous revenue forecast (fees, field collection, check fees, notice fees, reconnect fees, and right of access) was developed by applying the inflation factor to the Historic Test Year values.
- Billing service fee was calculated by applying $1.76 per account per month.
- Miscellaneous third-party revenue forecast was developed by

applying the inflation factor to the Historic Test Year values.

- Supervision and administrative burdens are forecast by applying the inflation factor to the Historic Test Year values.
- The geothermal revenue forecast includes estimated revenue per customer per year, allocated between KEDNY and KEDLI.

V. Embedded Cost of Service Study

A. Purpose of ECOSS and Overview of Methodology

Q. What is an ECOSS and what is its purpose?

A. The purpose of an ECOSS is to apportion a utility's total revenue requirement, including plant and other investments, operating expenses, depreciation, and taxes among the rate classes served by the utility. The ECOSS computes, for each class, the revenue that must be collected from that class to produce the system average rate of return on rate base. This information provides guidance in revenue allocation and in the development of rates.

Q. Please summarize the methodology employed for the ECOSS.

A. The ECOSS is prepared by analyzing each element of the utility's revenue requirement and assigning or allocating it among the rate classes. The ECOSS was performed using a specialized model developed by HSG

Group. This model uses the traditional three-step process as follows:

- Functionalization – Each of the Company's costs and expenses, as well as rate base components, are assigned or allocated among each of the gas functions identified in Appendix A to the Commission's November 9, 2001 Order in Case 00-M-0504.
- Classification – Each functionalized cost element is separated into demand, commodity, and customer cost categories.
- Class allocation – Each functionally classified cost element is assigned or allocated among one or more of the Company's rate classes.

Q. Please describe the functionalization step of the ECOSS.

A. In the functionalization step, cost elements are separated among the utility's basic service functions by determining what physical purpose each cost element serves.

Q. What are the functions included in the ECOSS?

A. The functions included in the ECOSS are:

- Supply and Storage – availability and supply of gas and storage to meet seasonal and daily peak demands;
- Transmission – moves gas from supply and storage sources to

localized distribution facilities;

- Distribution – moves gas from the transmission system to customers' premises (includes service lines);
- Metering and Billing – connects customers to the system, measures their usage and demand, and bills for the services provided;
- Collections;
- Sales Promotion; and
- Procurement.

Q. Please describe the classification step of the ECOSS.

A. The Company's gas distribution system is designed to meet three primary objectives:

1. Connect customers to the Company's distribution system;
2. Meet the aggregate peak design day capacity requirements of all customers entitled to service on the peak day; and
3. Deliver natural gas commodity to customers, whether they are sales or transportation customers.

Based on these objectives, each functionalized cost element is classified as being customer-related, demand-related, or commodity-related, depending on which of the foregoing objectives it serves.

Cost elements classified as customer-related are incurred to attach a customer to the distribution system, meter gas usage, and maintain the customer's account. Customer-related cost elements are primarily a function of the number of customers served and are incurred by the Company whether or not an individual customer uses any gas. Such costs may include capital costs associated with the customer component of distribution mains, as well as costs for services, meters and metering, billing, customer service, and accounting and collection activities.

Demand or capacity related cost elements are associated with plant that is designed, installed, and operated to meet peak hourly or daily customer gas flow requirements. Demand-related components include transmission and distribution mains, localized distribution facilities, and dedicated facilities that are designed to satisfy individual customer maximum demands. Demand-related cost elements are allocated among the classes based on their contributions to the peak demand for which the system is designed.

Cost elements classified as commodity-related generally vary with the volume of gas sold or delivered (*i.e.*, throughput) to customers. Costs related to obtaining gas supply are classified as commodity-related.

Q. How were costs functionalized to Supply-Storage classified?

A. The classification step for Supply-Storage separated those costs into costs recovered through the GAC, and other costs related to supply and storage. The amount of costs recovered through the GAC was equal to the GAC revenue.

Q. Please describe the process for determining how much of the investment in mains should be considered customer-related versus demand-related.

A. Distribution mains are installed to connect customers to the distribution system (customer-related) as well as to provide capacity to meet customer requirements on the design day (demand-related). Therefore, the cost of mains is classified as partly customer-related and partly demand-related. Based on the results of its minimum-system study, the Company estimated the customer component of mains to be 46.17 percent and the demand component 53.83 percent. The customer component was allocated among the customer classes based on the number of customers. The demand component was allocated among the customer classes based on their contribution to design-day demand.

Q. Please describe how the minimum-system study was performed.

A. Minimum-system studies are a widely accepted method to classify mains between customer- and demand-related costs. The customer-related component is the portion of cost representing the least-cost system the utility would install simply to connect customers, without regard to the need to meet demand.

The analysis begins by obtaining from plant and accounting records the cost of mains the utility has installed in recent years, detailed by material (plastic, steel, and cast iron), length, and diameter. Then the installed cost per foot is computed for each material / diameter type.

The minimum system ratio is computed as the ratio of (X), the cost of replacing the entire mains distribution system with the minimum component, which is two-inch plastic, to (Y), the cost of replacing the entire mains distribution system with plastic of the same diameter as-installed.

This produced a minimum system ratio of 46.17 percent, which represents the portion of total mains cost simply to connect customers without regard to meeting their design-day demands (*i.e.*, customer-related costs).

Q. Please explain the allocation step of the ECOSS.

A. In the allocation phase of the ECOSS, the cost elements that have been functionalized and classified are allocated among the service classes. There are two types of allocation factors, or allocators, that are used for this purpose: external allocators and internal allocators. External allocators are based on special studies derived from data in the Company's accounting and other records. For example, the number of customers by service class is an external allocator that was used in the Company's ECOSS to allocate some of the customer care costs. Other examples of external allocators include annual deliveries, design day requirements, and historic bad debt experience. Internal allocators are based on some combination of external allocators, costs that are directly assigned, and other internal allocators. For example, the allocator for property insurance expense is based on plant investment assigned to each service class; therefore, it is necessary to compute plant investment by service class before property insurance costs can be allocated among the classes.

Q. Which service classes were identified for purposes of the allocation phase?

A. In the allocation phase of the ECOSS, the functionalized, classified cost elements were allocated among the service classifications shown in the table below.

Service Class
SC 1A – Residential Non-Heat
SC 1B – Residential Heat
SC 1B-DG – Residential DG
SC 2A – General Service Non-Heat
SC 2B – General Service Heat
SC 3A – Multi Family Non-Heat
SC 3B – Multi Family Heat
SC 4 – Interruptible Sales
SC 9 – Wholesale NGV
SC 7 – Interruptible Transportation
SC 12 – Temperature Controlled Sales
SC 13 – Temperature Controlled Transportation
SC 15 – High Load Factor
SC 16 – Year Round Space
SC 17 – Distributed Generation Sales

Q. Did the Panel prepare an exhibit that shows the allocators used for each cost element?

A. Yes, Exhibit ___ (RDP-3), Schedule 7A presents the allocator used for each cost element for each step of the ECOSS - functionalization, classification, and class allocation.

B. <u>ECOSS Results</u>

Q. Please explain Exhibit ___ (RDP-3).

A. Exhibit ___ (RDP-3) presents the ECOSS for the Rate Year. It is composed of the following schedules:

- Schedule 1 is a summary of the ECOSS results, discussed below.

- Schedule 2 summarizes the results of the class allocation step of the ECOSS and shows how each element of the total distribution revenue requirement is allocated among the services classes.
- Schedule 3 presents unit costs, indicating for each function the unit rates each class would be charged if it produced the system average rate of return.
- Schedule 4 presents the functionalization step of the ECOSS. The cost elements include plant, depreciation reserve, and other components of rate base, O&M expenses, depreciation expense, other taxes, income taxes, revenue, and return. The total distribution revenue requirements are presented using the Federal Energy Regulatory Commission ("FERC") Uniform System of Accounts.
- Schedule 5 presents the classification step of the ECOSS for Supply/Storage (classified between demand and commodity) and Distribution functions (classified between demand and customer). The cost elements are the same as for the functionalization step. Classification is not shown for Transmission or Procurement, because they are 100 percent demand-related, or for Metering/Billing, Collections, or Sales Promotion, which are 100 percent customer-related.

- Schedule 6 presents the class allocation step of the ECOSS. The cost elements are the same as for the functionalization and the classification steps. Separate schedules are included, as follows:
    - Schedule 6A – Supply-Storage, Non-GAC
    - Schedule 6B – Supply-Storage, GAC
    - Schedule 6C – Collections
    - Schedule 6D – Transmission
    - Schedule 6E – Distribution Demand-Related
    - Schedule 6F – Distribution Customer-Related
    - Schedule 6G – Billing
    - Schedule 6H – Sales Promotion
    - Schedule 6I – Procurement
- Schedule 7A presents the allocator used for each cost element for each step of the ECOSS – functionalization, classification, and class allocation.
- Schedules 7B, 7C, and 7D present, respectively, the values for each functionalization factor, classification factor, and class allocation factor.
- Schedule 8 presents the calculation of external allocation factors; a list of the schedules included is on the first page of the schedule.
- Schedule 9 describes the methodology used to prepare the ECOSS.

Q. Please summarize the results of the ECOSS.

A. Exhibit ___ (RDP-3), Schedule 1 presents by service class the revenue at present rates, rate of return on rate base at present rates, the revenue needed for the class to achieve the overall rate of return that the Company is requesting in this proceeding, and the increase or decrease to revenue at current rates, both in dollars and percent, needed for the class to achieve that rate of return. This information provides guidance for allocation of the Company's proposed revenue increase and rate design.

Q. For what period was the ECOSS prepared?

A. The Company's ECOSS reflects the Rate Year.

VI. Revenue Allocation, Rate Design, and Customer Bill Impacts

A. Exhibits

Q. Please summarize the exhibits relating to the Company's proposed revenue allocation, rate design, and bill impacts.

A. Exhibit ___ (RDP-4) presents and supports the Company's proposed revenue allocation, rate design, and resulting bill impacts.

- Schedule 1 presents the development of the Company's proposed revenue allocation by service class, which is discussed below.

- Schedule 2 is the reconciliation of the revenue requirement in the ECOSS to the Company's total revenue requirement, and reconciliation of the total increase to the components represented by change in delivery revenue, change in MFC, and change in other revenue.
- Schedule 3 details the specific delivery rate changes proposed for each rate block for each class, also discussed in detail below.
- Schedule 4 provides monthly bill comparison tables that show the net impact of the proposed rates for the Rate Year at different monthly consumption levels for the following service classifications ("SCs"): SC 1A, SC 1AR, SC 1B, SC 1B-DG, SC 1BR, SC 2-A, SC 2-B, SC 3, SC9, SC 15, and SC 16.
- Schedule 5 provides the estimated total annual bill impact of the proposed rates for the Rate Year for a typical SC 1B Residential Heating customer.
- Schedule 6 presents the proposed MFC components from the ECOSS.

B. <u>Revenue Allocation</u>

Q. Please summarize the methodology used to develop the Company's revenue allocation.

A. In developing the Company's proposed revenue allocation, the Panel considered the costs to provide the type and quality of service required by each service class as determined in the ECOSS. The proposed revenue allocation is intended to produce revenue from each service class that will move the service class rate of return closer to the overall rate of return that the Company is requesting, a concept known as "unity," while mitigating extreme impacts on customer groups, a concept known as "gradualism."

As presented in the testimony of KEDLI's Revenue Requirements Panel, the Company's revenue requirement is $1,257.8 million ($1,244.5 million without revenue taxes), representing an increase of $59.5 million ($58.9 million without revenue taxes) over revenue at present rates (*See* Exhibit ___ (RRP-1), page 2). After reflecting the effects of changes in other revenue items (MFC, Billing Service Fees, elimination of the TRS and EES), the Company requires base delivery revenue of $804.0 million, an increase of $58.2 million. Please refer to Exhibit ___ (RDP-4), Schedule 2, page 1 for details. The total delivery revenue impact is a $49.4 million increase, which equates to a 6.0 percent increase. Please refer to Exhibit ___ (RDP-4), Schedule 2, page 2 for details.

The allocation of the overall delivery revenue increase of $58.2 million, and

the development of class revenue targets, is presented on Exhibit ___ (RDP-4), Schedule 1. This is an increase of 7.8 percent over pro forma base delivery revenue at present rates. Pro forma delivery revenue equals delivery revenue based on forecast customer count and volume at present rates (line 1), adjusted to reflect the elimination of the TRS and the EES (lines 2-3). The TRS and the EES are included in the revenue requirement but will not be assessed as a surcharge/credit mechanism going forward. Instead, they will be in delivery rates going forward. The average rate of return was 5.72 percent (line 11).

To allocate the increase among the rate classes, the Panel employed the same methodology as in past cases. First, a tolerance band was developed for classes whose returns at present rates were close to the Company's overall rate of return at present rates. Using a tolerance band is intended to avoid disputes about minor issues in the ECOSS. The tolerance band was a rate of return 0.75 times the average on the low end and 1.25 times the average on the high end, or 4.29 percent to 7.15 percent. The classes within the tolerance band were SC 1B (slightly below the average return at 4.81 percent), and SC 2B, SC 3B, and SC 16 (slightly above the average return at 6.72 percent, 6.58 percent, and 6.64 percent, respectively). Revenue target for SC 1B was an increase of 7.98 percent (slightly over the average

increase) over pro forma revenue at present rates. Revenue targets for SC 2B, SC 3B, and SC 16 were increases of 7.62 percent (slightly under the average increase) over pro forma revenue at present rates.

Next, most of the service classifications with returns above the tolerance band (SC 2A, 3A, 18, and 19 (formerly SC 4, 7, 12, and 13), and SC 15) were assigned revenue targets 4.92 percent over pro forma revenue at present rates. SC 9 – NGV was assigned a revenue target below pro forma revenue at present rates because its current return is noticeably higher than that of any other service classification and the Company seeks to promote this energy-efficient technology.

The remaining service classes with returns below the tolerance band (SC 1A and SC 1DG) were assigned revenue targets of 15.6 percent over pro forma revenue at present rates, which is an increase twice the average increase. This information is present on Exhibit ___ (RDP-4), Schedule 1, page 2.

Q. Did the Panel compare total proposed delivery revenue to the revenue requirement?

A. Yes. The reconciliation of delivery revenue at current rates to proposed

delivery revenue is shown on Exhibit ___ (RDP-4), Schedule 2**.**

Q. Did the Panel compute rates of return at the proposed class revenue targets?

A. Yes. The rates of return are on Exhibit ___ (RDP-4), Schedule 1, line 52.

Q. Does the proposed revenue allocation move the classes closer to the system average rate of return?

A. Yes. Each class makes progress towards unity (the system average rate of return), as shown on Exhibit ___ (RDP-4), Schedule 1, line 55.

Q. How was the MFC reflected in the revenue allocation?

A. The Company is proposing to collect a total of $9.5 million through the MFC. In determining the amount to be collected in delivery rates, the proposed MFC revenue is excluded (Exhibit ___ (RDP-4), Schedule 1, line 17). The MFC proposed revenue is then added back for each rate class (line 42) to compute the return at current rates.

C. <u>Rate Design</u>

Q. What considerations were used in developing the Company's proposed rates?

A. The Panel considered the following in developing the proposed rates:

- To collect the revenue target established for each service class in the revenue allocation process.
- To avoid severely disproportionate impacts on customer subgroups within a class,
- To provide signals to customers to reflect the effects of their usage on the overall system, including supporting conservation.

Q. How were the proposed rates developed for SC 1A – Residential Non-Heat?

A. For SC 1A, the minimum charge was set to $22.30 per month, which is a slight increase over the current customer charge. This service classification has low usage per customer, and therefore, it is not feasible to put the entire increase in the volumetric rates. The two blocked volumetric rates were each increased to produce the same ratio of tail block rate to mid-block rate as at present.

Q. How were the proposed rates developed for SC 1B – Residential Heat?

A. For SC 1B, the minimum charge was set to $23.00 per month, a small increase over the current customer charge. The two blocked volumetric rates were each increased to produce the balance of the class revenue target.

Q. How were the proposed rates developed for SC 1DG – Distributed Generation ("DG")?

A. For SC 1DG, the minimum charge was set to $35.75 per month, a modest increase over the present charge. The one-block volumetric rate was set to produce the balance of the class revenue target.

Q. How were the proposed rates developed for SC 2A – Non-Residential Non-Heat?

A. For SC 2A, the minimum charge was increased slightly to $39.30. The three blocked volumetric rates were each increased to produce the balance of the class revenue target.

Q. How were the proposed rates developed for SC 2B – Non-Residential Heat?

A. For SC 2B, the minimum charge was increased to $40.00. The three blocked volumetric rates were each increased to produce the balance of the class revenue target.

Q. How were the proposed rates developed for SC 3 – Multi-Family?

A. For SC 3, the minimum charge was increased to $78.00. The two blocked

volumetric rates were each increased to produce the balance of the class revenue target.

Q. How were the proposed rates developed for SC 9 – Wholesale NGV?

A. For SC 9 – Wholesale NGV, the minimum charge was increased substantially to $150.00, approximately ten percent of total customer-related costs. The one-block volumetric rate is set at $0.3743, which is kept low to support the energy conservation benefits from customers participating in this service classification.

Q. How were the proposed rates developed for SC 15 – High Load Factor?

A. For SC 15 – High Load Factor, the minimum charge was increased slightly to $160.00 per month, less than 15 percent of total customer-related costs. The balance of the class revenue target is recovered in a single volumetric block.

Q. How were the proposed rates developed for SC 16 – Year Round Space Conditioning?

A. For SC 16 – Year Round Space Conditioning, the minimum charge increased slightly to $240.00 per month, about ten percent of customer-related costs. The two blocked volumetric rates were each increased to

produce the balance of the class revenue target.

Q. How were the proposed rates developed for the new non-firm demand response service classification?

A. Currently, non-firm demand response (TC/IT) customers are served under SC 4, 7, 12, and 13. Pursuant to the Commission's "Order Approving Tariff Revisions and Directing Further Tariff Filings" issued on February 7, 2019 ("TC/IT Order") in Cases 16-G-0058 and 16-G-0059, the Company is combining SC 4, 7, 12, and 13 into single sales and transportation service classifications (SC 18 and 19, respectively), each with two tiers that includes both TC and IT customers (Tier 1 interruptible at 15 degrees Fahrenheit, and Tier 2 at 20 degrees Fahrenheit). In recent years, an average of eight days were 15 degrees or below and an average of 18 days were 20 degrees or below.

The proposed minimum charge is $450.00 for all non-firm customers, compared to the present charges of $375.00 for all non-firm customers. The proposed charge is less than 68 percent of the customer-related costs for the service classification.

For Tier 1, a single rate was developed at $0.2907. This rate is lower than

the current rate for SC 4 – Interruptible Sales and SC 12 – Temperature Controlled Sales ($0.2914). It is also lower than the proposed tail block rates for the comparable firm service class, SC 2 ($0.3064).

For Tier 2, the proposed rate is $0.2762, which is a reduction of five percent from the Tier 1 rate reflecting the lower level of service because Tier 2 customers would be interrupted at a higher temperature than a Tier 1 customer.

Exhibit ___ (RDP-4), Schedule 7 provides illustrative examples for both Tier 1 and Tier 2 customers comparing the proposed non-firm rates for a sales customer to the otherwise applicable firm rates at different usage levels. These illustrative examples show that a non-firm sales customer will pay less on the proposed non-firm rates than the otherwise applicable proposed firm rates.

The Company is also proposing to expand eligibility for Company-sponsored energy efficiency programs to include non-firm customers. If this proposal is approved, the Company will reallocate ETIP costs to include non-firm customers, which will increase delivery rates for non-firm customers to account for their allocable portion of the ETIP costs.

Q. How were the proposed rates developed for SC 17 – Distributed Generation?

A. SC 17 has different minimum charges based on the capacity of the customer's DG installation and different volumetric charges based on the capacity and season. There is also a demand charge based on the customer's installed capacity. The rates are not blocked based on usage levels. Each of the present rates was increased by the same percentage.

D. <u>Customer Bill Impacts</u>

Q. Please describe the impact of the Company's rate design proposals on typical customer bills in the Rate Year.

A. The Company evaluated the impact of its rate design proposals on customer bills in the Rate Year using two approaches. First, for each service classification, the Company prepared monthly bill comparison tables that show the net change to customers' monthly delivery and gas commodity charges for different levels of usage as set forth in Exhibit ___ (RDP-4), Schedule 4. Second, the Company evaluated the annual Rate Year bill impact for an average SC-1 residential heating customer. As shown on Exhibit ___ (RDP-4), Schedule 5, pages 1 to 2, an average residential heating customer is estimated to see an annual total bill increase of five

percent.

VII. Lost and Unaccounted for Gas

Q. Is the Company updating its LAUF target?

A. Yes. As shown on Exhibit ___ (RDP-5), the Company updated its LAUF target to reflect the experience of the last five GAC years (twelve-month periods ended August 31, 2014, 2015, 2016, 2017, and 2018) using the methodology adopted in the 2016 KEDLI Rate Case. This is also consistent with the LAUF White Paper published by the Department of Public Service Staff in Case 12-G-0544. The updated LAUF target is 3.218 percent with a standard deviation of ±1.166 percent. The dead band is equal to ±2 standard deviations from the LAUF target and has an upper band of 5.550 percent and lower band of .886 percent. The Company will reconcile its performance under the LAUF incentive as part of its annual Gas Cost Reconciliation filing.

Q. Is the Company proposing any changes to the current LAUF mechanism?

A. Yes. First, the Company is proposing to discontinue the inactive account adjustment beginning on September 1, 2020. Second, the Company is proposing to implement the updated LAUF targets effective September 1,

2020. Third, the Company is changing its factor of adjustment calculation.

Q. Why is the Company proposing to remove the inactive account adjustment?

A. In accordance with the Joint Proposal in the 2016 KEDLI Rate Case, beginning on September 1, 2017, the Company adjusted the annual LAUF calculation for an estimate of gas usage associated with inactive meters. However, the adjustment for inactive accounts double counts the impacts of inactive accounts in the LAUF calculation. Because an inactive account is an account that has gas flowing without a customer of record, it would not be included in metered deliveries when the Company calculates the actual LAUF. Therefore, inactive account usage is already increasing the Company's losses, and to the extent that actual LAUF is above the upper deadband, the Company incurs a penalty for inactive account usage. For this reason, the Company believes the requirement to adjust actual LAUF for inactive account usage is unnecessary.

Q. Why is the Company proposing to make the updated LAUF target effective on September 1, 2020?

A. The Company's current LAUF targets become effective on January 1 of each year, which creates the need to develop a blended LAUF target for the

annual reconciliation. The Company is proposing to change the effective date of the updated LAUF target to September 1 beginning in 2020 so that the change coincides with the GAC year ending August 31 of each year.

Q. Is the Company proposing any changes to the factor of adjustment calculation?

A. Yes. Currently, the factor of adjustment used to gross up gas deliveries for LAUF is calculated as the constant 1.0 plus the LAUF percentage. The Company is proposing to change the calculation to 1.0 divided by 1.0 minus the LAUF percentage to more appropriately reflect distribution line losses. This revised calculation is consistent with how the factor of adjustment is calculated for NMPC as updated in Case 17-G-0239.

VIII. New York Facilities System

Q. Please describe the NYFS.

A. The NYFS is a high-pressure gas transmission system that spans the service territories of KEDNY, KEDLI, and Con Edison (collectively, the "NYFS Companies") and interconnects the NYFS Companies with the interstate pipelines that serve the New York metropolitan region. Gas received into the NYFS from the interstate pipelines is delivered directly, and/or by displacement, to the NYFS Companies. The carrying costs and

operation and maintenance costs associated with the NYFS ("NYFS costs") are allocated among the NYFS Companies pursuant to the NYFS Agreement.

Q. How does the Company currently recover NYFS costs from customers?

A. Currently, the Company's share of NYFS costs are included in the revenue requirement and recovered in firm delivery rates. In accordance with the "Order Regarding NYFS Agreement" issued October 18, 2018 in Case 18-G-0318, the Company reconciles actual costs to the amounts included in base rates. Any over or under recoveries are included in the NYFS surcharge mechanism included on the Statement of NYFS Surcharge.

Q. Is the Company proposing any changes to how it recovers and reconciles NYFS costs?

A. The Company included an estimated net revenue of $1.62 million for the Rate Year on Exhibit ___ (RDP-2). If actual net revenues received in the Rate Year vary from the amount included in base rates, the Company proposes to continue to reconcile the difference annually through the Statement of NYFS Surcharge. The only change the Company is proposing is relative to the timing of the reconciliation. Currently, the NYFS costs are reconciled on a calendar year basis, with any over or under recoveries

reconciled through the NYFS surcharge beginning April 1 of each year. The Company proposes to change the reconciliation to a fiscal year ("FY") basis (twelve months ending March 31) to align with the timing of the costs included in base rates. The new effective date of the reconciliation will be July 1 of each year. To facilitate the transition, the stub period (January to March 2020) will be included in the reconciliation of FY 2021.

IX. Merchant Function Charge

Q. Please describe the Company's current MFC.

A. The MFC is designed to recover certain expenses associated with the Company's role of providing gas procurement functions for (i) customers who take firm sales service under SC 1 – Residential, SC 2 – Non-Residential, SC 3 – Multi Family, SC 15 – High Load Factor Service, SC 16 – Non-Residential Year-Round Air Conditioning, and SC 17 – Baseload Distributed Generation Sales; (ii) customers who take transportation service under SC 5 – Firm Transportation Service; (iii) TC and IT sales customers; and (iv) ESCOs that participate in the Company's Purchase of Receivables ("POR") program. Specifically for the firm sales customers, the MFC is designed to recover the costs associated with gas supply procurement, commodity-related credit and collection expenses, commodity-related uncollectible expenses, return requirement on gas purchase-related working

capital, the return requirement on gas storage inventory, and commodity related working capital expenses. For firm transportation customers, the MFC is designed to recover the return requirement on gas storage inventory that the Company manages on behalf of these customers. For TC and IT sales customers, the MFC is designed to recover the costs associated with gas supply procurement, commodity-related credit and collection expenses, commodity-related uncollectible expenses, and return requirement on gas purchase-related working capital.

Q. What components of the MFC are applicable to ESCOs that participate in the Company's POR program?

A. Consistent with the Commission's "Order Requiring Modifications to Billing Services Agreements" in Case 06-G-1185 (issued September 25, 2009), ESCOs that participate in the Company's POR program are charged for the commodity-related uncollectible costs and credit and collection expenses.

Q. Is the Company proposing any changes to its MFC?

A. Yes. The Company is proposing to update the MFC to reflect the most recent target.

Q. Did the Company prepare a summary of total MFC revenues for the Rate Year?

A. Yes. As set forth on Exhibit ___ (RDP-6), Schedule 1, the Company has summarized all the MFC components for the Rate Year and the GAC year (twelve months ending August 31), which aligns with the Company's Cost of Gas reconciliation.

Q. Has the Company updated its calculation of gas supply procurement expense?

A. Yes. As set forth on Exhibit ___ (RDP-6), Schedule 3, page 1, the Company updated its gas supply procurement expenses to reflect the Rate Year revenue requirement. As shown on the exhibit, the updated gas supply procurement expenses total for the GAC year is $1,344,721 and the per dekatherm rate is therefore set at $0.01705. Consistent with the current mechanism, the Company will reset the gas supply procurement expense per dekatherm charge annually based on the latest sales forecast and reconcile revenue to the target as shown on Exhibit ___ (RDP-6), Schedule 3, page 1. Additionally, Exhibit ___ (RDP-6), Schedule 2, page 1 summarizes the annual target from the Rate Year into the GAC year.

Q. Did the Company update its calculation of the commodity-related credit and collection expense?

A. Yes. Exhibit ___ (RDP-6), Schedule 3, page 2 shows the updated commodity-related credit and collection expense to reflect the Rate Year revenue requirement. As shown on the exhibit, updated commodity-related credit and collection expenses total for the GAC year is $1,545,163 and the per dekatherm rate is therefore set at $0.01432. Consistent with the current mechanism, the Company will reset the commodity-related credit and collection expenses total per dekatherm charge annually based on the latest sales forecast and reconcile revenues to the target as shown on Exhibit ___ (RDP-6), Schedule 3, page 2. Additionally, Exhibit ___ (RDP-6), Schedule 2, page 2 summarizes the annual target from Rate Year into the GAC year.

Q. How did the Company calculate the commodity-related uncollectible components of the MFC?

A. As described in the direct testimony of the Shared Services Panel, the Company determined the uncollectible rate by dividing net charge-offs by the sum of: (i) total non-ESCO Revenues; and (ii) ESCO/POR revenue. As shown on Exhibit ___ (RDP-6), schedule 3, page 3, the uncollectible percentage is 0.6341 percent.

Q. Did the Company update its calculation of the commodity-related uncollectible account expense?

A. Yes. An example of the calculation is set forth on Exhibit ___ (RDP-6), Schedule 3, page 4. The unit rate is determined monthly by multiplying the GAC rate for each service class by the uncollectible percentage. In addition, Exhibit ___ (RDP-6), Schedule 3, pages 5 and 6 shows the calculation of the commodity-related uncollectible account expense for the Rate Year and GAC year total.

Q. Did the Company update its calculation of the return requirement on gas purchase-related working capital?

A. Yes. An example is set forth on Exhibit ___ (RDP-6), Schedule 3, page 7. To arrive at the working capital percentage related to purchased gas, the Company multiplied the "lead-lag" percentage by the Company's pre-tax weighted average cost of capital ("WACC"). In addition, Exhibit ___ (RDP-6), Schedule 3, pages 8 and 9, shows the calculation of the total return requirement on gas purchase-related working capital expense for the Rate Year and GAC year total.

Q. Did the Company update its return requirement on gas storage inventory?

A. Yes. An example of the calculation is set forth on Exhibit ___ (RDP-6), Schedule 3, page 10. The Company updated its return requirement on gas storage inventory target based on the latest storage cost forecast. The pre-tax WACC has been updated in the calculation as well.

Q. Please describe how the Company proposes to calculate the stub period (April 1, 2020 to August 31, 2020) reconciliation.

A. An illustrative example of how the Company proposes to develop the stub period reconciliation is shown on Exhibit ___ (RDP-6), Schedule 4. Fiscal Year 2021 encompasses five months of the Rate Year expense levels (April 1, 2020 to August 31, 2020) and seven months of the target revenue from the third rate year of the 2016 KEDLI Rate Case (September 1, 2019 to March 31, 2020). The Company will calculate the over/under recoveries for (i) gas supply procurement charge target revenue, (ii) commodity related credit and collection charge, and (iii) return requirement on gas storage inventory by prorating the allowed expense levels for the five- month period from April 1, 2020 to August 31, 2020. The stub period over/under recoveries will be added to the over/under recoveries from the 2016 KEDLI Rate Case target revenue for the period September 2019 through March 2020. The resulting total over/under recoveries will be included in the MFC reconciliation rates effective January 1, 2022.

X. Revenue Decoupling Mechanism

Q. Please describe the Company's current RDM.

A. Under the Company's current RDM, a revenue per customer target is set for delivery service revenues from customers taking service under SC 1B – Residential Heating, and actual revenues are trued up against the revenue per customer target annually. For SC 2 and SC 3 customers, a revenue per class target is set for delivery service revenues from those customers and actual revenues are trued up against those revenue per class targets annually. Any over/under collections from the SC 3 class are refunded or collected from all SC 3 customers in the following year. Any over/under collections for SC 2 heat and SC 2 non-heat customers are aggregated and collected from or refunded to all SC 2 customers in the following year. In addition, any customer growth that exceeds the growth assumed in the revenue forecast is calculated at a marginal cost rate and is an adjustment to the annual RDM reconciliation. The annual average number of customers included in the sales forecast for the SC 2 heat, SC 2 non-heat, and SC 3 classes is compared to the actual annual average number of customers in the reconciliation year. This comparison excludes any customer migration that occurs in the Rate Year between the SC 2 non-heat and SC 2 heat classes. After making the adjustment for SC 2 customer migration, if the actual

annual average number of customers is greater than the forecast annual average number of customers, the difference is multiplied by the marginal cost rates established in the MCS and removed from the actual revenues used to calculate the RDM over or under collection for the applicable rate year. In addition, revenues obtained from TC and IT customers that migrate to SC 2 and SC 3 firm service classes are excluded.

Q. Is the Company proposing to modify its RDM?

A. Yes. The Company is proposing the following changes:

- Implement a revenue per class mechanism for SC 1B customers;
- Remove incremental growth incentives in SC 2 and SC 3 RDM;
- Expand the RDM to SC 1A; and
- Change the timing of the RDM reconciliation to a FY basis.

Q. Why is the Company proposing to modify the SC 1B RDM mechanism?

A. The Company proposes to modify the SC 1B RDM to be calculated on a revenue per class basis because it better supports the Commission's goals to promote cost-effective energy conservation.

Q. How will the Company develop the SC 1B revenue per class targets?

A. The revenue per class targets will be set to include delivery service revenues for customers taking service under SC 1B. Actual revenues, including any weather normalization adjustments, will be compared to the revenue per class targets annually. The revenue per class targets can be found on Exhibit ___ (RDP-7).

Q. Is the Company proposing to modify its RDM for the SC 2 and SC 3 classes?

A. Yes. In addition to updating the current RDM targets for SC 2 and SC 3, the Company proposes to remove the incremental growth incentive currently allowed under the Tariff because the customer and usage forecasts used to develop the RDM targets already reflect a robust level of growth based on the Company's historic level of adding new customers and load. Updated revenue per class targets can be found on Exhibit ___ (RDP-7).

Q. Is the Company proposing to expand its RDM to any additional classes?

A. Yes. The Company is proposing to expand its RDM to the SC 1A – Residential Non-Heating service using a revenue per class target account for migrations between SC 1B and SC 1A. Without an RDM for SC 1A, the Company will lose any revenue associated with conversions from

residential non-heat (SC 1A) to heat (SC 1B) until the targets are updated in a subsequent case.

Q. What is the Company's RDM proposal for SC 1A?

A. Similar to the proposed RDM methodology for SC 1B, the revenue per class targets will be set to include delivery service revenues for customers taking service under SC 1B. Actual revenues will be compared to the revenue per class targets annually. Any over/under collections for SC 1 heat and SC 1 non-heat customers will be aggregated and collected from or refunded to all SC 1 customers in the following year. The revenue per class targets can be found on Exhibit ___ (RDP-7).

Q. Will the Company continue the lost revenue calculation for SC 1A?

A. No, the Company would discontinue the lost revenue calculations for SC 1A once the RDM goes into effect.

Q. What other modifications to the RDM does the Company propose?

A. Currently, the RDM reconciliation is performed on a calendar year basis. The Company proposes to instead reconcile the RDM on a fiscal year basis, which would align with the timing of the targeted revenue per class. The new proposed effective date of the reconciliation will be July 1 of each

year. To facilitate the transition, the stub period (January to March 2020) will be included in the reconciliation for FY 2021.

XI. Electric Generator Revenue

Q. Please describe the Company's current treatment of electric generator revenue.

A. The Company credits 100 percent of the revenues from electric generators to the Company's revenue requirements to reduce delivery rates to firm sales and firm transportation customers. The Company reconciles the difference between the electric generator revenues included in the Company's revenue requirements and the actual revenues it recovers from the electric generators at the end of each rate year. Any difference is either credited or surcharged to firm sales and firm transportation customers through the delivery rate adjustment ("DRA") for the twelve-month period starting March 1.

Q. Is the Company proposing to update the electric generator targets?

A. Yes. The Company is proposing to update the electric generator revenue targets to reflect the average revenue received from electric generators in the last two calendar years. Exhibit ___ (RDP-14) shows the updated revenue targets.

XII. Proposed Modifications to Tariff Services, Fees, and Provisions

Q. Is the Company proposing any changes to the service classifications, fees, or other provisions in its Tariff?

A. Yes, the Company is proposing the following changes to its Tariff:

- Modify the Tariff to:
  - Eliminate the mid-year adjustment to the annual cost of gas imbalance factor;
  - Eliminate the mid-year adjustment to the MFC annual imbalance factor;
  - Update Tariff provisions relating to the GSRS;
  - Update Tariff provisions relating to the customer billing charge to include SC 9; and
  - Update Tariff provisions relating to the Annual Cost of Gas Imbalance surcharge/refund calculation.
- Modify the TC/IT service classifications, including modifications to the GAC;
- Modify the SBC to reflect movement of ETIP costs into base rates and propose new service classification eligibility;
- Implement a new Green Gas tariff offering;
- Implement a new EAM surcharge;

- Update Tariff fees:
  - Unproductive field visit
  - Re-establishment charge
  - Non-residential collection fee
  - Suspension fee charged to ESCOs
- Update the paperless billing credit;
- Update the consolidated billing charge; and
- Modify the Economic Development Discount program.

A. <u>Modifications to Gas Tariff Provisions</u>

Q. Please describe the current mid-year adjustment to the annual cost of gas imbalance.

A. The Company currently has the flexibility to implement an adjustment to the annual cost of gas imbalance surcharge or refund as necessary, each March 1 for the remainder of the calendar year for sales customers taking service under SCs 1, 2, 3, 9, 15, 16, and 17. If implemented, the adjustment includes an adjustment for principal and interest estimated to be recovered under the currently effective annual cost of gas imbalance surcharge or refund during January and February of the year the imbalance is being surcharged or refunded.

Q. Why is the Company proposing to remove this tariff provision?

A. The Company currently has the flexibility to implement a monthly cost of gas imbalance surcharge or refund as needed from October 1 through July 31 to minimize any year-end gas cost over or under recoveries. There is currently no cap on the monthly imbalance surcharge or refund. The monthly imbalance provision provides enough flexibility for the Company to manage annual cost of gas imbalances, inclusive of the prior year cost of gas imbalances. The calculation of a revised prior year annual imbalance is cumbersome and is not necessary to manage customers' cost of gas imbalances. For this reason, the Company is proposing to remove this provision.

Q. Please describe the current mid-year adjustment to the MFC annual imbalance.

A. The Company currently has the flexibility to implement an adjustment to the MFC imbalance surcharge or refund as necessary, each March 1 for the remainder of the calendar year for firm sales customers taking service under SCs 1, 2, 3, 9, 15, 16, and 17, firm transportation under SC 5, TC and IT sales customers, and ESCOs that participate in the Company's POR program. If implemented, the adjustment includes an adjustment for principal and interest estimated to be recovered under the currently effective

MFC imbalance surcharge or refund during January and February of the year the imbalance is being surcharged or refunded.

Q. Why is the Company proposing to remove this tariff provision?

A. The MFC imbalances are generally immaterial and the revisions to the imbalances result in very small differences. For the same reasons mentioned above for the annual cost of gas imbalance, the Company is proposing to remove this provision.

Q. Does the Company propose any changes to the current GSRS?

A. Yes. As explained in the GIOP testimony, the Company proposes to expand the current GSRS mechanism to include a customer connections (unit cost) productivity incentive. In addition, the Company is proposing to include clarifying language in the Tariff regarding the recovery of incentives relative to leak prone pipe ("LPP") removal, LPP productivity, and leak repair incentives currently being recovered through the GSRS. Finally, to the extent professional engineering certification, operator qualification, and similar pipeline safety requirements are finalized after rates are set in this proceeding, the costs of those programs would be recovered through the GSRS, and the Tariff would be revised accordingly.

Q. What other changes to the Tariff provisions concerning the GSRS does the Company propose?

A. Currently, SC 1, 2, 3, 15, 16, and 17 firm sales and SC 5 firm transportation are charged the GSRS. In the 2016 KEDLI Rate Case, SC 9 was inadvertently excluded in the GSRS even though the surcharge should apply to all firm sales and firm transportation customers. Therefore, the Company will update the Tariff to include SC 9 and charge the GSRS accordingly.

Q. Please describe the proposed changes to the customer billing charge in the Tariff.

A. Currently, the customer billing charge under the Tariff only charges SC 1, 2, 3, 4, 7, 12, 13, 15, 16, and 17. In the 2016 KEDLI Rate Case, the Company inadvertently excluded SC 9 from the customer billing charge, even though the charge should apply to all customers. Therefore, the Company is updating the Tariff to include SC 9 and charge accordingly.

Q. Please describe the proposed changes to the Annual Cost of Gas Imbalance surcharge or refund provision in the Tariff.

A. Currently, under the section describing the calculation of the Annual Cost of Gas Imbalance surcharge/refund, the Tariff lists three components for the "Total Actual Gas Credits" used in the reconciliation: (i) Actual Off-System

Revenue Credits, (ii) Actual Marketer Capacity Program Credits, and (iii) Actual Non-Core Swing Service and Daily Balancing Service Demand Charge Credits. In practice, however, a fourth component is included in the calculation of the Total Actual Gas Credits – Non-Firm Demand Response Penalty Refund – and was inadvertently excluded in the Tariff. Therefore, the Company is updating the Tariff to accurately reflect the current calculation.

B. Modify the TC and IT Service Classifications

Q. Please explain the modifications being proposed to the current TC and IT service classifications.

A. The TC/IT Order directed the Company to file proposed tariff revisions to create and/or revise its current non-firm service classifications to combine the existing TC and IT services and to implement two pricing tiers determined by the customer's fuel switching equipment. Additionally, the TC/IT Order directed the Company to address related rate design issues in its next rate case. Accordingly, the Company developed SC 18 – Non-Firm Demand Response Sales Service, under which it will serve all TC and IT sales customers. TC/IT transportation customers will be placed into a new subclass, SC 19 – Non-Firm Demand Response Transportation Service. For both SC 18 and SC 19, the Company proposes to implement two pricing

tiers determined by a customer's switching equipment. As discussed earlier, Tier One customers will utilize automatic switching equipment and receive service so long as the outside temperature remains at or above 15 degrees Fahrenheit. Under Tier Two, customers will utilize manual switching equipment and receive service so long as the outside temperature remains at or above 20 degrees Fahrenheit. Tier Two customers will pay a lower rate than Tier One customers due to the higher frequency of interruption. Additionally, customers served under the new service classifications will continue to be subject to interruption for any supply or system reliability considerations.

Q. What is the Company's proposal regarding gas costs to serve customers under SC 18?

A. In addition to implementing a two-tier non-firm service classification as described above, the Company proposes to include the non-firm demand response gas costs in its annual gas cost reconciliation. Non-firm customers will share in the annual over/under recoveries that currently only apply to firm sales customers.

Q. How does the Company propose to calculate non-firm commodity costs?

A. The Company proposes to apply the current TC cost of gas methodology to calculate non-firm commodity costs. The non-firm commodity cost would consist each month of the weighted average cost of gas multiplied by the unaccounted for gas factor plus the non-firm demand charge.

Q. Does the Company propose any other changes to the new non-firm demand response service offering?

A. Yes. The TC/IT Order directs the Company to file revised tariff leaves that reflect Staff's recommendations discussed in the Commission's "Order Approving in Part Tariff Amendments" issued December 14, 2018 in Case 18-G-0585. First, the Company will amend the Tariff to have all interruptible gas service customers contribute to, and be eligible for, energy efficiency programs. Therefore, customers under the new non-firm service classification will contribute to the SBC, and the service class delivery rates will include the ETIP costs. The Company updated the annual revenue target for TC/IT customers applicable to the new non-firm demand response service classification and will reconcile the non-firm demand response revenues utilizing the current TC/IT revenue reconciliation method. The revenue target for SC 18 and 19 is $3.591 million for the period April 1, 2020 through March 31, 2021.

Second, the Company will amend the Tariff to include a new definition for critical care customers and clarify applicable interruptibility rules, as discussed further below. The updated interruptibility matrix contained in the Company's Gas Transportation Operating Procedure manual can be found on Exhibit ___ (RDP-13).

The TC/IT Order directs the Company to submit Tariff revisions to reflect the above changes. Accordingly, on May 8, 2019, the Company will submit a revised Tariff filing in Case 16-G-0058. The filing will contain the same Tariff changes proposed herein, with the exception of the rates under the new non-firm demand response service classification being different.

Q. What is the Company's proposal regarding critical care customers?

A. Critical care customers are any non-firm customers that provide life-saving or life-sustaining services (*i.e.*, hospitals providing critical care, nursing homes, correctional facilities, or designated areas of refuge, identified on an annual basis by local or state governmental agency), where public safety could be affected by a need to relocate the occupants. All other customers are considered non-critical care. The Company proposes to modify the Tariff to include a definition of a critical care customer and clearly outline the steps the Company will take when critical care customers incur two

unauthorized use violations (two strikes) in one winter season. The Company also proposes to modify its remediation plan for bringing strike two customers in compliance with the Tariff. This plan will include requirements that: (i) the customer complete an efficiency audit at the customer's expense; and (ii) the customer install, at the customer's expense, a tank monitoring device that alerts the customer's fuel oil supplier of tank levels.

Q. Does the Company propose any changes to its current process related to obtaining alternate fuel affidavits from TC/IT customers?

A. No. The Company proposes to continue its current three-year process to secure affidavits from all TC/IT customers, which will be fully implemented at the end of winter 2019/2020. At that time, the Company will explore imposing penalties on customers that have not returned their affidavit.

Q. Did the Company consider the proposal by Estates NY Real Estate Services LLC ("Estates") discussed in the TC/IT Order?

A. Yes. As committed to in the TC/IT Collaborative Report submitted by KEDNY and KEDLI in the 2016 KEDLI Rate Case, the Company further considered and analyzed Estates' proposal for a new dual-fuel firm service

classification. At this time, the Company does not believe that a new service classification is warranted. The proposed dual-fuel firm service classification, under which Estates would be the only customer, is different from, and inconsistent with, the Company's current non-firm demand response offerings. Estates' proposal is akin to a peaking agreement and does not necessarily require a new service classification to accommodate. Furthermore, Estates is currently participating in the Company's Demand Response Demonstration project, which the Company is proposing to expand as discussed in the testimony of the Future of Heat Panel. The Company believes that its proposal to expand the current Demand Response project will be beneficial to Estates and provide many of the same benefits that it was seeking through a dual-fuel service classification.

C. <u>Modify the SBC</u>

Q. Is the Company planning to make any changes to the service class eligibility for SBC programs?

A. Yes. The Company proposes to expand the SBC to the following service classifications: SC 17 – Baseload Distributed Generation, SC 5–17 – Baseload Distributed Generation (firm service classifications), SC 18 – Non-Firm Demand Response Sales Service, and SC 19 – Non-Firm Demand Response Transportation Service (new non-firm demand response

service classifications). Contributing to the SBC will enable customers served under these service classifications to be eligible for the Company's energy efficiency programs. The Company has not yet reflected the proposed changes to SBC eligibility in the revenue allocation, rate design, or bill impacts pending Commission approval.

Q. Is the Company planning to change how it recovers the cost of Company sponsored energy efficiency programs?

A. Yes. The Company is proposing to recover the cost of Company-sponsored energy efficiency programs, which is currently recovered through the EES, in base rates. The SBC would then only include the cost of the NYSERDA energy efficiency programs, which is recovered through the CEF surcharge. Any customer classes that are currently exempt from paying for energy efficiency programs (with the exception of SC 17, 5-17, 18, and 19 as explained above) would continue to be exempt. These classes would not pay the SBC surcharge and their base rate charges will exclude any allocations of ETIP costs.

Q. Is the Company planning to reconcile actual ETIP costs included in base rates to the revenue received from customers?

A. Any over/under recovery of ETIP costs will be included in RDM reconciliations for SC 1A, SC 1B, SC 2, and SC 3. The Company will reconcile the actual ETIP revenue recovered from all other service classifications that are required to pay the ETIP to the amounts included in rates over the term of the rate plan. Any differences will be refunded to or recovered from customers through the DRA (including carrying charges at pre-tax WACC) after the end of the rate plan. The rates will appear on the Statement of Energy Efficiency Program Costs.

D. Green Gas Tariff

Q. Please explain the proposed Green Gas Tariff.

A. As explained in the testimony of the Future of Heat Panel, KEDLI is introducing an innovative RNG program that promotes renewable energy source in its supply portfolio and offers firm customers the option of purchasing RNG. This program is available to all firm sales customers served under SCs 1A, 1B, 1BDG, 2, 3, 9, 15, 16, and 17. This offering allows customers the opportunity to participate in the program by paying an Green Gas Adder that will help to offset the premium cost for this renewable product.

Q. Please explain how customers will be able to participate in the Green Gas program.

A. Residential customers served under SC 1 will have the option to elect a fixed dollar amount to be dedicated to RNG in their monthly bill. Non-residential customers will have the option of either a flat rate each month or a percentage of their monthly consumption be dedicated to RNG.

Q. How will the Company reconcile RNG recoveries to actual RNG procurement costs?

A. The Company proposes to reconcile the costs of the Green Gas programs separately from the non RNG procurement costs through a separate reconciliation. Any over or under recoveries will only be applicable to customers participating in the Green Gas programs.

Q. What tariff modifications will be necessary to implement the Green Gas Tariff?

A. The Company will add a "Green Gas RNG" rider to its General Information section of the Tariff. The Company will also modify its monthly cost of gas section of the Tariff to include a "Green Cost of Gas" calculation.

E. Modifications to SC 9 NGV Tariff

Q. Please explain the proposed changes to SC 9 – NGV tariff provisions.

A. As explained in the Future of Heat testimony, NGVs provide one of the most economically viable ways to reduce carbon emissions in transportation. As New York State seeks to decrease its overall greenhouse gas emissions, transportation will be an important sector to address. For these reasons, the Company is proposing to design rates that will be more closely aligned with the market for motor fuels used by fleets and to offer an interruptibility option for new NGV customers on the SC 9 – NGV rate. This option will be offered to new NGV customers because they are more likely to have options to temporarily modify their fueling profiles during periods of peak demand. The Company would install automatic fuel switching equipment and interruptions would occur similarly to current TC interruptions.

Q. How did the Company design the proposed SC 9 – NGV rates?

A. As explained above, the SC 9 class had returns significantly above the tolerance band but was assigned a revenue target below pro forma revenue at present rates because its current return is noticeably higher than any other class and to support this energy efficient technology. The Company is proposing to increase the customer charge, which includes the first three

therms, from $38 to $150. For usage over three therms, the Company is proposing a rate of $0.3743 per therm, which is a 42 percent decrease from the current per therm charge of $0.6422 per therm. This reduction in the per therm rate was necessary to more closely align the rates with cost of service and the market for motor fuels used by fleets. As explained in the Future of Heat Panel testimony, the Company proposes to monitor the market and, if market conditions warrant, petition the Commission to adjust the rates.

Q. Is the Company proposing to charge different rates for firm customer and interruptible customers on this rate?

A. No. The Company is proposing to charge the same delivery rates for customers regardless of whether they are firm or interruptible. The benefit for interruptible customers is that they will save capital costs through a lower contribution in aid of construction.

F. <u>Earnings Adjustment Mechanism Surcharge</u>

Q. Please describe the Company's proposed recovery for EAM incentives.

A. As discussed in the testimony of the Future of Heat Panel, the Company proposes a gas energy efficiency EAM to support the Commission's REV objectives and the New York State Energy Plan. The Company is proposing

to earn an incentive on these EAMs beginning in 2020 for the reasons described in the Future of Heat Panel testimony. The Company proposes to allocate the earned incentives to the service classes based on peak sendout and collect on a per-therm basis. Exhibit ___ (RDP-10) provides an example of the calculated surcharge. The EAM surcharge will be included in the DRA recovered from SC 1, 2, 3, 9, 15, 16, and 17 firm sales and SC 5 firm transportation customers beginning the following April 1.

G. Update Gas Tariff Fees

Q. Does the Company propose to update any of its Tariff fees?

A. Yes. The Company proposes to update: (i) unproductive field visit fee; (ii) re-establishment charge; (iii) non-residential collection fee; and (iv) suspension fee charged to ESCOs. The calculations supporting these Tariffs fees are contained in Exhibit ___ (RDP-8), Schedule 1.

H. Paperless Billing Credit

Q. Please explain the current paperless billing credit.

A. The current paperless billing credit is $0.35 per service period for all customers who receive their bill electronically. The credit is based on Historic Test Year costs adjusted for inflation and represents the difference in cost to produce a paper bill versus producing an electronic bill. The

paperless billing credit consists primarily of the cost of paper, postage, and envelopes offset by electronic billing costs. This calculation is detailed in Exhibit ___ (RDP-8), Schedule 2.

Q. Is the Company proposing to change the current paperless billing credit?

A. Yes, the Company proposes to update the paperless billing credit to $0.41 per service period. The calculation is detailed in Exhibit ___ (RDP-8), Schedule 2.

I. Consolidated Billing Charge

Q. Please explain the current consolidated billing charge.

A. Currently, if the Company issues a bill for a sales customer, the customer is charged $1.76 for each bill generated. If the Company issues a consolidated bill on behalf of an ESCO, the Company charges the ESCO a fee of $1.76 for each bill generated and the customer avoids the fee of $1.76 per bill.

Q. Is the Company proposing to change the current consolidated billing charge?

A. Yes. As shown in Exhibit ___ (RDP-8), Schedule 3, the Company is proposing to update the consolidated billing charge to $1.32 to reflect the

results of the ECOSS. The total revenue requirement for the Competitive Billing function was based on a competitive function study and includes the costs associated with bill printing and mailing and payment processing reduced by the paperless billing adjustment. The total adjusted revenue requirement was then divided by the total number of gas bills to arrive at a monthly billing cost of $1.32.

J. Economic Development Discount Program Riders

Q. Does the Company propose to update its economic development programs?

A. Yes. As discussed in the testimony of the Future of Heat Panel, the Company will introduce an Area Development Rider ("ADR") similar to the ADR offering in KEDNY. Additionally, the Company will amend its Business Incentive Rider to include qualifying tenant businesses locating or expanding in properties received benefits from an Industrial Development Agency ("IDA").

XIII. Commitments from 2016 KEDLI Rate Case

A. Inclining Block Study

Q. Has the Company performed an inclining block study as required in the 2016 KEDLI Rate Case?

A. Yes. Pursuant to the "Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans" in the 2016 KEDLI Rate Case, the Company examined the effects of modifying the current residential rate design, which is a fixed monthly charge with declining block rates. The Company examined four block designs: (i) the rate design proposed herein, which maintains the present ratio of tail block rate to mid-block rate (24 percent for SC 1A and 23 percent for SC 1B; (ii) reducing the slope (i.e., increasing the ratio of tail block to mid-block) by 50 percent; (iii) flat rates (i.e., tail block equals mid blocks, eliminating the blocked structure); and (iv) inclining blocks where the tail block is 125 percent of the mid-block. The results of the study are shown in Exhibit ___ (RDP-11), Schedule 1.

Q. Please summarize the results of the study.

A. Exhibit ___ (RDP-11) shows that as declining block rates are eliminated and the rate design moves toward inclining block rates, the changes in delivery revenue from current rates becomes more pronounced. For example, for SC 1A, the Panel's proposal produces increases ranging from 0.94 to 1.24 times the 12.97 percent increase for the average customer, and the effects are progressive, increasing with increasing usage. As the rate design moves toward inclining rates, customers with either low or high usage have increases while customers in the middle have decreases.

In addition, for SC 1B, the Panel's proposal produces increases ranging from 0.90 to 1.23 times the 6.92 percent increase for the average customer. In this case, the increase in the tail block places an increasing burden on higher usage customers, with inclining rates the average customer would see a decrease of 16 percent while the higher usage customers would see an increase of 46 percent.

Q. Please summarize the Panel's conclusions from this study.

A. The results illustrated by the study – widely divergent percentage increases among customer groups within a class, and huge burdens on lower and/or higher usage customers – are not acceptable from a ratemaking perspective. The Panel notes that if the customer charge were maintained at the present level, the effect for both SC 1A and SC 1B would be exacerbated.

The Panel's proposed rate design includes modest reductions in slope (*i.e.,* ratio of tail block to mid-block is increasing). The Panel supports continuing the modest changes it has proposed in this proceeding.

B. <u>ECOSS 100 Percent Demand</u>

Q. Has the Company performed an ECOSS using 100 percent demand

classification for mains?

A. Yes, the study is presented in Exhibit ___ (RDP-12), Schedule 1. In the 2016 KEDLI Rate Case, the Company agreed to submit a study for illustrative purposes only. The Company does not agree that mains should be classified as 100 percent demand-related and believes its classification of mains as presented in Exhibit ___ (RDP-3) is appropriate.

C. <u>SC 2 Segmentation Study</u>

Q. Did the Company perform a SC 2 segmentation study as required in the 2016 KEDLI Rate Case?

A. Yes. As required in the Joint Proposal, the Company filed in Case 16-G-0058 an initial study proposing segmentation of the SC 2 service classes for the purpose of potentially merging the SC 2 Heat and Non-Heat classes and segmenting by usage level to support a revenue per customer RDM. In that filing, the Company also included SC 3 data to support a revenue per customer RDM for that class as well. In May 2017, the Company presented the proposal to interested parties and a final report was filed in March 2018.

Q. Is the Company proposing to implement the results the study?

A. The Company is not proposing to combine the SC 2 Heat and Non-Heat classes because the results of ECOSS, revenue allocation, and rate design

indicate relatively large bill impacts for the SC 2 Non-Heat customers. Also, as explained above, the Company is no longer proposing a revenue per customer RDM for any service classification because a revenue per class RDM better supports the Commission's goals to promote cost-effective energy conservation, increased use of renewable resources, and decreased usage of fossil fuels.

XIV. Gas Marginal Cost Study

Q. Please provide an overview of the Gas Marginal Cost Study.

A. The purpose of the MCS, presented in Exhibit ___ (RDP-9), is to compute the incremental, or marginal, cost to the utility to provide the next unit of service (*i.e.*, the next dekatherm of design-day demand or the next customer connected). The Company is presenting an MCS for distribution demand costs only; customer costs and commodity costs are not included. As shown on Exhibit ___ (RDP-9), Schedule 1, the proposed Marginal Delivery Cost is $1.01 per dth. Customers participating in the Company's Excelsior Jobs Program ("EJP") will pay the marginal delivery cost rate for all gas consumption in excess of the consumption included in the applicable minimum charge. Based on the Company's proposal to move ETIP costs into base rates, EJP customers will also be charged an ETIP rate in addition to the marginal rate so that they continue to be eligible to participate in

Company-sponsored energy efficiency programs.

Q. What are the components of marginal costs in the MCS?

A. The MCS includes the capital cost of the assets needed to serve an additional unit of design-day demand, as well as the O&M costs related to the assets.

The initial capital cost is developed by quantifying the relationship between capital spending for growth, and the growth (additional dekatherms delivered) supported. The initial capital cost is converted to an annual cost, representing the amount that would be included in the annual revenue requirement to reflect return on rate base plus associated income tax, depreciation expense, property tax and insurance.

In addition to the annualized capital cost and the associated O&M costs, the marginal cost includes property tax and insurance costs related to the assets.

Marginal Demand Cost is stated in dollars per delivered dekatherm.

XV. Levelized Rate Increases

Q. Does the Company support levelizing the proposed rate increases over term of a potential multi-year rate plan?

A. Yes. To ease the impact on customer bills, the Company will consider options to phase-in the proposed revenue increases over the term of a multi-year plan.

Q. Does this conclude the Panel's testimony?

A. Yes, it does.

Before the Public Service Commission

KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID

Corrections and Updates Testimony

of

The Rate Design Panel

Dated: July 3, 2019

Q. Please identify the members of the Rate Design Panel.

A. The Rate Design Panel consists of Kellie I. Smith, Dawn M. Herrity, and Howard S. Gorman. This is the same Panel that submitted direct testimony as part of KEDLI's April 30, 2019 filing. The terms defined in the Panel's direct testimony have the same meaning here.

Q. What is the purpose of the Panel's corrections and updates testimony?

A. The Panel provides corrections and updates to certain items in its direct testimony and certain exhibits. The Panel is updating its ECOSS, revenue allocation, rate design, and associated rates (including the MFC) based on corrections and updates to the Company's revenue requirement and other changes identified since the April 30, 2019 filing. The Panel also provides revised bill impacts based on the corrected and updated information. Further, the Panel is updating revenue forecast items including discounts, rent from property, and NYFS revenue.

Q. Does the Panel's testimony also address the Company's June 11, 2019 supplemental filing?

A. No. The supplemental filing was made to illustrate the potential impacts to the April 30, 2019 filing if KEDLI is unable to obtain incremental

natural gas supplies from the NESE project. At this time, the Company remains optimistic that the NESE project will be approved. Therefore, all corrections and/or updates discussed by the Panel pertain to the April 30 base rate filing. The Company will continue to update the parties on the status of the NESE project and its implications, if any, to this rate filing.

Q. Does the Panel sponsor any exhibits to its corrections and updates testimony?

A. Yes. The Panel prepared the following exhibits:

- Exhibit __ (RDP-2CU) – Revenue forecast at current delivery rates, by service class, for the Rate Year and Data Years;
- Exhibit __ (RDP-3CU) – ECOSS;
- Exhibit __ (RDP-4CU) – Revenue allocation, rate design, and customer bill impacts;
- Exhibit __ (RDP-6CU) – MFC;
- Exhibit __ (RDP-7CU) – RDM;
- Exhibit __ (RDP-8CU) – Tariff Fees;
- Exhibit __ (RDP-14CU) – Electric Generator Revenue Target;
- Exhibit __ (RDP-16CU) – Workpapers; and
- Appendix A –Company's Responses to Information Request Nos. DPS-338 and DPS-607.

Q. Please describe Exhibit __ (RDP-2CU).

A. Exhibit __ (RDP-2CU) provides the Company's revenue at current rates for the Rate Year and Data Years. The Company is updating revenue at current rates, including commodity revenue, to reflect the updated sales forecast as explained in the Corrections and Updates Testimony of Theodore Poe, Jr., as well as the updates to the forecast of commodity costs as explained in the Corrections and Updates Testimony of Elizabeth D. Arangio. The Company is also updating several miscellaneous revenue items to reflect updated inflation factors as described in the Corrections and Updates Testimony of the Revenue Requirements Panel.

The Panel is also correcting several items from the revenue forecast submitted in the original filing. First, the Panel is correcting Gross Revenue Tax revenues to address two issues: (i) the MTA rate used in the original revenue price-out was not updated to reflect the most current MTA rates; and (ii) the Company incorrectly applied delivery GRT rates instead of commodity GRT rates to MFC revenue.

Second, the Company is also correcting NYFS revenue (shown as Joint Facilities in Exhibit __ (RDP-2CU)) as explained in its response to

Information Request No. DPS-338. Specifically, the Company identified an error in the calculation of forecast NYFS revenue. In the April 30, 2019 filing, NYFS revenue was shown as a revenue amount of $1,620,078 per year. The correct amount should have been $1,520,078 per year.

Further, the Company is revising rent from property revenue to correct an error in the calculation of forecast rent from property revenue. In the April 30, 2019 filing, rent from property revenue was shown as revenue amounts of $409,189, $429,003, $439,659 and $450,819 for the Rate Year, Data Year 1, Data Year 2, and Data Year 3, respectively. The correct amounts should have been $429,891, $440,592, $451,828, and $463,625 for the Rate Year, Data Year 1, Data Year 2, and Data Year 3, respectively.

Lastly, the Company is updating the forecast of economic development program discounts (shown as Edgar Discounts on Exhibit __ (RDP-2CU)), as described in the Corrections and Updates Testimony of the Future of Heat Panel. In the original filing, Edgar Discounts were shown as a credit amount of $219,593 for each of the Rate Year and Data Years. The updated credit amounts are $248,465, $283,034, $312,695, and $377,449

for the Rate Year, Data Year 1, Data Year 2, and Data Year 3, respectively.

Q. Please describe Exhibit __ (RDP-3CU).

A. Exhibit __ (RDP-3CU) provides the Company's ECOSS, which has been updated to reflect the updated sales and revenue forecasts and revenue requirement. The Company also made a correction to the calculation of the functional Labor allocator, which can be found on Exhibit __ (RDP-3CU), Schedule 7B, line 79; the effect of this change was negligible. No other changes were made to the ECOSS.

Q. Please describe Exhibit __ (RDP-4CU).

A. Exhibit __ (RDP-4CU) provides the Company's revenue allocation schedules. The Panel is updating these schedules to reflect the updated results of the ECOSS, including the sales and revenue forecasts and revenue requirements. To update the revenue allocation, the percentage increase in revenue assigned to each service classification in the Company's April 30, 2019 filing was multiplied by 79.8979 percent, with one exception. The change in revenue for SC-9 remains at a proposed decrease of 36 percent. Exhibit __ (RDP-4CU), Schedule 1 shows that the

revenue targets produce delivery revenue of $807.4 million, consistent with the revenue requirement presented at Exhibit ___ (RRP-1CU).

The Company's corrected and updated rate design produces the appropriate revenue target for each class, as shown on Exhibit __ (RDP-4CU), Schedule 3. For each service class, the rates were proportionately decreased from the rates proposed in the April 30, 2019 filing to produce the new revenue target.

The bill impacts resulting from the corrected rates are presented on Exhibit __ (RDP-4CU), Schedule 4. In addition, the Company is including bill impacts for SC 17, which were inadvertently omitted from the original filing.

Q. Please describe Exhibit __ (RDP-6CU).

A. Exhibit __ (RDP-6CU) provides the Company's calculation of MFC at proposed rates. The schedules included in Exhibit __ (RDP-6CU) have been updated to reflect the updates to the Company's ECOSS and sales forecast.

Q. Please describe Exhibit __ (RDP-7CU).

A. Exhibit __ (RDP-7CU) provides the Company's calculation of RDM targets. The schedules included in Exhibit __ (RDP-7CU) have been updated to reflect the updates to revenue at proposed rates.

Q. Please describe Exhibit __ (RDP-8CU).

A. Exhibit __ (RDP-8CU), Schedule 3 provides the Company's calculation of the Consolidated Billing Charge. The Company has updated this schedule to reflect the updates to revenue at proposed rates and the forecast number of bills.

Q. Please describe Exhibit __ (RDP-14CU).

A. Exhibit __ (RDP-14CU), provides the Company's calculation of the Electric Generator Revenue target. As explained in the Company's response to Information Request DPS-607, the Company corrected the schedule to reflect the appropriate SC7 and SC14 electric generator revenue which did not impact the total electric generator revenue target.

Q. Please describe Exhibit __ (RDP-16CU).

A. Exhibit __ (RDP-16CU) provides the workpapers supporting the Panel's exhibits submitted herein.

Q. Does this conclude your corrections and updates testimony?

A. Yes, it does.

Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY and KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Rebuttal Testimony

of

The Rate Design Panel

Case 19-G-0309
Case 19-G-0310

September 18, 2019

Rebuttal Testimony of the Rate Design Panel

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I. Introduction

Q. Please identify the members of the Rate Design Panel.

A. The Rate Design Panel consists of Kellie I. Smith, Dawn M. Herrity, and Howard S. Gorman and is testifying on behalf of KEDNY and KEDLI. This is the same Panel that submitted direct and corrections and updates testimony in these proceedings. The terms defined in the Panel's direct testimony have the same definitions here.

Q. What is the purpose of your rebuttal testimony?

A. The Panel's rebuttal testimony addresses and/or rebuts issues raised with respect to either KEDNY or KEDLI, or both Companies, by Staff and other intervenors in their respective testimonies filed in these proceedings on August 30, 2019.

Q. Is the Panel offering any exhibits?

A. Yes. The Panel has prepared the following exhibits that were prepared by or under the supervision and direction of one or all members of the Panel:

- Exhibit ___ (RDP-2AR) – KEDNY Rate Year Gas Revenue Forecast
- Exhibit ___ (RDP-2BR) – KEDLI Rate Year Gas Revenue Forecast
- Exhibit ___ (RDP-3AR) – KEDNY ECOSS
- Exhibit ___ (RDP-3BR) – KEDLI ECOSS

- Exhibit ___ (RDP-4AR) – KEDNY Proposed Revenue Allocation, Rate Design, Bill Impacts
- Exhibit ___ (RDP-4BR) – KEDLI Proposed Revenue Allocation, Rate Design, Bill Impacts
- Exhibit ___ (RDP-5AR) – KEDNY LAUF Study
- Exhibit ___ (RDP-5BR) – KEDLI LAUF Study
- Exhibit ___ (RDP-6AR) – KEDNY Proposed MFC
- Exhibit ___ (RDP-6BR) – KEDLI Proposed MFC
- Exhibit ___ (RDP-7AR) – KEDNY Proposed RDM
- Exhibit ___ (RDP-7BR) – KEDLI Proposed RDM
- Exhibit ___ (RDP-8AR) – KEDNY Consolidated Billing Charge
- Exhibit ___ (RDP-8BR) – KEDLI Consolidated Billing Charge
- Exhibit ___ (RDP-16AR) – KEDNY Supporting Workpapers
- Exhibit ___ (RDP-16BR) – KEDLI Supporting Workpapers
- Exhibit ___ (RDP-17AR) – KEDNY Pro-forma Statements
- Exhibit ___ (RDP-17BR) – KEDLI Pro-forma Statements
- Exhibit ___ (RDP-18R) – Relevant Portions of Company IR Responses
- Exhibit ___ (RDP-19R) – Staff IR Responses
- Exhibit ___ (RDP-20R) – Companies' Reply Comments to CNY's Comments in Cases 16-G-0058 and 16-G-0059

Q. How is the rebuttal testimony organized?

A. To the extent possible, the testimony proceeds by topic, rather than by party, to keep the positions of the parties on each issue together.

II. Revenue Forecast

Q. Did the Panel update the Companies' forecast Rate Year revenue?

A. Consistent with Department of Public Service Staff's ("Staff") position, the Companies updated KEDNY and KEDLI's respective Rate Year revenue forecasts assuming that the NESE project will not be available during the Rate Year. Accordingly, Exhibits __ (RDP-2AR) and (RDP-2BR) provide the updated Rate Year revenue forecasts for KEDNY and KEDLI, respectively, using the sales forecast submitted in the Companies' response to IR DPS-798, which updates the Companies' sales forecast submitted in the corrections and updates filing to reflect a no-NESE scenario. In addition, the Companies updated the LPC Revenue and Billing fees to reflect the sales forecast provided in IR DPS-798 and updated the gas commodity revenue forecast based on the NYMEX forward gas prices as of August 28, 2019.

Q. Did the Staff Rates Panel ("SRP") use the Companies' price out model to calculate the forecast Rate Year revenue?

A. No. The SRP used their own model to calculate the forecast Rate Year revenue. The SRP 's model prices out Rate Year revenue at the service class level. In addition, the SRP used a different methodology to normalize the historic data used in the ogive analysis.

Q. Do the Companies agree with the SRP's revenue price out?

A. No. The Companies reviewed the exhibits provided in support of the revenue forecast calculations included in the SRP's testimony and noted a few discrepancies. The SRP's revenue forecasts for both KEDNY and KEDLI were based on the Companies' corrections and updates sales forecasts instead of the sales forecasts provided in response to IR DPS-798, which included the corrections and updates forecasts adjusted to assume the NESE project is not available. In addition, the Companies noted that the SC-4, SC-7, SC-12, and SC-13 revenues were not included on Exhibit ___ (SRP-3) and were not included in the revenue at present rates used by the Staff Revenue Requirement Panel to calculate the incremental revenue requirement. The SRP corrected these issues and provided revised revenue forecasts and revenue allocation exhibits in response to IR NG-02 as shown in Exhibit ___ (RDP-19R).

Q. Do the Companies agree with the revised revenue provided by the SRP in response to IR NG-2?

A. No. The Companies' revenue forecasts using the sales and customer forecasts provided in IR DPS-798 do not match the revenue forecasts provided by the SRP in response to IR NG-2. Because the Companies and the SRP are using different models to forecast revenue, it is difficult to determine the differences between the two calculations. As explained above, the Companies' models are more detailed, and the historic data normalization methodology was different. The Companies support the revenue forecast methodology included in Exhibit ___ (RDP-2AR) and Exhibit ___ (RDP-2BR).

Q. Do the Companies agree with pricing out the forecast of Rate Year revenue at the service class level?

A. No. The Companies' revenue and ogive models are designed to price out revenue at the rate code level, which is then rolled up to the service class level. The Companies believe pricing out revenue by rate code is a more accurate way to develop the ogive analysis and resulting revenue price out because the rate codes that make up a service class could have different usage by delivery block resulting in slightly different total revenue by service class.

Q. What is the SRP's recommendation regarding the Companies' ogive calculations?

A. The SRP expressed concern over the raw billing data used for the ogive analysis (at 15). Specifically, the SRP noted that the normalization of the raw billing data does not accurately account for canceled bills and rebills and recommended (at 17) that the Companies revise the ogive calculations to account for canceled bills and rebills. The SRP asserted that the Companies could achieve a more appropriate normalization of the data by ensuring that the allocation to each block step is not above the maximum possible or below the minimum possible allocation.

Q. Do the Companies accept the SRP's recommendation concerning the normalization of data used in the ogive calculation?

A. The Companies agree to revise the normalization methodology but propose a different methodology from the one that the SRP proposes. The Companies agree that only removing the negative values in the upper usage levels could have an impact on the ogive calculation, although relatively immaterial. Therefore, the ogive calculations used to the develop the forecast revenue in Exhibit ___ (RDP-2AR) and Exhibit ___ (RDP-2BR) were revised to include any negative values so that in effect, the Companies are including the full

impact of any cancels or rebills instead of potentially skewing the data by only removing large negative volumes.

III. ECOS Studies

Q. Has the Panel updated the ECOS studies since the Companies' corrections and updates filing?

A. Yes. Consistent with Staff's position that assumes the NESE project will not be available during the Rate Year, the Companies have updated the ECOS studies submitted in the corrections and updates filing to reflect this assumption. The updated ECOS studies also reflect the updated revenue requirements as presented in the respective rebuttal testimonies of KEDNY and KEDLI's Revenue Requirements Panels. The updated ECOS studies for KEDNY and KEDLI can be found on Exhibits ___ (RDP-3AR) and (RDP-3BR), respectively.

Q. Did Staff or any of the intervenors comment on the ECOS studies?

A. Yes. The ECOS studies were discussed in the testimonies of the SRP, Danielle Panko on behalf of the New York State Department of State Utility Intervention Unit ("UIU"), and the New York City Rate Design Panel ("NYCRDP").

Q. Please summarize the NYCRDP's comments on the Companies' ECOS studies.

A. The NYCRDP recommended (at 3) that the Commission accept the Companies' ECOS studies because they are reasonable and consistent with past practice, and they allocate costs on the basis of cost causation. The NYCRDP also recommended that the Companies' ECOS studies be accepted as the primary guide for revenue allocation. It also agreed (at 9) with the classification of distribution mains as both demand-related and customer-related, as presented in the Companies' ECOS studies.

Q. What is the SRP's recommendation regarding the ECOS studies?

A. The SRP recommends (at 27) using the historic ECOS studies provided in response to IR DPS-504, instead of the Companies' pro-forma ECOS studies (using Rate Year information). The SRP believes that using forward-looking Rate Year information can introduce additional errors.

Q. Does the Panel agree?

A. No. The Panel believes that the ECOS studies should be prepared using the costs, rate base, and physical units that are projected for the Rate Year, and for which the revenue requirement, revenue allocation, and rate design will be set. While the actual conditions in the Rate Year will be somewhat different from

these projections, the same is also true of historic year data – the actual conditions in the Rate Year will be different. In particular, historic allocator values may not reflect normal weather, and historic costs may be different in amount and type from the costs the Companies will experience and the amounts they will recover in rates.

The SRP acknowledges that when "very large changes in utility operations are projected," forward-looking Rate Year data can be used. The Panel notes that the filing of a major rate case means that significant changes are projected, and it is important that the ECOSS reflect, as closely as can be estimated, the conditions that will occur in the Rate Year and the amounts to be recovered in rates.

The Panel further notes that the ECOSS is easily rerun to reflect the Commission-approved final revenue requirement, thereby reflecting the actual amounts to be recovered in rates. The final revenue allocation and rate design cannot be done until the final revenue requirement is known, and rerunning the ECOSS does not delay this process.

Finally, an important goal of revenue allocation is to move classes closer to the system average rate of return. It is not possible to measure whether a

proposed revenue allocation achieves this goal (*i.e.*, progress towards unity) unless an ECOSS has been prepared based on Rate Year information.

Q. What does the Panel recommend regarding the SRP's proposal to use historic data in preparing the ECOS studies?

A. The Panel recommends the Commission reject the SRP's recommendation (at 30) to use the historic year ECOS studies for revenue allocation. The Panel recommends that the Commission accept the Companies' ECOS studies presented in Exhibits ___ (RDP-3AR) and (RDP-3BR), which use projected Rate Year data. The Companies will update their ECOS studies based on the final revenue requirement approved by the Commission.

Q. Does the Panel agree with UIU's recommendation (at 29) that the Companies be required to file ECOS studies that classify a portion of distribution main costs as customer-related, as well as additional ECOS studies in which mains are classified as 100 percent demand-related?

A. The Panel does not object to submitting additional ECOS studies (those studies were submitted in this case as Exhibit ___ (RDP-12). The Panel understands that the classification of mains can be a contentious issue. However, the Panel believes that classifying mains as 100 percent demand–related does not reflect cost causation, and an ECOSS prepared on that basis

should be given no weight by the Commission in evaluating revenue allocation proposals.

IV. Revenue Allocation

Q. Please explain the Companies' revenue allocation process.

A. The Companies' revenue allocation proposals move the returns produced by each service class closer to unity (the system average rate of return) while mitigating extreme impacts, a concept known as gradualism. For both Companies, a tolerance band of 25 percent was used to determine which service classifications had a rate of return at present rates close to the overall rate of return at present rates. Classes with returns at present rates above the tolerance band were given smaller percentage increases than the average increase, and classes with returns below the tolerance were given larger increases. Some adjustments were made for outlier classes and to promote certain goals (*i.e.*, supporting interruptibility).

Q. Do the revenue allocation proposals presented in Exhibits ___ (RDP-4AR) and (RDP-4BR) follow the same approach as the Companies' proposed revenue allocation presented in the Panel's direct and

corrections and updates testimonies?

A. Yes. As shown on Exhibits ___ (RDP-4AR) and (RDP-4BR), the percentage increases for classes within, over, and under the tolerance band were adjusted by a uniform percentage from the Companies' initial April 30, 2019 filings to produce the updated revenue requirement. The one exception in Exhibit __ (RDP-4BR) is that KEDLI's non-firm service classification (which was producing a return far above the average) was given no increase.

For KEDNY, SC 1B was within the tolerance band and given a revenue target increase of 12.85 percent over pro-forma revenue at present rates. SC 2-1, SC 4A-HLF, SC 4A-CNG, and SC 4B were above the tolerance band and given increases of 3.23 percent over pro-forma revenue at present rates. SC 1A, SC 1B-DG, SC 2-2, SC 3, SC 7, and SC 21 were below the tolerance band and assigned increases of 18.21 percent over pro-forma revenue at present rates. SC 22 and SC 18-22 (new combined non-firm demand response service classifications) were given decreases of 2.5 percent. *See* Exhibit ___ (RDP-4AR), Schedule 1.

For KEDLI, SC 2B and SC 3B were within the tolerance band and at or above the average return at present rates and were given revenue target increases of 6.69 percent over pro-forma revenue at present rates. SC 1B was within the

tolerance band and below the average return, was given an increase of 7.01 percent. SC 2A, SC 3A, SC 15 and SC 16 were above the tolerance band and given increases of 4.32 percent. SC 19 (formerly SC 4, SC 7, SC 12 and SC 13) and SC 9-NGV were significantly above the tolerance band; SC 19 was assigned no increase and SC 9 was assigned a decrease of 36 percent below pro-forma revenue at present rates. SC 1A and SC 1DG were below the tolerance band and assigned increases of 13.70 percent. *See* Exhibit ___ (RDP-4BR, Schedule 1).

Q. Did Staff or any of the intervenors comment on the Companies' proposed revenue allocation?

A. Yes. Revenue allocation was discussed in the testimonies of the SRP, UIU, and NYCRDP.

Q. Please summarize the SRP's comments regarding revenue allocation.

A. While the Companies used the Rate Year ECOS studies as guides in revenue allocation, the SRP recommends (at 30) using the historic ECOS studies provided in response to IR DPS-504. The SRP also made adjustments to revenue at present rates to reflect the roll-in of ETIP and the Tax Reform Surcredit.

The SRP agrees (at 30) with the Companies that classes within the 25 percent tolerance band should receive increases at or close to the average increase. However, the SRP proposed that classes with historic returns above the tolerance band receive increases 20 percent lower than the average, and classes with returns below the tolerance band receive increase 20 percent greater than the average.

Q. Do the Companies agree with SRP's recommendations on revenue allocation?

A. As discussed in more detail below, the Companies generally disagree with the SRP's recommendations because the SRP's revenue allocation, which relies on historic year ECOS studies, produces results that depart significantly from cost-based ratemaking.

Q. Please comment on the SRP's recommendation to use the historic ECOS studies as a guide in revenue allocation.

A. As discussed above, the Panel recommends the Commission reject the SRP's use of a historic ECOSS because it does not reflect the amounts to be recovered in rates and does not allow parties to measure whether a proposed revenue allocation moves classes closer to the system average rate of return.

Q. Are the SRP's adjustments to ETIP and the Tax Reform Surcredit necessary if a pro-forma (Rate Year) ECOSS is used as the Companies have done?

A. No. Those adjustments are not needed because Rate Year revenue at present rates already reflects the roll-in of those amounts; the roll-in itself is supported by the SRP. Exhibits ___ (RDP-4AR) and (RDP-4BR), Schedule 1 demonstrates that the Companies' revenue allocation proposals produce the correct revenue.

Q. Please comment on the SRP's recommendation regarding the increases given to classes over and under the tolerance band.

A. The SRP's approach is flawed because it removes judgment from revenue allocation and produces inconsistent results. The SRP's proposed increases, especially for KEDLI, are inconsistent, because classes with similar returns at present rates (for the Rate Year) receive very different increases. In addition, the SRP's approach treats classes *just within* the tolerance band differently from classes *just over* and treats classes *just over* the tolerance band the same as classes *significantly over*. Finally, because the SRP's approach is based on historic year data, it necessarily ignores a key measure of revenue allocation-whether it results in classes making progress toward unity. For these reasons,

the Commission should reject the SRP's formulaic approach over the Companies' more balanced approach.

Q. Did any of the SRP's other recommendation affect revenue allocation?

A. Yes. The SRP proposed (at 48-49) that the rates for the non-firm demand response service classes reflect total bills that are lower than the applicable firm service classes by 30 percent (Tier 1) and 40 percent (Tier 2).

Q. Do the Companies agree with this recommendation?

A. No. The SRP's proposal to compare total bills for the non-firm service class and the applicable firm service classes would affect the non-firm sales customers (for whom distribution rates are only a portion of the total bill) much differently from TC/IT transportation customers (for whom distribution rates are the entire bill) and would produce significantly different results between non-firm sales and non-firm transportation customers. The Companies believe their proposed rate design provides for attractive price signals for non-firm demand response service.

Q. Please summarize UIU's comments regarding revenue allocation.

A. UIU recommends (at 35) that revenue allocation be evaluated using both the Companies' ECOS studies (which use Rate Year data and a customer-demand

classification for mains, Exhibits ___ (RDP-3AR) and (RDP-3BR)), and the ECOS studies submitted as Exhibit ___ (RDP-12) to the Companies' initial April filings (which use Rate Year data and classify mains as 100 percent demand-related) as required by the Joint Proposal in the Companies' previous rate case, Cases 16-G-0058 and 16-G-0059. UIU further recommends (at 36) that if the two ECOS studies show significantly different results for a class, the class should receive an average increase. UIU also proposes (at 37) that the Commission placed boundaries around the base delivery rate percentage change that a class may receive.

Q Please comment on UIU's recommendation to use two ECOS studies to evaluate revenue allocation proposals.

A. The Panel believes that mains should be classified as both customer-related and demand-related for reasons described in the Panel's direct testimony and supported by other parties including Staff and NYCRDP. UIU does not offer any support for a 100 percent demand classification of mains, and thus no reason for the Commission to consider the ECOS studies under Exhibit ___ (RDP-12) in its evaluation of revenue allocation. The Panel therefore recommends the Commission rely on the Companies' ECOS studies presented in Exhibits ___ (RDP-3AR) and (RDP-3BR).

Q Please comment on UIU's recommendation that the Commission place boundaries around the relative percentage change a class may receive.

A. The Panel agrees that gradualism is an important goal of revenue allocation and rate design, and explicitly reflected that in its proposals. The Panel does not believe, however, that any purpose would be served by hard and fast rules. For example, if the overall increase is five percent, it may be reasonable for a class to receive an increase of twice the average, or ten percent. But if the overall increase if 20 percent, it may create hardship for a class to receive an increase of 1.5 times the average, or 30 percent. The Panel supports the use of boundaries that are developed in response to the specifics of each rate filing, as reflected in the proposals it has offered in these rate cases.

Q. Please summarize NYCRDPs testimony regarding revenue allocation.

A. NYCRDP notes (at 12) that the Companies' proposed revenue allocations are reasonable overall, except with respect to KEDLI's non-firm class, which the NYCRDP believes should receive a decrease. NYCRDP also stated that under no circumstances should either the KEDNY or KEDLI non-firm service classes receive an increase.

Q Please comment on the NYCRDPs testimony.

A. The Companies note that the revenue allocation proposals for KEDNY and KEDLI non-firm delivery rates as presented in Exhibits ___ (RDP-4AR) and (RDP-4BR) are consistent with the NYCRDP's recommendations regarding the non-firm service classifications.

V. Rate Design

Q. Please briefly describe the Companies' rate design presented in Exhibits ___ (RDP-4AR) and (RDP-4BR), Schedule 3.

A. For both KEDNY and KEDLI, the proposed rate design includes volumetric rates that, together with the minimum charges, are designed to produce the revenue target for each class. For the classes served by KEDNY and KEDLI with blocked rates, the rates reduce the slope (*i.e.*, the ratio of mid-block rate to tail-block) compared to the present rate design. A lower slope supports conservation by making the tail-block rate higher. The Companies also submitted an inclining block study (Exhibit ___ (RDP-11)), which analyzed the bill impact of four rate design scenarios including an inclining block structure where the tail-block rate would be higher than the mid-block rate. The study showed that a significant reduction in slope would cause either regressive bill impacts (lower usage customers would see higher increases than higher usage customers) or a huge burden on higher usage customers.

Neither of these results is acceptable from a ratemaking perspective. Therefore, the rate designs proposed by Panel in rebuttal include modest reductions in slope and tail block rates lower than mid-block rates.

Q. Did Staff or any of the intervenors comment on the proposed rate design?

A. Yes. The Companies' proposed rate design was discussed in the testimonies of the SRP, NYCRDP, and UIU.

Q. Please summarize the SRP's comments on the Companies' firm rate design.

A. The SRP agreed (at 41-42) with the Companies' goal to gradually reduce the slope of current declining block rates. The SRP, however, disagreed with some of the specific rate design proposals based on their proposed revenue requirements, which were significantly lower than the Companies' proposed revenue requirements. The SRP noted (at 42) that the rate design could be modified to reduce the slope more aggressively, but that a higher revenue requirement would require more gradual reductions in the slope.

For KEDNY, the SRP recommended (at 42) no increase to the minimum charge for all classes except SC 21-1 and 21-3. For SC 1A, 1B, 2-1, 2-2, 3, and 4B, the SRP proposed that tail block and mid-block rates should be

increased to reflect a 20 percent movement towards flat block rates. For SC 4 and 4A, the SRP recommended (at 43) eliminating the blocked volumetric rates. For SC 21-1 and 21-3, SRP recommended equal increases to the minimum charge, winter block rate, and summer block rate. If the approved revenue requirement is greater than the SRP's proposed revenue requirement, the SRP recommended reducing the movement towards flat rates and increasing minimum charges to mitigate bill impacts, and for SC 1B-DG and 7, that both the minimum charge and the block rate be increased.

For KEDLI, the SRP recommended (at 43-44) no increases to the minimum charge for all classes except 17-1 and 17-2. For SC 1A, 1B, 2A, 2B, 3, and 16, the SRP recommended changing the tail block and mid-block rates to reflect a 20 percent movement towards flat rates. For SC 1DG, 9, and 15, the SRP recommended that KEDLI apply its proposed decrease to the single block rate. For SC 17-1 and 17-2, the SRP recommended equal increases to the minimum charge and the single block for each season. If the approved revenue requirement is greater than the SRP's proposed revenue requirement, the SRP proposed the same considerations as it did for KEDNY, except if the revenue requirement becomes positive, increase to SC 1DG, 9, and 15 should be allocated to both the block rate and the minimum charge.

Q. Please comment on the SRP's recommendation regarding firm rate design.

A. The Panel's proposed rate design included in this rebuttal filing is consistent with the SRP's recommendations. The Companies' proposed rate design for customers with blocked rates reflect a reduction in slope (*i.e.,* making the mid-block and tail block rates closer) that is considered reasonable, consistent with mitigating intra-class shifts.

Q. Please summarize the SRP's comments on the Companies' non-firm rate design.

A. The SRP argued (at 48-49) that the Companies' proposed rates for non-firm delivery service did not adequately incentivize customers to choose non-firm service. Additionally, the SRP believes that setting the volumetric rate for Tier 2 service (interruptible at 20 degrees F) five percent lower than the Tier 1 rate (interruptible at 15 degrees F) does not adequately reflect the difference in the levels of service. The SRP recommended (at 49) that the rates for Tier 1 and Tier 2 be set to produce total bill impacts that are 30 percent and 40 percent below the comparable firm service total bills, respectively.

Q. The SRP believes that setting the volumetric rate for Tier 2 service (interruptible at 20 degrees F) five percent lower than the rate for Tier 1 service (interruptible at 15 degrees F) does not adequately reflect the difference in the levels of service. Are the Companies in agreement?

A. No. The Companies believe that a five percent difference between Tier 1 and Tier 2 sufficiently reflects the varying levels of service, coupled with the lower volumetric rates.

Q. Please discuss the SRP's recommendation that the non-firm demand response service classification be priced to produce total bills for non-firm service that are 30 to 40 percent below the total bills for comparable firm service customers.

A. As discussed above, the SRP's proposal would affect non-firm sales customers (distribution rates are only a portion of the total bill) much differently than TC/IT transportation customers (for whom distribution rates are the entire bill) and would produce results that depart significantly from cost. Therefore, the Companies have compared the volumetric rates for TC/IT distribution service to the rates for comparable firm distribution service.

Q. What rates are the Companies proposing for non-firm service in this rebuttal filing, and how do those proposed rates compare to the current non-firm rates and to the comparable firm service rates?

A. Please see the tables below.

KEDNY Non-Firm Demand Response

	Current Non-Firm Minimum Charge	Proposed Non-Firm Minimum Charge	Proposed Firm Minimum Charge	Current Non-Firm Delivery Rate	Proposed Non-Firm Delivery Rate*	Proposed Firm Delivery Rate
Small Comm & Govt	$ 300.00	$ 375.00	$ 41.50	$ 0.3837	$ 0.3171 $ 0.3012	$ 0.4641
Large Comm & Govt	$ 375.00	$ 375.00	$ 41.50	$ 0.3837	$ 0.3171 $ 0.3012	$ 0.4641
Small M/F	$ 300.00	$ 375.00	$ 45.00	$ 0.3238	$ 0.3171 $ 0.3012	$ 0.3875
Large M/F	$ 375.00	$ 375.00	$ 45.00	$ 0.3238	$ 0.3171 $ 0.3012	$ 0.3875

*Tier 1 (former TC Auto) Delivery Rate = $0.3171
*Tier 2 (former TC Semi-Auto) Delivery Rate = $0.3012

KEDLI Non-Firm Demand Response

	Current Non-Firm Minimum Charge	Proposed Non-Firm Minimum Charge	Proposed Firm Minimum Charge	Current Non-Firm Delivery Rate	Proposed Non-Firm Delivery Rate	Proposed Firm Delivery Rate
Tier 1 (former TC)	$ 375.00	$ 450.00	$ 40.00	$ 0.2914	$ 0.2860	$ 0.3144

Tier 2 (former IT)	$ 375.00	$ 450.00	$ 40.00	$ 0.2914	$ 0.2717	$ 0.3144

Q. Please summarize the comments of UIU regarding rate design.

A. For both SC 1A (residential non-heating) and SC 1B (residential heating), UIU supports the Companies' goals of moving away from the current declining block rate design toward flat rates, to encourage energy efficiency. UIU also recommended (at 42) that the Companies make this change gradually in consideration of the effects that dramatic changes would have on higher usage customers.

Q. Please comment.

A. The Companies agree with UIU regarding moving away from declining block rates, and the rates proposed in this rebuttal filing reflect that goal to the extent achievable.

VI. Bill Impacts

Q. Please describe any updates to the bill impacts shown on Exhibit ___ (RDP-4AR) for KEDNY and Exhibit ___ (RDP-4BR) for KEDLI.

A. As recommended by UIU (at 44), the Companies updated the bill impacts usage level for residential bill impacts to show up to 50,000 therms. In

addition, the Companies also updated the average annual usage for all service classes to reflect the no-NESE sales forecast.

VII. Merchant Function Charge

Q. Did the SRP agree generally with the Companies' MFC proposals?

A. Yes. Specifically, the SRP agreed to changing the reconciliation period to match the GAC year to align with the Companies' annual cost of gas reconciliation. The SRP recommended (at 34) that (i) the MFC be updated based on the overall revenue requirements approved by the Commission, (ii) the MFC targets updated for the uncollectible rates and pre-tax WACC set by the Commission, and (iii) the cost of gas be updated to reflect a no-NESE assumption. The updated MFC targets are shown on Exhibit ___ (RDP-6AR) for KEDNY and Exhibit ___ (RDP-6BR) for KEDLI.

Q. Does the Panel agree with the SRP regarding the use of a historic ECOSS rather than a pro-forma ECOSS for MFC targets?

A. No. As discussed above, the Companies believe a pro-forma ECOSS is more appropriate because it is forward-looking and, therefore, the best estimate available of the revenue, expenses, and rate base in the Rate Year. Thus, the MFC targets should also be based on a pro-forma ECOSS.

VIII. Non-Firm SCs

Q. What costs are currently included in the gas costs for TC and IT sales service?

A. For IT sales service, the cost of gas includes the WACOG adjusted for LAUF, a merchant function charge, and a Tax Reform Surcredit. For TC sales service, the cost of gas includes the same components, which are all volumetric based on usage, plus an average fixed cost of gas demand charge.

Q. Do the Companies propose to change the calculation of gas costs for the new non-firm demand response sales service class?

A. Yes. The Companies propose to use the current TC cost of gas formula for all customers in the new non-firm demand response classes, so that all non-firm customers will pay the demand charge. The Companies develop demand charges at the beginning of each GAC year based on a cost of service study that allocates capacity costs to each service classification depending on that class's usage during the annual period, the winter period, and the peak day. The demand charge is the one component that is currently not in the IT cost of gas calculation.

Q. Do the Companies agree with the SRP's recommendation (at 50) to use ICOG instead of WACOG in the gas cost calculation for non-firm customers?

A. No. The Companies do not agree with this recommendation. KEDNY and KEDLI's combined portfolios include having gas available for TC and IT sales customers down to 15 degrees Fahrenheit. The Companies manage the KEDNY and KEDLI supply portfolios on a combined basis per Case 05-G-0903 to maximize supply and demand synergies. Therefore, it would be inequitable for any sales customers to pay only a portion of the supply portfolio costs. TC and IT gas costs have been calculated using the WACOG since January 1, 2017. The SRP states that the Companies have not created adequate incentives to prevent non-firm customer from migrating to firm service. However, this recommendation would increase gas costs to non-firm sales customers because the ICOG is almost always higher than the WACOG. In addition, the SRP's argument that firm customers are subsidizing non-firm is not correct, because the times when the ICOG is likely to be set (*e.g.*, the coldest days) are the times when non-firm customers can expect to be interrupted. When this happens, non-firm customers have no cost responsibility for setting the ICOG. The main result of using ICOG instead of WACOG would be to charge non-firm customers the costs they are trying to avoid, reducing their incentive to take non-firm service.

Q. Did the Companies propose any changes to the non-firm service classifications in this case that were not addressed by Staff? If so, what was the proposal?

A. Yes. In the Companies' initial April 30 filing, the Companies proposed to include non-firm gas costs in the annual gas cost reconciliation. Although the SRP did not address this proposal in testimony, the Companies continue to support the proposal to have the non-firm customers included in the annual reconciliation. The Companies believe that by charging the non-firm customers the WACOG instead of the ICOG and by sharing in the annual over/under recoveries that currently only apply to firm sales customers, any subsidies between the firm and non-firm classes would be eliminated.

Q. NYCRDP requests (at 19) that the Companies modify their proposed new non-firm tariffs to specifically state the interruption temperatures as 15 degrees for Tier 1 and 20 degrees for Tier 2. Do the Companies agree?

A. No. The Companies believe that the designated interruption and resumption temperatures as described in their respective tariffs is sufficient. For the Tier 1 and Tier 2 customers, an annual review of the designated interruption temperature will be performed to ensure adequate capacity is available for the interruption temperature for each tier. Once the capacity limit is reached for a

tier, either the tier will be closed off to new customers or the interruption temperature for the tier will be increase. Based on this review, the Companies do not agree that the tariffs should indicate specific interruption temperatures. The Companies conduct extensive outreach prior to each winter regarding the designated temperatures (*e.g.,* Annual Winter is Coming Letter).

Q. NYCRDP state (at 15) that the proposed new non-firm tariffs should allow customers with automatic equipment to elect to take service under Tier 2. Do the Companies agree?

A. As stated in IR CNY-54, the Companies are not opposed to customers with automatic equipment electing Tier 2 in the proposed new non-firm tariffs. The Companies will clarify this option and file further tariff revisions. Customers that opt for Tier 2 rates are not guaranteed to be able to switch back to Tier 1 at a future date.

Q. Are there any other recommendations made by NYCRDP regarding selection of Tier 1 or Tier 2 in the proposed non-firm service classifications?

A. Yes. NYCRDP recommends (at 15) that customers be given 120 days from Commission approval of the new tariffs to make the election to switch from Tier 1 to Tier 2, and to a customer to switch back from Tier 2 to Tier 1 no

later than 120 days prior to the winter heating season. In addition, NYCRDP recommends that within 30 days of the Commission's approval of the new tariff, the Companies provide written notice of this option to all customers that would otherwise default into the Tier 1 rate.

Q. Do the Companies agree?

A. Yes, to an extent. The new non-firm demand response proposals are on parallel tracks: in the instant rate filing and in Cases 16-G-0058 and 16-G-0059. The Commission also initiated new proceedings under Cases 19-G-0370 and 19-G-0371 for consideration of the proposed non-firm tariff filings. In Cases 19-G-0370 and 19-G-0371, the tariffs are proposed to take effect on November 1, 2019. The Companies will automatically default customers into the two new tiers based on their switching equipment. The rates, at this time, will be at current rates which will be the same and therefore should not affect customers. In this rate case, tariffs should become effective on April 1, 2020. At that time, the Companies would allow for 120 days for customers with automatic switching equipment to elect which tier they want to be on for the winter season 2020/2021. Customers with semi- or manual equipment will have no option but Tier 2. The Companies agree to provide customers with automatic switching equipment written notice of this option within 30 days of Commission's approval.

Q. NYCRDP requests that the Companies modify their non-firm tariffs so that on-site alternative fuel is not an absolute prerequisite for eligibility. Do the Companies agree?

A. No. No such modifications are necessary. Both KEDNY and KEDLI's current and proposed non-firm tariffs already allow customers to stipulate in writing that the customer is willing and able to shut down during periods of interruption because they do not have alternate fuel.

Q. NYCRDP requests that to the extent that they are not addressed in Cases 16-G-0058 and 16-G-0059, the Commission should adopt the positions advocated by the City of New York in its Comments filed in those dockets. Do the Companies agree?

A. No. The Companies filed their reply comments to the City of New York's comments on August 29, 2019. The reply comments are attached hereto as Exhibit ___ (RDP-20R). As stated therein, the Companies disagree with many of the City's proposals.

Q. NYCRDP states that monetary penalty for so-called "second strike" violations should be reduced or waived if the second interruption notice is issued within five days of the end of a prior event and the customer can

demonstrate that it could not repair the equipment that prevented it from interrupting. In addition, under these limited circumstances, NYCRDP states the violation should not count as a second "strike." Do the Companies agree?

A. No. The Companies' tariffs already provide for ample time (up to seven days) to remediate any equipment failure. The language below is contained under the "Customer Failure" section of the Companies' respective non-firm tariffs:

> Customer Failure:
> There is an amnesty clause available to Customers that experience an equipment failure. Should a Customer fail to switch to its alternate fuel when it is notified to do so because of equipment failure, the Customer must notify the Company within one hour of the failure, and provide proof within two days that the equipment has been repaired and is operable. If a Customer can demonstrate that it was unable to obtain and install the necessary equipment within two days, the Customer will have five more days to remedy the situation. The Customer will provide proof that it has installed the necessary equipment and that it is operable. If a Customer meets these criteria, amnesty for the violation will apply. If the Customer cannot obtain and/or install the necessary equipment within seven days, the equipment failure will be considered a violation. Only one grant of amnesty for an equipment violation will be allowed per winter season. Such grant of amnesty does not exempt the Customer from having to pay any applicable charges, including Unauthorized Use Charges or non-compliance Charges.

Q. NYCRDP states that under certain circumstances, monetary penalties otherwise applicable to the New York City Housing Authority for using gas to operate on-site generation facilities to provide electricity to human

needs customers during electric emergencies should be waived. Do the Companies agree?

A. No. The Companies rely on non-firm demand response customers coming off natural gas when directed to do so for system reliability. The Commission has recognized the importance of compliance with the interruption requirements, noting that "in order to ensure the reliability of the distribution networks, National Grid must have confidence that IT and TC customers will not use natural gas under certain conditions" (Case 16-G-0058 and 16-G-0059, Order Approving Tariff Revisions and Directing Further Tariff Filings (issued and effective February 7, 2019) at 3). Any waivers related to gas usage during an interruption would hinder the Companies' ability to manage peaks, and the non-firm demand response service classifications are a large part of the Companies' suite of non-pipeline alternatives needed to provide safe and reliable service for all customers. The existing rules are intended to provide clear guidelines to avoids confusion in terms of when the rule applies and when it does not apply. Furthermore, the NYCRDP's recommendation is contradictory to the Companies' obligation to treat similarly situated customers in a similar manner.

IX. Gas Rates for Electric Generation

Q. LIPA raised a number of issues regarding KEDLI's electric generator rates including the Minimum Bill Obligation ("MBO") and the Value-Added Charge ("VAC"). Does the Panel have any comment?

A. Yes. As explained in the Companies' response to IR LIPA-1, the Companies are awaiting guidance regarding the appropriate charges for electric generators in Case 17-G-0011 – *In the Matter of Review of Tariff Provisions Regarding Natural Gas Service to Electric Generators*, which was initiated by the Commission to review the required tariff provisions and rate structure for non-core gas transportation service to electric generators. Until an order is issued in that proceeding, the Companies do not believe any changes should be made.

X. LAUF Gas

Q. Please generally describe the Companies proposals related to LAUF.

A. The Companies proposed four changes: (i) update the fixed LAUF targets and associated dead-bands; (ii) have the new LAUF targets become effective beginning the new GAC cycle, or September 1, 2020; (iii) remove the inactive accounts adjustment; and (iv) modify the calculation to gross up gas costs for LAUF gas.

Q. Please summarize the SRP's comments regarding LAUF.

A. The SRP agreed with KEDNY's proposed LAUF target and the proposed changes to the LAUF effective date and the modifications to the calculation to gross up gas costs, but disagreed with KEDLI's proposed LAUF target, the calculation of KEDNY and KEDLI deadbands, and the removal of the inactive account adjustment from the LAUF calculation. The Staff Pipeline Safety Panel stated that volumes for inactive accounts should not be considered LAUF gas and suggested that the Companies adjust the LAUF calculation so that customers do not pay for these volumes.

Q. Do the Companies agree with the SRP's proposed changes to the establishment of LAUF targets and deadbands?

A. The Companies agree with the SRP's revised calculation of the KEDNY and KEDLI deadbands, which align with the Staff White Paper recommendations as explained in the SRP's testimony. However, the Companies do not agree with the SRP's proposal (at 58) to revise the KEDLI LAUF target to remove 2014 actual LAUF from the calculation. The SRP believes that this amount is an outlier, but the Staff White Paper recognizes that actual LAUF can vary from year to year and for that reason a five-year average is recommended for the establishment of each Company's LAUF target. In fact, the actual LAUF in 2015 was the lowest LAUF percentage in the five-year average, indicating that there are likely timing issues between years that are somewhat normalized

when looking at a five-year average. For that reason, the Companies disagree with the SRP's recommendation to remove one year from the five-year average and that the Staff White Paper recommendation should be used to develop the LAUF targets for both KEDNY and KEDLI.

Q. Do the Companies agree with the SRP's proposed changes to the inactive account adjustment?

A. The Companies agree with removing the volumetric inactive account adjustment in the LAUF calculations prospectively as explained in the Panel's pre-filed direct testimony, but do not agree with the removal of the inactive account adjustment included in the actual LAUF calculation for 2017/18 for purposes of setting the LAUF targets in these proceedings or the inclusion of a financial penalty related to inactive accounts.

Q. Please explain why the Companies do not agree with the SRP's proposed retroactive changes to 2017/18 LAUF calculation to remove the inactive account adjustment.

A. The Companies calculated the 2017/18 actual LAUF in accordance with the Joint Proposal in Case 16-G-0058 and 16-G-0059 and for that reason, the filed and approved LAUF calculations for the last five years should be used in setting the LAUF target in this case.

In addition, when the SRP proposed removing the actual inactive account adjustment made by KEDNY in the annual reconciliation filing for 2017/18, the Panel believes there was an error in the SRP's exhibit. It appears that the SRP removed the NYFS adjustment instead of the inactive account adjustment as explained in the SRP's testimony. The formula supporting the calculation of twelve months ended August 2018 LAUF shown on page 3 of Exhibit ___ (SRP-9) still includes the inactive account adjustment but removes the NY Facilities Gas Transfer LAUF. If Staff is intending to show an adjusted LAUF target excluding the inactive accounts adjustment, the resulting five-year average LAUF would be 2.429 percent. However, Staff's calculation indicates a five-year LAUF percentage of 2.426 percent. As shown in Exhibit ___ (RDP-19R), the Companies asked the SRP to verify that the KEDNY LAUF calculation properly reflected the intended adjustment to remove LAUF in IR NG-1, but the SRP responded that the difference between their calculation of LAUF and the Companies' calculation is the inactive accounts adjustment. The Companies do not agree with this response, but more importantly, the Companies do not agree with the removal of the inactive account adjustment because the Companies calculated LAUF in accordance with the Joint Proposal approved in Cases 16-G-0058 and 16-G-0059.

Q. Do the Companies agree with the SRP's proposal to change the inactive account adjustment from a volumetric adjustment to a financial adjustment or that inactive account volumes should be removed from the LAUF calculation?

A. No. As stated in the its direct testimonies for KEDNY and KEDLI, the Panel does not agree that any inactive account adjustments for LAUF are necessary, because inactive account usage is already increasing the Companies' losses, and to the extent that actual LAUF is above the upper deadband, the Companies incur a penalty for inactive account usage. For this reason, the Companies believe that any adjustments to actual LAUF relative to inactive accounts is duplicative. The Companies calculated LAUF targets and deadbands are included in Exhibit ___ (RDP-5AR) for KEDNY and Exhibit ___ (RDP-5BR) for KEDLI.

XI. RDM

Q. Please generally describe the Companies' proposed changes to the RDM.

A. The Companies are proposing the following changes:

- Implement a revenue per class mechanism for SC 1B customers;
- Remove incremental growth incentives in SC 2 and SC 3 RDM;
- Expand the RDM to SC 1A; and
- Change the timing of the RDM reconciliation to a FY basis.

Q. Did the SRP agree?

A. Yes, and the SRP recommended that the RDM targets be updated based on the revenue and customer counts approved by the Commission in these proceedings.

Q. Do the Companies accept the SRP's recommendation?

A. Yes.

XII. Miscellaneous Rate Design Issues

A. Gas Tariff Provisions

Q. Did Staff propose any changes to the Companies' tariff?

A. Yes, the SRP recommended (at 72) that the Companies (i) continue to streamline their tariffs, (ii) perform a study to ensure that customers are in the correct SC, and (iii) propose a draft Delivery Rate Adjustment ("DRA") statement that includes each element in the surcharge. The Staff Efficiency and Sustainability Panel ("SESP") proposed that the Companies recover non-labor O&M costs related to the Program-based demand response programs in the Companies' DRA mechanisms instead of base rates.

Q. Do the Companies agree with the SESP's recommendations?

A. The Companies agree with the recommendation to continue to streamline the tariffs and to develop a DRA statement. The Companies disagree with the proposal to perform a study to ensure that customers are in the correct service classification and the proposal to recover non-labor O&M costs for demand response programs in the DRA.

Q. Please explain why the Companies disagree with the recommendation to perform a study to verify customers are on the correct service classification?

A. The Companies make every effort to initially place customers on the correct service classification based on information provided by the customer at the point in time that service is initiated. The Companies inform customers to fully and accurately fill out their applications to assist in placing the customer on the correct rate. If circumstances change that require a change to the original service classification, the customer has a responsibility to notify the Company to reclassify the account to the appropriate service classification. In addition, a study that reviews every account in the Companies service territory would be extremely costly and time consuming and the Companies do not believe significant issues exist that would warrant such an effort. For these reasons, the Companies disagree with this proposal.

Q. Please explain why the Companies disagree with the SESP's recommendation to recover non-labor O&M costs for demand response programs in the DRA instead of base rates?

A. The Companies proposal is to recover the forecast non-labor O&M costs in base rates. If the intent of SESP's proposal is for the actual non-labor O&M costs to be included in the DRA and recovered on a lag, the Companies disagree as that adds to the cash flow issues effecting the Companies credit metrics, as discussed in the rebuttal testimony of Company Witness Jonathan Cohen. If SESP is proposing the Companies recover the forecast non-labor O&M costs through the DRA, the Companies could agree to move the recovery of these costs from base rates into the DRA. Any over or under recovery of the forecast costs would be either refunded to or recovered from customers in a subsequent period.

B. NGV

Q. Did the SRP provide any comments relative to the Companies' proposal to add an interruptibility option for NGV customers?

A. Yes. the SRP agreed with the proposal, if customers are only interrupted for peak periods during a day and the customers can change their fueling profiles for several days at a time.

Q. Please explain the Companies' proposal to add interruptibility for NGV customers.

A. The amount of interruption would be negotiable for each customer with various choices, depending on our need and their fueling patterns. The key component of this program is that the customer would decide on their interruptibility because they would save on capital costs. It would be up to the customer to decide if they have that flexibility since this is an optional program. The Companies understand that fleet operation and fueling patterns vary and some customers can do this easily and some not at all. It is purely an economic choice for the customer, but they have several options: (i) fuel storage on site, (ii) multiple smaller compressors, (iii) more fuel capacity onboard, or (iv) use of public or shared fueling.

C. Paperless Billing Credit

Q. Please generally describe the Companies' proposals to update the paperless billing credit.

A. The Companies proposed to update the paperless billing credits to reflect each Company's updated costs to produce a paper bill versus producing an electronic bill. The Companies proposed to update the rates from $0.35 to

\$0.41 per service period for KEDLI and from \$0.49 to \$0.44 per service period for KEDNY.

Q. Do the Companies accept the SRP's recommendation (at 36) to delay the update to the KEDNY paperless billing credit?

A. No. The Companies disagree that twelve months of data is needed in order to determine the costs of paperless billing for KEDNY customers. The transactional costs should not vary significantly over the twelve-month period compared to the four months of data provided in the original filing. In addition, if the Companies are required to revise the paperless bill calculations in Briefs on Exceptions, there could be disconnects between the paper bill costs included in the revenue requirement and those included in the calculation of the paperless billing credit.

D. EAM

Q. Please summarize Public Utility Law Project's ("PULP") comments regarding EAMs potential bill impacts for residential heating customers?

A. PULP stated that based on these per therm impacts, EAMs have the potential to raise monthly bills for the typical residential heating customers of each Company by another 1 – 1.25 percent on a delivery bill basis.

Q. Does the Panel have any clarification regarding EAMs residential heating bill impacts?

A. Yes. The Companies propose to allocate the earned EAM incentives beginning in 2020 and for the EAM surcharge to be included in the DRA beginning the following April 1, 2021, which falls in Rate Year 2 for bill impacts.

E. SBC

Q. What is the SRP's recommendation regarding ETIP?

A. The SRP agrees with the Companies' proposal that the ETIP be rolled into base rates and agreed that ETIP costs can be recovered from the non-firm demand response and baseload distribution generation service classes, as long as the bill impacts are reasonable. The SRP recommended that the Companies propose an equitable allocation of ETIP costs in rebuttal (at 67).

Q. Does the Panel agree with this proposal?

A. Yes. The Companies agree to begin recovering energy efficiency costs in base rates and to include baseload distribution generation and non-firm demand response customers in the calculation of both ETIP and CEF rates. As recommended by the SRP, the Companies allocated ETIP costs to both the baseload distribution and non-firm demand response customers based on sales

volumes which is consistent with the current allocation methodology for ETIP. In addition, the Companies allocated CEF costs to the baseload distribution generation and non-firm demand response customers to allow them to participate in those programs as well. The bill impacts for baseload distribution generation customers are shown in Exhibit ___ (RDP-4AR), Schedule 4 for KEDNY and Exhibit ___ (RDP-4BR), Schedule 4 for KEDLI. For non-firm demand response customers, the tables demonstrate the proposed ETIP rate relative to the proposed non-firm delivyer rate:

KEDNY	ETIP Unit Rate	Proposed Non-Firm Delivery Rate	% of Proposed Non-Firm Delivery Rate
Small Comm & Govt	$0.01100 / Therm	$0.3171	3.5%
Large Comm & Govt	$0.01100 / Therm	$0.3171	3.5%
Small M/F	$0.01100 / Therm	$0.3012	3.7%
Large M/F	$0.01100 / Therm	$0.3012	3.7%

KEDLI	ETIP Unit Rate	Proposed Non-Firm Delivery Rate	% of Proposed Firm Delivery Rate
Tier 1 (former TC)	$0.00922 / Therm	$0.2717	3.4%
Tier 2 (former IT)	$0.00922 / Therm	$0.2717	3.4%

Q. Did the Companies provide a pro-forma SBC statement to incorporate the proposed changes?

A. Yes. The Panel has included a pro-forma SBC statement, which only consists of the Clean Energy Fund ("CEF") and is included in Exhibit ___ (RDP-17AR), Schedule 1 for KEDNY and Exhibit ___ (RDP-17BR), Schedule 1 for KEDLI. The CEF rates shown on the pro-forma SBC statement were calculated to include baseload distribution and non-firm demand response customer volumes to allow those customers to also participate in NYSERDA energy efficiency programs.

Q. Did any other intervenor provide feedback relative to the Companies' proposal regarding the expansion of energy efficiency programs?

A. The NYCRDP proposed that the expansion of SBC programs to the non-firm service classifications should be deferred until adequate energy efficiency programs are available to those customers.

Q. Do the Companies agree with the NYCRDP's SBC proposal?

A. No. As provided in response to IR CNY-53, the Companies provided a list of the energy efficiency programs that non-firm customers would be able to participate in, including the following:

- upgraded efficiency in design of new construction projects;
- envelope measures in existing buildings;
- HVAC controls and operating systems in existing buildings;
- efficiency improvements of existing commercial facilities; and
- support for efficiency in expansions of existing commercial facilities.

F. DRA

Q. Does the SRP have any further recommendations regarding the Companies' tariffs?

A. Yes. The SRP recommends the Companies to propose a draft DRA statement that includes each element in the surcharge. The Panel has included a pro-

forma DRA statement, which is included in Exhibit ___ (RDP-17AR), Schedule 2 for KEDNY and Exhibit ___ (RDP-17BR), Schedule 2 for KEDLI.

G. Green Gas Tariff

Q. Does the Staff Gas Supply Panel ("SGSP") recommend any changes to the Companies' proposed Green Gas Tariff Offering?

A. Yes. In the original filing, the Companies proposed to reconcile all costs of the program through a separate reconciliation mechanism that would only apply to participants opting into the program. The SGSP does not agree with a separate reconciliation mechanism due to the lack of participation and renewable natural gas ("RNG") cost data. Therefore, the SGSP is proposing that the Companies includes any excess unsubscribed RNG costs in the existing gas cost reconciliation mechanism which would be applicable to all gas customers.

Q. Do the Companies agree with the SGSP's proposed change to the reconciliation mechanism for the Green Gas Tariff offering?

A. Yes.

Q. Does this conclude your testimony?

A. Yes, it does.

Rebuttal Testimony of the Rate Design Panel

Index of Exhibits

- Exhibit ___ (RDP-2AR) – KEDNY Rate Year Gas Revenue Forecast
- Exhibit ___ (RDP-2BR) – KEDLI Rate Year Gas Revenue Forecast
- Exhibit ___ (RDP-3AR) – KEDNY ECOSS
- Exhibit ___ (RDP-3BR) – KEDLI ECOSS
- Exhibit ___ (RDP-4AR) – KEDNY Proposed Revenue Allocation, Rate Design, Bill Impacts
- Exhibit ___ (RDP-4BR) – KEDLI Proposed Revenue Allocation, Rate Design, Bill Impacts
- Exhibit ___ (RDP-5AR) – KEDNY LAUF Study
- Exhibit ___ (RDP-5BR) – KEDLI LAUF Study
- Exhibit ___ (RDP-6AR) – KEDNY Proposed MFC
- Exhibit ___ (RDP-6BR) – KEDLI Proposed MFC
- Exhibit ___ (RDP-7AR) – KEDNY Proposed RDM
- Exhibit ___ (RDP-7BR) – KEDLI Proposed RDM
- Exhibit ___ (RDP-8AR) – KEDNY Consolidated Billing Charge
- Exhibit ___ (RDP-8BR) – KEDLI Consolidated Billing Charge
- Exhibit ___ (RDP-16AR) – KEDNY Supporting Workpapers
- Exhibit ___ (RDP-16BR) – KEDLI Supporting Workpapers
- Exhibit ___ (RDP-17AR) – KEDNY Pro-forma Statements

- Exhibit ___ (RDP-17BR) – KEDLI Pro-forma Statements
- Exhibit ___ (RDP-18R) – Relevant Portions of Company IR Responses
- Exhibit ___ (RDP-19R) – Staff IR Responses
- Exhibit ___ (RDP-20R) – Companies' Reply Comments to CNY's Comments in Cases 16-G-0058 and 16-G-0059

BY MR. MALONEY: (Cont'g.)

Q. Panel, is it also correct that you sponsor certain exhibits, first of all, with respect to your direct testimony on behalf of Brooklyn Union. Do you sponsor certain exhibits that were additionally labeled as R.D.P.1 through R.D.P.16 and have been marked for identification as Exhibits 143 through 158.

And as part of your corrections and updates testimony, do you sponsor exhibits that were initially labeled R.D.P.2C.U. through 4C.U., 6C.U. through 8C.U., 14C.U. and 16C.U. and Appendix A?

A. Yes.

Q. And as -- as part of these exhibits, I'm sorry, were labeled marked for identification as Exhibits 291 through 298 and 299. Is that correct?

A. Yes.

Q. Now, as part of your direct testimony on behalf of KeySpan Gas East, is it correct that you sponsored certain exhibits labeled R.D.P.1 through R.D.P.16?

A. Yes.

Q. And these were marked for

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identification as Exhibits 127 through 142?

A. Yes.

Q. And also, as part of corrections and updates do you sponsor certain exhibits that were initially labeled R.D.P.2C.U. through 4C.U., 6C.U. through 8C.U. and 16C.U.? And these were labeled 283 through 289 and -- and Appendix A, which was labeled 290.

A. Yes.

Q. And finally, as part of your rebuttal testimony, did you sponsor certain exhibits that were labeled R.D.P.2R. through 8R., 16R. through 20R. and were marked for identification as Exhibits 356 through 367?

A. Yes.

Q. And were all of these exhibits prepared by you or under your direction and supervision?

A. Yes.

Q. Thank you.

MR. MALONEY: With that, Your Honors, the Rate Design Panel's available for cross examination.

A.L.J. COSTELLO: Okay. Thank you.

My understanding is that we're going to begin with the City of New York. Is that correct?

MR. CONWAY: That's right. Yeah.

CROSS EXAMINATION

BY MR. CONWAY:

Q. Good morning, panel. My name is Adam Conway, on behalf of the City of New York. If I could just start by pointing you to Page 32, lines 7 through 12 of your direct testimony.

MR. MALONEY: On behalf of which company you're -- I'm sorry.

MR. CONWAY: Okay. On behalf of KEDNY.

BY MR. CONWAY: (Cont'g.)

Q. And then on -- on pages 32 focusing specifically on lines 7 through 12. And do you recall the testimony there where KEDNY is implementing a single service classification S.C.22 with 2 tiers, Tier 1 interruptible at 15 degrees Fahrenheit and Tier 2 at 20 degrees Fahrenheit?

A. (Herrity) Dawn Herrity, yes.

Q. Okay. And then in its direct testimony, the New York City Rate Design Panel testified that the company's tariffs should be

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revised to specifically state that the interruption -- interruption tariffs are 15 degrees for Tier 1 and 20 degrees for Tier 2. Do you recall that testimony from the New York City Rate Design Panel?

A. Yes.

Q. Okay. And then if I could turn you to page 29 of your corrected rebuttal testimony for KEDNY. You disagreed with that proposal from New York City. Is that correct?

A. Yes.

Q. Okay.

MR. CONWAY: Your Honors, at this time I'd like to mark an exhibit, which we're calling the December 5, 2019 Test Notice from National Grid. Thanks.

A.L.J. COSTELLO: Can you just identify the exhibit for the record?

MR. CONWAY: Sure. It's a two-page document titled Temperature Controlled Tariff Rename to Non-firm Demand Response Annual Tests scheduled for December 5, 2019.

A.L.J. COSTELLO: Okay. That will be marked as -- for identification as Exhibit 639.

A.L.J. LEARY: Mr. Conway, this is a

19-G-0309/19-G-0310 - 2-19-20 - Brooklyn Union Gas letter from National Grid to its customers?

MR. CONWAY: That's correct to its non-firm customers.

A.L.J. LEARY: Okay. Thanks.

BY MR. CONWAY: (Cont'g.)

Q. Panel, are you familiar with the notice that's now been marked as Exhibit 639?

A. Yes, I am.

Q. Okay. If I could point you to the bottom of this page at the -- the second paragraph, that's titled paragraph 2 down there at the bottom. Do you see that National Grid has modified the interruptible temperature from Tier 1 from 15 degrees to 16 degrees?

A. Yes, that's correct.

Q. Is this the reason why the companies are opposed to incorporating the interruptible temperatures within the tariff?

A. Yes, this is correct. The company performs an annual review. And that's why those exact temperatures are not stated in the tariffs.

Q. And so is there anything that would prevent the companies from further modifying

that temperature upward at anytime?

A. The company perform -- the company performs an annual review prior to the beginning of the winter, so that those temperatures are all set, and customers are notified prior to the beginning of the winter.

Q. So it is true that the company could, prior to the next winter, decide to increase that above 16 degrees?

A. Yes.

Q. Okay. If that's the case, shouldn't the rate discount for Tier 1 customers be increased given the increase in the interruptible temperature?

A. It could go both ways, right, so if -- if the portfolio of next year that went back down to 15, you know, the rates are decided in the case, we don't adjust the rates each year, as we would annually do the review on the system with the temperatures.

Q. Okay. But if the -- if the rate proposal was based on a 15 degree interruptible temperature and the actual interruptible temperature is 16 degrees, wouldn't that suggest that the Tier 1

interruptible rate would have to be decreased?

A. I would think so, yes.

Q. And so then in order to maintain a 5% difference between Tier 1 and Tier 2 rates, the Tier 2 discount would also need to be adjusted, is that right?

A. If we -- if we were to keep the same following the 5% discount, then if we adjusted one tier, the other tier would be adjusted -- adjusted as well.

Q. If I could point you to Page 24 of the corrected rebuttal for KEDNY. You set forth -- there's a table there that sets forth the specific delivery rates that you proposed for the non-firm Tier 1 and Tier 2 service. Is that correct?

A. Yes.

Q. Okay. And then on the Tier 1 rate for KEDNY the proposal, just so I have this correct, it's the 3171 per therm.

A.L.J. LEARY: Mr. Conway.

MR. CONWAY: Yeah.

A.L.J. LEARY: Are you referring to the 0.31 --

MR. CONWAY: Yeah.

A.L.J. LEARY: -- 71 dollars --

MR. CONWAY: Yes, I am.

A.L.J. LEARY: -- cents.

MR. CONWAY: Your Honor.

A.L.J. LEARY: Okay. So just make it clear what per therm, what you're talking about here?

MR. CONWAY: Sure. Sorry for that. I always get confused when the cents run into four digits so. Sorry about that. But okay.

BY MR. CONWAY: (Cont'g.)

Q. So I'm talking about the -- the .03171 dollars per therm. Would you agree -- subject to check if necessary that that number is approximately 32% lower than the proposed firm delivery rate for the small commercial and government, and large commercial and government customers that are right next to that?

A. Yes.

Q. Okay. And then on the Tier 2 rate for those same customers, the .03012 dollars per therm, would you agree that subject to check that -- that number is approximately 35% lower than the proposed firm delivery rate for these customer groups that's right next to it?

A. Yes.

Q. Given the proposal that -- the company's proposal that there should be a 5% difference between the Tier 1 and Tier 2 rates, shouldn't the Tier 2 rate for these small commercial and large commercial and government customers be decreased slightly to maintain that 5% difference in rates?

A. Yes. Yes.

Q. Okay. And then back to those proposed non-firm rates themselves just so we understand, in the event that the company is awarded less revenue requirement than it is seeking, can we assume that the proposed non-firm rates would be adjusted accordingly so that the percentage discounts of the firm rates would be maintained?

A. Yes.

Q. Okay.

MR. CONWAY: At this time, I'd like to distribute a -- an I.R. response that has been included as a pre-filed Exhibit 533, and it's the National Grid Rate Design Panel response to New York City I.R. 53. It's a two-page document.

A.L.J. LEARY: 533.

A.L.J. COSTELLO: Okay.

A.L.J. LEARY: But I think he's going to give his conference.

THE REPORTER: Thank you.

BY MR. CONWAY: (Cont'g.)

Q. Okay. Does the panel see the response to C.N.Y.53?

A. Yes.

Q. And just to clarify, the companies have not provided any supplemental response to this document, is that correct?

A. Yes, that's correct.

Q. Okay.

A.L.J. LEARY: I'm sorry. I'm -- I'm missing what you're saying before you're saying yes. What are you saying?

THE WITNESS: My name.

A.L.J. LEARY: I'm sorry.

THE WITNESS: Thanks.

A.L.J. LEARY: I was like what did she say.

THE WITNESS: I'm sorry. I'll slow down.

A.L.J. LEARY: Well, once you're -- I

think, Kayla is -- you -- you're okay. It's the other panel members that are going to -- she now knows who you are. So you don't have to say that but others -- the other three panelists do but, thank you for doing that.

THE WITNESS: You're welcome.

BY MR. CONWAY: (Cont'g.)

Q. On Page 46 to page 47 of the KEDNY corrected rebuttal testimony. Just give me a second, but on these 2 pages you set forth the impact of imposing the energy efficiency transition implementation plan surcharges on non-firm customers, is that correct?

A. What was proposed was the -- for the S.B.C. which consists of the Clean Energy Fund, the energy of -- the other energy that you referred, we were proposing to in this case to include in base rates.

Q. So could you just explain to me then on pages 46 to 47 here, when we're talking about the -- the -- the impact of the energy efficiency transmission implementation plans surcharge which I call, if I can call this ETIP for short so I don't have to say that again. Is this not the -- the

impact of the ETIP costs within the proposed non-firm delivery rates?

A. Yes.

Q. Are you proposing any corresponding reductions to the Tier 1 and Tier 2 rates as a result of the inclusion of the ETIP surcharge into the non-firm delivery rates?

A. No.

Q. If -- if not, aren't you diminishing the discounts to the non-firm customers who -- who may have been up to now migrating to firm service?

A. (Smith) Can you please repeat the question?

Q. Sure. By not proposing corresponding reductions to the Tier 1 and Tier 2 rates to reflect the ETIP charge in the non-firm delivery rates, haven't you diminished the discounts to the non-firm customers?

A. That is correct. The -- the discount off the otherwise firm rate would then be reduced by the amount of ETIP that we've allocated to these customers, correct.

A.L.J. COSTELLO: Just identify

yourself, please.

THE WITNESS: Sorry, Kellie Smith.

A.L.J. COSTELLO: Thank you.

BY MR. CONWAY: (Cont'g.)

Q. Do you recall New York City's Rate Design Panel testimony urging the companies to eliminate or clarify the tariff requirement that non-firm customers must have on site alternate fuel capability?

A. (Herrity) Yes.

Q. And then on page 32, lines 2 through 8 of your corrected rebuttal testimony, again, KED -- talking about KEDNY here. The -- the rate design -- the panel disagreed with that recommendation stating quote, no such modifications are necessary. Do you recall that testimony?

A. Yes.

Q. Okay.

MR. CONWAY: At this time, I'd like to mark another exhibit. This is an excerpt from KEDNY's tariff and it's service classification number 22. It's 13 pages. And just so I'm clear there are portions of this that -- hold on one second. I'm just going to -- let me just distribute this first.

Thank you.

MR. GOODRICH: Your Honors, if this is just in the current tariff, I -- I -- I just -- I believe we would be able to refer to this in ours --

A.L.J. COSTELLO: Without marking that as an exhibit. Yeah.

MR. GOODRICH: But to clarify just that there's no confusion that we would be able to just refer to this.

A.L.J. COSTELLO: It's a public -- all right. It's a --

MR. GOODRICH: Yes.

A.L.J. COSTELLO: -- it's a public document. So if we're going to -- going to mark it, we will mark it as Exhibit 640.

MR. CONWAY: Okay, 640.

BY MR. CONWAY: (Cont'g)

Q. Okay. And is the panel familiar with KEDNY's service classification 22 for non-firm service?

A. (Herrity) Yes.

Q. Would the -- would the panel agree that there are several references within this service classification that would indicate that a

customer must have alternate fuel capability on site?

A. Yes.

Q. Would you agree that these references could, at a minimum, be confusing to customers that may be willing to provide the companies with remote access to interrupt them, but do not have onsite alternative fuel capability?

A. Excuse me. Can you repeat that?

Q. Sure. Would you agree that the -- several references within Service Classification 22 to onsite alternative fuel capability could, at a minimum, be confusing to customers that are willing to provide the companies with remote access to interrupt them, but do not have onsite alternative fuel capability?

MR. MALONEY: Object, Your Honor, I think the question goes to what customers think. I don't know that the panel was necessarily qualified to testify to what customers think.

A.L.J. LEARY: Why don't we hear from them to see if they can?

THE WITNESS: No, but because it clearly states in the tariff under the non-compliance charges Leaf Number 427.43 revision 3, superseding 2.

It's the last sentence in the first paragraph. Any such violation will not trigger penalties if the customer has previously stipulated in writing that the customer is willing and able to shut down during periods of interruption.

A.L.J. LEARY: Can you just identify for the record the page of Leaf 427 on Hearing Exhibit 640 to which you have just quoted -- to which you've just referred, and I think quoted?

THE WITNESS: Page 11.

A.L.J. LEARY: Thank you.

BY MR. CONWAY: (Cont'g.)

Q. So just to clarify on my end. Is -- is this in the panel's view the only language within Service Classification 22 that makes clear that non-firm customers do not need to have onsite alternative fuel capability?

A. Yes.

Q. What would -- what would be the harm of adding any additional language to the tariff clarifying that such customers without alternative fuel capability can participate under the non-firm tariffs?

A. There would be no harm.

Q. Okay. Thank you.

MR. CONWAY: I don't have any further questions. I just have a set of I.R.s at this point that I would like to have marked as an exhibit. And I can describe them in more detail if -- if necessary.

A.L.J. LEARY: How many do you have?

MR. CONWAY: It's 24 I.R.s and they're -- I've compiled them into a single PDF to try to introduce them as a single exhibit.

A.L.J. LEARY: Perfect. Are these National Grid -- or KEDNY or KEDLI's response -- I'm sorry, this panel's responses?

MR. CONWAY: Yes, Your Honor, they're all responses from this panel. It's a -- it's a mix between, I believe it's 5 I.R.s that were propounded by the staff and then the remainder were from the City of New York.

A.L.J. COSTELLO: Thanks.

Okay. We'll mark that for identification as Exhibit 641. Yeah, from my understanding, the -- at least what was sent around by email yesterday included 2 -- 2 different I.R.s that where -- sets of I.R.s I should say. So there

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MR. CONWAY: That's right, Your Honor.

A.L.J. COSTELLO: And then another that was 17 pages.

MR. CONWAY: That's right.

A.L.J. COSTELLO: And from what I can tell, all we have is the one that has the 103 pages in front of us.

MR. CONWAY: Yeah. Just allow me to explain. The one that has 103 pages are the I.R.s that were responded to by the company Rate Design Panel. And then the second document is I.R.s that were responded to by the staff.

A.L.J. COSTELLO: Okay. Thank you for the clarification.

MR. CONWAY: Okay.

A.L.J. LEARY: And again, we talked about this earlier, about the redacted documents here --

MR. CONWAY: Right.

A.L.J. LEARY: -- which I think are D.P.S. 1064.

MR. CONWAY: 1086, Your Honor, the attachments to 1086.

A.L.J. LEARY: Let's see here. I have an attachment to 1064 that's redacted, but I could be wrong, yeah, I am wrong 1086. And where -- where is the confidential version? My preference would be to keep -- you -- are you going to introduce that separately?

MR. GOODRICH: I -- I was going to introduce that separately. I can search -- this is Brandon Goodrich for staff. I can circulate it now, but I was going to introduce it separately as --

A.L.J. LEARY: I thought it's a part of 641.

MR. GOODRICH: -- as a stand-alone exhibit.

A.L.J. LEARY: Okay. All right. Separately?

MR. GOODRICH: Yeah.

A.L.J. LEARY: And just -- what I want to do is just mark on your exhibit, the cross-reference to 641. Okay. Who's next?

A.L.J. COSTELLO: Are you done, the City?

A.L.J. LEARY: Mr. Conway?

MR. CONWAY: Yeah, I just need to --

A.L.J. COSTELLO: Yeah.

MR. CONWAY: -- finish up getting these in the record.

BY MR. CONWAY: (Cont'g.)

Q. Is the -- is the panel -- does the panel have copies of what's now been marked as Exhibit 641?

A. (Herrity) Yes.

Q. And is the panel -- are these true and accurate copies of the panel's responses to the various I.R. responses that are listed on the cover pages here?

A. Yes.

Q. And does the -- the panel adopt these I.R. responses as their own?

A. (Smith) I just -- I just have -- Kellie Smith. I have a question. There are some I.R.s in here that were not answered by the Rate Design Panel. So would we answer this question that we would attest that we agree with the responses to the ones that were actually responded to by the Rate Design Panel?

A.L.J. LEARY: Which ones?

THE WITNESS: Right now I just saw a

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C.N.Y.64, page 9 of 103. The next one on page 10, I haven't gone through all of them yet, but if we need to go through them we can do that.

A.L.J. COSTELLO: Yeah, let's -- let's go off the record to give you an opportunity to go through that so that we can indicate which ones are and are not.

(Off the record; xxx)

MR. MALONEY: True and correct by the parties who responded to them, and that they represent the company's responses to these I.R.s. We can move --

A.L.J. COSTELLO: I think that -- yeah, that works for us.

MR. MALONEY: Okay.

A.L.J. LEARY: I haven't found one that's not the Rate Design Panel, but I might have missed it. You said --

MR. MALONEY: There -- there are a few, there's one that's for example, Stephanie Briggs responded to.

THE WITNESS: Right. I -- I think the confusion is that some of these are -- they're directed to the Rate Design Panel, but they were

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actually answered by another panel.

A.L.J. COSTELLO: Okay.

A.L.J. LEARY: But you -- well, okay, the stipulation is plenty, so --

MR. MALONEY: Right.

MR. CONWAY: Thank you.

A.L.J. LEARY: And you're okay with stipulating as to the unredacted versions, you know, just subject to your review that Mr. Goodrich is going -- okay. Good.

MR. CONWAY: Okay. No further questions.

A.L.J. COSTELLO: Okay. Thank you. And now I believe it's the Department of Public Service Staff.

MR. GOODRICH: Thank you, Your Honor.

BY MR. GOODRICH:

Q. Panel, hi. My name is Brandon Goodrich. I have some questions for you on the weighted average cost of gas, I mean, incremental costs of gas. So does the weighted average cost of gas that the company or the -- that the companies currently charged to non-firm sales customers include a demand component?

A. (Herrity) Yes.

Q. Does the demand component reflect a 100% load factor?

A. No.

Q. What load factor does it reflect?

A. (Smith) The companies don't have the exact load factor that the current demand component for the non-firm customers represents. But it is based on a cost of service study that looks at the contribution of the non-firm customers to the annual load, the winter load, and the peak load, and a commensurate demand rate is developed based on that cost of service study.

Currently the demand rate for those customers is roughly .44 cents per dekatherm.

Q. Just one moment. So is it fair to say then that the demand component is weighted by service classification?

A. So the company does the annual cost of service based on each classes' contribution to the annual, the peak, and the winter contribution.

Q. Okay. So in response to interrogatory 1086 and I'm only going to refer to the redacted version that was just provided to you by the

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New -- by New York City. This is on page -- starts on page 48 of Exhibit 641. You provide a calculation of the incremental cost of gas in January 2016 and January 2019. Is that correct?

A. (Arangio) Yes, it is.

Q. Now does the incremental cost of gas provided in response to interrogatory D.P.S. 1086 include a demand -- demand component?

A. Yes, it does.

Q. And does that demand component reflect a 100% load factor?

A. It represents a 100% load factor of a specific pipeline path, yes.

Q. Well, could you explain what that pipeline path is?

A. Sure. So it is the highest cost of gas. So what pipeline transportation path that gas float on, it represents that 100% load factor cost.

Q. And now, I just have an I.R. response that I want to get authenticated and this as -- as we've discussed, this is the confidential version of the response to interrogatory D.P.S. 1086. And though this is confidential, I'm not going to be

asking any substantive questions about it.

So I'm going to distribute it to the witnesses, the Judges, the company, and if the other parties can -- can, can identify whether they -- they should receive the confidential information or not, so that we don't give it out to any parties that haven't signed the protective order. Thank you.

For the record, this is a 57 page document, including the cover page. I did create the cover page. The rest of the document is a P.D.F. of the -- the response. And the redacted version of the response to interrogatory D.P.S. 1086, so the -- the comparative copy is included in Exhibit 641.

A.L.J. COSTELLO: Okay. We'll mark -- mark this for identification as Exhibit 642.

BY MR. GOODRICH: (Cont'g.)

Q. Panel, please let me know when you're ready to proceed.

A. (Arangio) Ready.

Q. Panel, was this response prepared by you or under your direct supervision?

A. Yes, it was.

Q. And is this a true and accurate copy of this interrogatory response?

A. It appears to be, yes.

MR. GOODRICH: Nothing further, Your Honors.

A.L.J. LEARY: Thank you.

A.L.J. COSTELLO: Thank you. We have Public Utility Law Project next.

MR. BERKLEY: Thank you, Your Honor.

BY MR. BERKLEY:

Q. Good morning, panel. This is Richard Berkley for the Public Utility Law Project. If you could turn to your direct testimony, on page 28 --

A.L.J. COSTELLO: Is that for KEDNY or KEDLI?

MR. BERKLEY: I'm sorry, for KEDNY. Thank you, Your Honor.

THE WITNESS: (Smith) I'm sorry, can you repeat the page?

MR. GOODRICH: I'm sorry, what was the reference.

MR. BERKLEY: Yes, on page 28 of KEDNY's direct testimony, lines 15 and 16 there where we're going to talk about for a moment or two.

BY MR. BERKLEY: (Cont'g.)

Q. Have you found that page and those lines?

A. (Smith) Yes.

Q. Thank you. So lines 15 and 16 say, what considerations were used in developing the company's proposed rates. And I -- I have a couple of questions about that. First, was any consideration given to impact on residential customers as part of the development of the rates?

A. (Gorman) Yes. Howard Gorman, yes.

Q. Thank you. Was any consideration given to impact upon low and fixed income customers?

A. Yes.

Q. Was any consideration given to impact upon E.A.P. that is low-income program customers?

A. Yes.

Q. On lines 20 and 21, you state that one of the considerations is to avoid severely disproportionate impacts on customer subgroups within a class. What exactly are those subgroups?

A. The company prepares bill impact schedules that show the results of the proposed rate

design on different usage levels within a -- each class. And so we look at the effects of the proposed -- increase in the proposed rate design on each of those usage levels that are represented on the bill impact schedules.

Q. So if you wouldn't mind restating that. Let me ask the question slightly differently. Are subgroups different categories of customers or are they different categories of use?

A. I'm sorry, I don't understand the ques -- the distinction between categories of customers and categories of use.

Q. Let me rephrase.

A. We bill impact schedule lists for each service class different levels of usage and separate analysis is performed for a low impact -- low -- I'm sorry, low income customers. So each line in those schedules is examined.

Q. Thanks. I think you answered me anyway. Let me -- let me keep going, I might come back to that. On page 29, lines 1 and 2 --

A. Is that 29?

Q. Yes, page 29. The panel states, to provide signals to reflect the effects of their

usage on the overall system including supporting conservation. What are those signals that are being sent?

A. The overall rate design tries to align rates with costs, therefore, by aligning rates with costs we are sending signals to customers about the economic impact of their -- their usage levels.

Q. Thank you. How strong do the signals need to be to create changes in behavior?

A. I don't have that answer.

Q. Does the company have a preference for stronger signals versus weaker signals?

A. The company de -- desires to align rates with costs as closely as possible and also to meet social objectives such as conservation. The developing rates that accomplished those objectives is a matter of where you are along a spectrum. It's not I need to be at this exact place to get this exact result.

Q. Thank you. You may have started to answer my next question, which is, how did the propose rates support conservation?

A. The -- the company examined in

the inc -- inclining block rates study the effect of moving -- moving rates towards -- more towards inclining blocks. The company proposed a rate design -- the company's proposed rate designs which made some progress along that scale of reducing the decline and, therefore, making the tail block more expensive, which one hopes would support conservation efforts.

In this particular case, I think that several interveners opined that they appreciated the company's goal and they agreed that the final result of that computation, in other words, how much we can move from declining block rates towards either flat or inclining block rates would depend on the overall level of increase that the commission granted the companies.

Q. Thank you. So would you say that the company's proposed rates would lead to a decrease of usage by customers?

A. I'm not in a position to make that determination.

Q. What then does the company mean by conservation?

A. The company means having rates

which are -- which -- in which that the tail block or the usage, which is more controlled by more customers is more -- relatively more expensive.

Q. So are -- are you saying that in the company's usage here that conservation doesn't mean reduction of use?

A. I'm sorry, I don't think I said that.

Q. Let me -- I'm not going to repeat the same question. Does conservation as it's used here mean more efficiency of use?

A. The company supports the -- the overall goal of conservation, meaning encouraging customers to make -- to use less gas.

Q. Thank you. Continuing on page 29. Panel has some testimony about increase to what it calls minimum charges, which are otherwise called fixed charges or basic service charges, a bunch of different things depending on the industry. So for lines 4 through 11 on that page, it deals with S.C.1A. residential non-heat.

The panel says that it set the minimum charge to 1950, which was a small increase over the current charge. Could you explain what small

increase means?

A. I don't -- do we have what the current charge is?

A. (Smith) Just a minute, please.

A. (Gorman) So if I could first comment that the proposed increase for the S.C.-- Service Class 1A was updated on exhibit R.D.P.-4A.R. Schedule 1, the proposed fixed charge is $19. And as opposed to the 1950 was originally filed and the current charge is $16.25. So that will be an increase of $2.75 per month.

Q. Sorry, I turn my mic off. Thank you. Could you express that as a percentage?

A. It's approximately a 17% increase.

Q. Thank you. In lines 7 through 9, the panel states, this service class has low usage per customer and therefore it is not feasible to put the entire increase in the volumetric rates. Could you explain what you mean by not feasible?

A. That means that if we tried to put the entire increase into the volumetric rates, the volumetric rates would go up a lot. Not feasible doesn't mean impossible. It means that it would have

an undesirable result.

Q. Thank you. Turning down two lines 13 through 15, same question. Panel states that 2425 on line 14 is a small increase over the current charge. Could you answer what it is as a dollar amount increase and also as a percentage increase?

A. Again, if we could refer to the panel's Exhibit 4 -- Exhibit R.D.P.-4A.R. the rebuttal proposal for this Service Class 1B, the fixed charge would be $23.40, which is an increase of a $1.85 over the current rate of 2155. And that works out to approximately a 9% increase.

Q. Thank you. Could you explain what a minimum charge is?

A. The minimum charge that the -- it's -- it's the amount that the customer pays each month regardless of usage. That's from the customer's point of view. It's intended to recover costs that the company needs to incur regardless of the customer's usage.

Q. How does the minimum charge, if it does, send any kind of market signals to customers to engage in conservation?

A. Well, the minimum charge is intended to recover fixed costs. And the -- and if -- if the path that you're -- people like to go down is I want a zero fixed charge because then my volumetric charge can be as high as possible to encourage conservation.

That's certainly one theory, but that doesn't really align with -- with economics. The economics of the company's business are that it incurs fixed costs every month and tries to recover those as closely as possible in the -- in a minimum fixed charge.

Q. Thank you. Setting aside the characterization of my end goals because I haven't gotten there yet. Panel stated in this section of its testimony beginning on page 28 line 14, that rates were designed to provide signals to customers to do among other things, support conservation.

Could you answer how the company's choice of it the fixed – sorry, the minimum charges support conservation if they do?

A. On pages 28 and 29 of the panel's testimony we listed three goals, conservation as one of them. The company needs a minimum charge to

recover its minimum costs, its fixed monthly costs. The volumetric charge recovers its other costs that can be managed or designed to encourage conservation.

Q. Thank you. I'm turning to Section 12 of your direct testimony, pages 15 -- 50 -- sorry, 50 and 51, which refer to something called the Newtown Creek Project. Could you briefly explain what the Newtown Creek Project is?

A. (Smith) So the Rate Design Panel explains in its testimony that the future of heat -- the Future of Heat Panel proposed the Newtown Creek Project which seeks to reduce our greenhouse gas emissions by promoting R.N.G. as a long-term supply source.

Q. Thank you. And R.N.G. is Renewable Natural Gas?

A. Yes, my apologies, yes. Thank you.

Q. Thanks. I'm going to do that myself in a moment. So overall, this question about the Newtown Creek Project is -- has the company withdrawn this project, or does it still intend to go ahead with it in this 1-year rate plan?

A. The Rate Design Panel is not

aware of this project being withdrawn.

Q. Thank you. What's the impact of this project on rates?

A. The company hasn't specifically identified the impact on bill -- the impact on bills related to just the Newtown Creek Project, we com -- prepare bill impacts on the total costs.

Q. Thank you. I'm starting on page 56 still on your direct testimony and going over to page 57. The company proposed to modify T.C. -- temperature of controlled and interruptible service classifications?

And I just have a general question about this section of your testimony. Are there any changes to the tiers proposed -- Tiers 1 and 2 proposed by the company as a result of the no NESE scenario -- I'm sorry the no Northeast Supply Enhancement scenario?

A. (Herrity) No.

Q. Thank you. Still on the topic of the interruptible customers. Could you turn to page 60, please? And starting at the top of the page, there is a discussion about a proposal regarding critical care customers, have -- have you found that?

A. Yes.

Q. Okay. Thank you. What are 2-strike violators?

A. A 2-strike violator is a customer that has failed to comply with the non-firm tariffs twice within one winter season.

Q. And what is the remediation plan for 2-strike violators?

A. It would be dependent on each -- it would be customer dependent. So the reason for their remediation, whether it was equipment issues and/or ultimate fuel on hand issues.

Q. Would the company shut off service to the critical care customers?

A. No.

Q. Are there any changes in the company's proposals because of the no NESE scenario?

A. No.

Q. Thank you. Turning to page 67 you have a question, does the company proposed to update its economic development programs, that's lines 14 and 15.

A. (Smith) Yes.

Q. Does any of the company's

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economic development spending also promote gas efficiency?

A. (Herrity) This testimony in the gas -- the Rate Design Panel's direct testimony regarding economic discount programs are -- this refers specifically to the programs that are contained in the company's tariffs. And -- and -- and there are more incentives for customers to attack as far as E.E., that -- it -- that would be the company's --

A.L.J. LEARY: Energy efficiency?

THE WITNESS: Yes, sorry about that, Your Honor. Energy efficiency, that would be in the company's overall economic development portfolio which the Rate Design Panel cannot answer that question.

BY MR. BERKLEY: (Cont'g.)

Q. Thank you. Would you be able to answer the question of whether any of this economic development spending referred to here promotes conservation measures or demand response?

A. No.

Q. No, you would not be able to answer the question or no, it doesn't?

A. No, I would not be able to answer.

Q. Thank you. Would the panel be able to answer the question whether or not a gas efficiency conservation and demand response are economic development priorities for the company?

A. (Smith) Can you please repeat the question?

Q. I just put it away. Let me restate it then.

A. Okay. Thank you.

Q. Is it -- would the panel be able to answer the question whether gas efficiency conservation and demand response were an economic development priority for the company?

A. So the Rate Design Panel can only speak from a perspective of rate design. We -- as Howard explained, we are intending to design rates that would promote energy efficiency. As far as the other question that would be more for our policy panel to explain or answer.

Q. Thank you.

MR. BERKLEY: Nothing further, Your Honors.

A.L.J. LEARY: Thanks.

A.L.J. COSTELLO: Okay. Before we turn to Utility Intervention Unit, should we take a 10-minute break? I think take a 10-minute break, we'll go off the record.

(Off the record 10:14 a.m.)

(On the record 10:27 a.m.)

A.L.J. COSTELLO: And the Utility Intervention Unit is up for cross-examination.

MS. O'HARE: Thank you.

CROSS EXAMINATION

BY MS. O'HARE:

Q. Good morning panel, my name is Katie O'Hare and I'm representing the Utility Intervention Unit.

A.L.J. LEARY: I cannot hear you.

BY MS. O'HARE: (Cont'g.)

Q. Good morning panel, my name is Katie O'Hare and I'm representing the Utility Intervention Unit. I'm going to begin with a few questions starting from the KEDNY direct testimony page 17. I will give you a moment to find the page.

In the interest of efficiency, I'll be asking the first set of questions based on the KEDNY

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A. (Gorman) The panel has found that page.

Q. Thank you. Referring to lines 9 to 18, the panel classified a portion of the cost to distribution mains which are defined as Federal Energy Regulatory Commission, FERC account 376 as customer-related based upon a minimum system analysis, correct?

A. Yes.

Q. More specifically for KEDNY referring to lines 13 through 15 based on the results of its minimum system study, the company estimated the customer component of mains to be 47.08% and the demand component 52.92%, correct?

A. Correct.

Q. This 47.08 factor for KEDNY was developed by analyzing data attained from the company's historic plant and account records, isn't that true?

A. Yes, that's correct.

Q. Thank you. This 47.08% factor is significant since it was used in determining what

portion of the overall cost of KEDNY's distribution mains would be allocated among the customer classes based on the number of customers in each class, correct?

A. Correct.

Q. With respect to this 47.08% portion of the distribution main cost, in your eco-study every customer is effectively allocated the same amount of cost regardless of their size or other circumstances, correct?

A. Could you repeat that question, please?

Q. Yes. With respect to this 47.08% portion of the distribution main cost in your eco-study, every customer is effectively allocated the same amount of cost regardless of their size or other circumstances, correct?

A. Every customer is allocated the -- the same portion of the customer related portion of the mains, yes.

Q. So to clarify, your answer is yes?

A. As long as we're talking about the customer related portion of the mains, yes. The

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47%.

Q. Thank you. In fact, a small residential customer living in a studio apartment is effectively allocated the exact same share of this 47.08% of the cost of distribution mains as the share that's allocated to a much larger customer such as an office building or a department store, correct?

A. That's correct.

Q. Thank you. Now, panel, I'm going to have a few questions regarding the bill impacts for cus -- individual customer classes. I direct you to the corrected rebuttal testimony of the Rate Design Panel, page 15 lines 16 to page 26 line 2. I will give you a moment to review that testimony and let me know when you're ready.

A. (Smith) Can you please repeat the page and line reference?

Q. Yes. It's the corrected rebuttal testimony page 25, starting at line 16 to page 26, line 2.

A. Okay. We're ready.

Q. So referring to that testimony, did the panel utilize the updated revenue requirement that was proposed in the rebuttal testimony of the

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A. Yes.

Q. Have the companies updated the bill impacts provided in Hearing Exhibit 358 to reflect the changes in the proposed revenue requirement described in the second supplemental testimony of the KEDLI and KEDNY revenue requirement panels filed on December 13th, 2019 and the third supplemental testimony filed on January 29th of 2020?

A. The companies did not file updated embedded cost of service study revenue allocation or bill impacts for the second or third supplemental filings.

A.L.J. LEARY: I just want to remind any person in the room speak slowly because the record will not be able to capture exactly what you're saying. So slow it down just a little bit. I -- just so you know, I got the word from the court reporter, I'm not making this up, so.

MS. O'HARE: No, I appreciate that. I will slow it down. Thank you.

BY MS. O'HARE: (Cont'g.)

Q. Panel, does it change in the company's proposed revenue requirement impact the bill impacts for individual service classes?

A. Yes, it does.

Q. At this time, I want to introduce an I.R. into the record. I will take a moment to pass it out. Panel, have you had a moment to review the I.R.?

A. Yes.

Q. For the record it's U.I.U. 56. It's dated February 10th, 2020 and it's 1 page. Was this response prepared by you or under your supervision?

A. Yes.

Q. Is it a true and accurate copy of the interrogatory?

A. Yes.

Q. Thank you.

MS. O'HARE: I'd like to request that this be entered into -- entered into the record as an exhibit.

A.L.J. COSTELLO: We'll mark it for identification as Exhibit 643.

MS. O'HARE: Thank you, Your Honors.

BY MS. O'HARE: (Cont'g.)

Q. Now panel, referring to your rebuttal testimony page 45, lines 3 through 6. I have a question regarding the bill impacts for the earnings adjustment mechanisms the company has proposed. I'll give you a moment to find the testimony.

A. Yes, we're ready.

Q. Has the -- panel determined the bill impacts for each individual service class if each company earns the maximum earnings adjustment mechanism incentives as proposed in the company's Future of Heat Panel testimony?

A. The company did not calculate the impacts for all service classes. We did a -- an estimate of the bill impacts for the residential heat class as an illustrative example.

Q. Thank you.

MS. O'HARE: No further questions.

A.L.J. LEARY: I have a question about Hearing Exhibit 643 which is U.I.U. 56. It appears that the responses that the companies did not file updates to R.D.P.-4A.R. and R.D.P.-4B.R. with its supplemental testimony of December 13th, 2019 and

January 29th, 2020. Does -- does that mean that R.D.P.-4A.R. and R.D.P.-4B.R. are no longer being relied on or no longer accurate or are they in need of update or what -- I mean, I'm -- I'm actually looking to the person who can best answer this question.

THE WITNESS: (Smith) So Your Honor, the company did not revise the embedded cost of service study revenue allocation or rate design that would have updated the bill impacts for those two supplemental filings. The intent of those filings was to modify the revenue requirements to reflect the changes related to the lifting of the moratorium for the second supplemental and to incorporate the N.E.N.Y. Order, and I am not sure what does that stand for.

New Energy New York Order and the changes were considered to be moderate and so we did not re-run bill impacts for those two filings as the intent was to really get on the record the change in the revenue requirements and the sales forecast.

A.L.J. LEARY: Okay. So I understand you answer but I guess my question is, are there things in R.D.P.-4A.R. and R.D.P.-4B.R. that are now

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no longer accurate?

THE WITNESS: The bill impacts would need to be updated to reflect the most recent sales forecast and revenue forecast as filed in the third supplemental testimony, correct.

A.L.J. LEARY: So that's a yes?

THE WITNESS: Yes.

A.L.J. LEARY: Okay. Thank you.

A.L.J. COSTELLO: Would you like a few minutes?

MR. MALONEY: Yes, Your Honor.

A.L.J. COSTELLO: Okay.

MR. MALONEY: It'll take 5 minutes.

A.L.J. COSTELLO: Okay. We'll take 5 minutes, go off the record.

(Off the record 10:39 a.m.)

(On the record 10:44 a.m.)

A.L.J. COSTELLO: The companies have any re-direct?

MR. MALONEY: Yes, Your Honor. We have some very limited redirect.

RE-DIRECT EXAMINATION

BY MR. MALONEY:

Q. This is Kenneth Maloney for the

19-G-0309/19-G-0310 - 2-19-20 - Brooklyn Union Gas companies. Panel, you were asked some questions -- do you recall that you were asked some questions by Mr. Conway concerning the way in which the discounts for the company's non-firm service classes were colle -- were calculated?

A. (Herrity) Yes.

Q. Could you clarify what your response as to how those discounts were calculated?

A. Yes, I'd like to clarify how the discounts were applied. So when we spoke about the Tier 1 discount, we looked at the otherwise firm rate and that's how we got the .3171 cents per therm which resulted in a 32% discount off the otherwise applicable firm rate. We calculated the Tier 2 by taking 5% off that result of the 2. So we didn't go back up and say let's take 37% off the firm rate. We took the result of taking the 32% off which gave us that result and then we lowered that by 5% and came up the -- with the resulting Tier 2 price.

Q. You were also asked some questions by Mr. Conway concerning the relationship between the temperature at which non-firm customers may be interrupted and the applicable discounts. Could you clarify your response on that?

A. Yes. At the time I replied that we would consider changing the rates. We will not be considering changing the rates at different temperatures.

Q. Thank you.

MR. MALONEY: That's all the re-direct we have. Your -- Your Honor, there is one other thing I did want to mention. And I'm not sure whether I did it or I didn't do it. But I do want to clarify on the record I may have misspoken before when I identified the KEDNY and KEDLI Exhibits. I do want to make clear that the Rate Design Panel Exhibits for KEDNY are those marked 127 to 142, 283 to 289 and 290.

And those for KEDLI are 143 to 158, 291 to 298 and 299. I don't know if I misspoke on those before, but I had some feeling I might have, so.

A.L.J. LEARY: Something like that.

A.L.J. COSTELLO: Okay. Thank you. Mr. Conway, do you have any further questions based on that?

MR. CONWAY: Yeah, just a couple of brief ones.

RE-CROSS EXAMINATION

BY MR. CONWAY:

Q. On the temperature threshold, just so I am clear. The -- the Tier 1 rates that were proposed were predicated on a 15 degree interruption threshold, is that right?

A. (Herrity) The Tier 1 rates were proposed on -- on how -- we'd have 2 different Tiers coming off at different temperatures based on their switchover equipment. The rate design was developed to allow for a discount for this type of non-firm customer, not necessarily predicated on the temperature cut-off.

Q. So under your proposal, you're saying in any given year, you could increase the temperature threshold for interruptions without making any corresponding change in the rate?

A. That is correct.

Q. And would that apply for both Tier 1 and Tier 2?

A. That is correct.

Q. And -- and so when would customers be informed of when that temperature threshold would -- would be?

A. Prior to each winter period.

Q. So that's sometime like in November or December of each year?

A. Typically it's earlier than that. This year because of the pending tariff filing with the new non-firm service class, our notification out to customers was delayed pending that effective date of the new non-firm service classification. Otherwise the companies try to provide those notices that informs of the interruption test and the cut-off temperatures prior to the beginning of the winter.

Q. Okay. And would there -- are you -- are you -- are you thinking or proposing that there'd be any restrictions on the ability to change the temperatures at the thresholds?

A. No. It would be an -- a -- annual engineering review that we have typically done for years when looking at the service class.

MR. CONWAY: No further questions.

A.L.J. COSTELLO: Okay. Mr. Maloney?

MR. MALONEY: No further re -- re-direct, Your Honors. Thank you.

A.L.J. LEARY: Does anyone else have additional questions for this panel, as a result of

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this last couple of -- as a result of redirect or Mr. Conway's re-cross? Okay. Let's go off the record.

THE COURT REPORTER: Off the record.

(Off the record 10:49 a.m.)

(On the record 11:13 a.m.)

A.L.J. LEARY: Okay. So when we were off the record, I enquired of the parties about a couple of issues. And I'm -- I don't think it's necessary that we go through all of those issues again, but I would like to ask the company to explain or state the commitment that they made specifically with respect to 2 exhibits that were attached to its Rate Design Panel's testimony and they would be R.D.P.-4A.R. and R.D.P.-4B.R.

My enquiry was about those 2 exhibits not being updated and Mr. Decicco, can you provide the company's response on that?

MR. DECICCO: Yes, Your Honors. The companies have agreed that we will update those 2 exhibits to reflect our latest bill impacts based on, among other items, the -- the issues addressed in our supplemental testimony filed on December the 13th, 2019 and January the 29th, 2020. We would ask just given the amount of work involved that we would have

2 weeks from today in which to -- to file those updated exhibits in the docket.

A.L.J. COSTELLO: My under -- my understanding was also that it -- the eco-study would be updated as well?

MR. DECICCO: It will indeed, yes, in order to -- in order to generate the bill impacts and make sure that we are doing it correctly, we will update the eco-study as well.

A.L.J. COSTELLO: Okay.

A.L.J. LEARY: So does that -- I am taking that to mean that R.D.P.-3A.R. is also going to be updated or you're just running the numbers?

THE WITNESS: (Smith) No, that is correct. R.D.P.3 would also be updated. I'm sorry --

A.L.J. LEARY: Thank you for the clarification. Anything else, Mr. Decicco?

MR. DECICCO: No, Your Honors.

A.L.J. LEARY: Thank you. Thank you very much to the company's Rate Design Panel especially your concise responses and stating your name before you spoke. You are the best panel yet. So thank you very much and we're going to bring up

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the D.P.S. Staff Rate Panel next. Are they here? We're going to go off the record just for a few.

(Off the record 11:16 a.m.)

(On the record, 11:19 a.m.)

A.L.J. COSTELLO: And I'm going to ask the panel members starting from the person that is furthest away from me just to state your name and business address for the record?

MR. HUANG: I'm Mingdi Huang, my business address is 3 Empire State Plaza, Albany, New York.

MR. VECCHIO: John Vecchio, 3 Empire State Plaza, Albany, New York.

MR. MCADOO: Scott McAdoo, 3 Empire State Plaza, Albany, New York.

MS. PARK: Jennifer Park, 3 Empire State Plaza, Albany, New York.

A.L.J. COSTELLO: Please stand and raise your right hand. Do you swear or affirm that the testimony you will provide is the truth?

PANEL: Yes.

Mingdi Huang; Sworn

John Vecchio; Sworn

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Scott McAdoo; Sworn

Jennifer Park; Sworn

A.L.J. COSTELLO: Okay. Thank you. You may be seated. You may proceed, counsel.

MR. GOODRICH: Thank you, Your Honors.

DIRECT EXAMINATION

BY MR. GOODRICH:

Q. Staff Rates Panel, before you is a document entitled prepared testimony of Staff Rates Panel, consisting of a cover page and 73 pages of questions and answers, dated August 2019. Was that testimony prepared by you or under your direct supervision?

A. (McAdoo) Yes.

Q. Also before you is a document entitled Prepared Supplemental Testimony of Staff Rates Panel consisting of a cover page and 12 pages of questions and answers, dated January 20th. Was that testimony prepared by you or under your direct supervision?

A. Yes.

Q. Do you have any changes or corrections to make to your prepared testimonies?

A. No.

Q. Do you affirm that the information contained in the panel's prepared testimony is -- is true and correct to the best of your knowledge?

A. Yes.

Q. If you were asked the same questions today under oath, would you answer them in the same manner?

A. Yes.

MR. GOODRICH: Your Honor, I ask that the prepared testimonies of the Staff Rates Panel be entered into the record as if given orally.

A.L.J. COSTELLO: That request is granted. And at this point in the record the court reporter should insert the following files.

D.P.S. Staff Rates Panel direct testimony and D.P.S. Staff Rates Panel supplemental testimony.

BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

August 2019

Prepared Testimony of:

Staff Rates Panel

Scott McAdoo
Assistant Engineer

Jennifer Park
Assistant Engineer

Mingdi Huang
Utility Engineering Specialist 1

John Vecchio
Utility Engineering Specialist 1

Office of Electric, Gas and
Water

Albany
State of New York
Department of Public Service
Three Empire State Plaza
Albany, New York 12223-1350

Q. Members of the Department of Public Service Staff (Staff) Rates Panel (Panel), please state your names, employer and business address.

A. Our names are Scott McAdoo, Jennifer Park, Mingdi Huang, and John Vecchio. We are employed by the New York State Department of Public Service (Department). Our business address is Three Empire State Plaza, Albany, New York 12223-1350.

Q. Mr. McAdoo, what is your position in the Department?

A. I am an Assistant Engineer in the Office of Electric, Gas and Water in the Gas and Water Rates and Supply Section.

Q. Please briefly describe your educational background and professional experience.

A. I graduated from the State University of New York at Canton in 2009 with an associate degree in Engineering Science. In 2011, I graduated from Clarkson University with a bachelor’s degree in Chemical Engineering. After Clarkson, I worked for B&W Fluid Dynamics conducting precommissioning/cleaning phases for construction projects. After working for B&W

Fluid Dynamics, I received a master's degree from the State University of New York Colleges of Nanoscale Science and Engineering in 2015. I joined the Department in 2016 as a Junior Engineer.

Q. Please describe your duties in the Gas and Water Rates and Supply Section.

A. My duties have been focused on several aspects of utility ratemaking including customer and volumetric forecasting, rate design, revenue allocation, sales price outs, capital expenditures (CapEx) review, depreciation review, gas adjustment clause (GAC) reconciliations, merchant function charges (MFC), escrow account review and small water rate cases.

Q. Have you previously provided testimony in cases before the Public Service Commission (Commission)?

A. Yes. I have previously provided testimony in Cases 16-G-0257, 17-G-0239, 17-W-0528, 18-G-0133 and 19-W-0168.

Q. Ms. Park, are you the same Jennifer Park testifying as part of Staff Gas Supply Panel?

A. Yes. I provide my credentials in that Panel's testimony.
Q. Mr. Huang, what is your position at the Department?
A. I am a Utility Engineering Specialist 1 in the Gas and Water Rates and Supply Section of the Office of Electric, Gas and Water.
Q. Please briefly describe your educational background and professional experience.
A. I graduated from Cornell University in 2010 with a Bachelor of Science degree in mechanical engineering. I then attended Rensselaer Polytechnic Institute and graduated in 2015 with a Ph.D. in mechanical engineering.
Q. What are your responsibilities and duties in the Gas and Water Rates and Supply Section?
A. My duties involve the engineering analysis of utility operations as they relate to the ratemaking process, as well as participating in various reviews of local distribution companies' activities.
Q. Mr. Huang, have you previously testified before the Commission?
A. No.

Q. Mr. Vecchio, what is your position at the Department?
A. I am a Utility Engineering Specialist 1 and work in the Gas and Water Rates and Supply section in the Office of Electric, Gas, and Water.
Q. Please summarize your educational and professional background.
A. I graduated from Alfred University in May 2018 with a Bachelor of Science Degree in Mechanical Engineering. In March 2019, I joined the Department in the Office of Electric, Gas and Water.
Q. What are your responsibilities and duties in the Gas and Water Rates and Supply Section?
A. My duties involve the engineering analysis of utility operations as they relate to the ratemaking process, as well as participating in various reviews of local distribution companies' activities.
Q. Mr. Vecchio, have you previously testified before the Commission?
A. No.

Summary of the Testimony

Q. What is the purpose of the Panel's testimony in this proceeding?

A. Our testimony will address The Brooklyn Union Gas Company d/b/a National Grid NY's (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid's (KEDLI) (collectively, the Companies) rate proposals for the Rate Year. We will discuss the following: (1) the Northeast Supply Enhancement Project (NESE); (2) the sales forecast in terms of meter counts and use-per-customer; (3) the gas delivery revenues at current rates for the Rate Year; (4) the other revenues; (5) depreciation expense; (6) the cost studies which support revenue allocation, rate design, and unbundled rates for competitive services; (7) the revenue allocation; (8) the Merchant Function Charge (MFC); (9) the rate design, including the interruptible (IT) rates; (10) the bill impacts of our recommended rates; (11) the Revenue Decoupling Mechanism (RDM); (12) the Lost And Unaccounted For (LAUF) gas targets; (13) the Paperless Billing Credit; (14) the recovery of Earnings Adjustment Mechanisms

(EAM) incentives; (15) the System Benefits Charge (SBC); (16) Green Gas Tariff Costs; (17) Tariff Fees; and, (18) Tariff Provisions.

Q. What are the Rate Year and the Historic Test Year in these proceedings?

A. The Rate Year is the twelve months ending March 31, 2021. The Historic Test Year is the 12 months ending December 31, 2018.

Q. Please summarize your recommendations.

A. We recommend that: (1) the Companies update their raw billing system normalization; (2) the amortization period for the leak-prone pipe (LPP) be 30 years rather than the Companies' requested 20 years, and the use of a use a four-year band instead of a three-year band to calculate net salvage; (3) the revenue allocation and rate design be updated to reflect our methodology to incent conservation; (3) the Companies LAUF calculations be updated to follow the Staff Whitepaper; (4) KEDLI's LAUF gas calculation be updated to exclude data from 2014; (5) inactive accounts be excluded from the LAUF calculations; and (6) the Companies update the paperless billing credit in Briefs on

Exceptions.

Q. In your testimony, will you refer to, or otherwise rely upon any information obtained during the discovery phase of this proceeding?

A. Yes, our testimony will refer to and otherwise rely upon Company responses to Staff's Information Requests (IRs). These responses are contained in Exhibit___(SRP-1). We will refer to these responses by the designation given when sent, e.g., DPS-123.

Q. Are you sponsoring any other exhibits?

A. Yes. We are sponsoring seven additional exhibits:

- Exhibit___(SRP-2) contains our bill frequency analysis;
- Exhibit___(SRP-3) contains our revenue price-outs;
- Exhibit___(SRP-4) contains our annual LPP depreciation accruals;
- Exhibit___(SRP-5) contains our revenue allocations;
- Exhibit___(SRP-6) contains our rate designs;
- Exhibit___(SRP-7) contains our calculated bill impacts;

- Exhibit ___(SRP-8) contains Staff's LAUF Gas Whitepaper;
- Exhibit___(SRP-9) contains LAUF gas calculations and graphs; and,
- Exhibit___(SRP-10) contains the proposed inactive accounts calculation methodology.

Northeast Supply Enhancement Project

Q. Did the Companies assume the Transcontinental Gas Pipe Line LLC's Northeast Supply Enhancement (NESE) project will be built when they filed the instant cases?

A. Yes.

Q. Has the Staff Policy Panel informed this Panel that your review should assume that the NESE Project will not be built during the Rate Year?

A. Yes.

Customer and UPC Forecasts

Q. Did the Companies divide their sales forecast into separate geographic areas?

A. Yes, the Companies provided two forecasts, one covering KEDNY and one covering KEDLI.

Q. Summarize the method the Companies used to

perform their forecasts.

A. With reference to the response to IR DPS-608, the Companies used version 3.5.3 of the “R” statistical software package to perform their forecasting. The Companies aggregated similar service classes (SCs) for both KEDNY and KEDLI into six forecasting groups: Residential Heating, Residential Non-Heating, Commercial, Multi-Family, Temperature-Controlled, and Other. The Companies used a script for each forecast that guides the user throughout the selection of econometric variables and coefficients by calculating their correlation with historic data. Having determined the relationship between the various econometric variables and each of the six forecasting groups’ customer count and use-per-customer, the Companies used forecasted econometric data from Moody’s economy.com, the U.S. Department of Energy, the Energy Information Administration, the National Oceanic and Atmospheric Administration, and the National Weather Service to forecast the customer count and use-per-customer, and subsequently the volumetric usage, for each of

its six groups. The Companies then allocated their forecasted numbers to the rate codes in each group by using either the proportional ratio of the last historic data point for the customer count, or the monthly proportional ratios for the last historic year for the usage. The Companies then aggregated the rate codes to their respective service classes.

Q. What do the Companies mean by customer count, specifically?

A. The customer count is the number of active and flowing meters.

Q. How did the Companies take energy efficiency programs into account in their volumetric forecasts?

A. The historic data used were actual sales data, which reflect the effects of energy efficiency programs. The forecasts thus also included the continuing trends of energy efficiency programs in the future.

Q. What was the purpose of aggregating the service classes into groups?

A. By aggregating the classes into groups, one can create data sets large enough for statistical

modeling, while also smoothing out any dependence on factors that do not affect all the classes in the group.

Q. How did the Companies reflect the possibility of the NESE project not being available during the Rate Year, and the impact to their volumetric forecasts in their Supplemental testimony?

A. The Companies forecast that, after they fulfill all current outstanding requests for firm service by April 2020, there will be no further customer growth. In addition, referring to the response to IR DPS-714, the Companies also forecast that there will be no firm customer decrease or any changes in use-per-customer under the scenario assuming the NESE Project is not built during the Rate Year.

Q. Have the Companies stopped adding new customers?

A. The Companies have stopped accepting applications for new firm gas customers in Brooklyn, Queens and Long Island as of May 15, 2019, and anticipate that, after fulfilling all outstanding requests between May 2019 and April 2020, there will be no further customer growth. The Companies did not adjust their non-firm

forecasts as they had no information that would help forecast how customers might react when new firm service is not available.

Q. What adjustments did the Companies make to their forecasts in the Corrections & Updates filing?

A. The Companies updated their original forecasts to include the actual data from February 2018 to February 2019, which they did not include in their original forecasts.

Q. What were the impacts of the adjusted forecasts?

A. Referring to Exhibit___(RDP-2) and Exhibit___(RDP-2CU) for both KEDNY and KEDLI, the adjusted forecasts predicted, for KEDNY, an increase in the gas sales forecast from 1,658 million total therms to 1,689 million total therms and an increase from an average of 1,268,772 customers to an average of 1,270,948 customers forecasted in the Rate Year. For KEDLI, the forecast predicted a decrease in the gas sales forecast from 1,885 million total therms to 1,869 million total therms and an increase from an average of 608,718 customers to an average of 611,148 customers forecasted in the Rate Year.

Q. Did the Corrections & Update filing include the adjustments reflecting the NESE Project not being built during the Rate Year, as identified in the Companies' Supplemental testimony?

A. No.

Q. Did the Panel review the Companies' customer and volumetric forecasts for each filing?

A. Yes. We reviewed the forecasts filed in the original filings, the Supplemental filings, and the Corrections & Updates filings. We also reviewed the forecasts included as an attachment to the response to IR DPS-798 that updated the Corrections & Updates forecasts to reflect the NESE Project not being built during the Rate Year.

Q. Does the Panel have any adjustments to the Companies' forecasts that assume the NESE Project will not be built during the Rate Year?

A. No. We believe the Companies' forecasts included as an attachment to the response to IR DPS-798 are reasonable.

Q. Under the scenario where the NESE Project is built during the Rate Year, does the Panel have any adjustments to the Companies' Corrections &

Updates forecasts?

A. No.

Rate Year Revenues at Current Rates

Q. Please describe how the Companies developed their forecast of the base delivery revenues for the Rate Year.

A. For all firm sales SCs, the Companies developed base delivery revenue forecasts using the forecast customer counts and volumetric deliveries. For firm SCs that have multiple block rates, delivery volumes were allocated to the usage blocks within each service class by aggregating rate codes using an ogive analysis.

Q. Did the Panel review the Companies' process to determine if it was reasonable?

A. Yes, but we used a different approach and priced out using SCs rather than using rate codes.

Q. Why did the Panel group deliveries by SCs rather than by rate codes?

A. We grouped deliveries by SCs because it is a more efficient way to forecast as there are significantly less SCs than rate codes. We do not believe that forecasting sales by rate codes

would achieve any significant increase in accuracy.

Q. What is an ogive analysis?

A. An ogive analysis uses historic bill frequencies to develop a cumulative percentage distribution for usage levels within a rate code. This cumulative distribution is then used to allocate the forecast deliveries into the usage blocks for each rate code, after which the deliveries can be priced at the applicable rate for the particular rate block.

Q. Did the Companies provide the raw billing system data used in the ogive analysis?

A. Yes. The Companies provided the raw billing system data in response to IR DPS-440.

Q. Does the Panel have any concerns about the Companies' ogive analysis?

A. Yes. The normalization of the raw billing data does not accurately account for canceled bills and re-bills. According to the response to IR DPS-760, the Companies only remove negative values from the block reports that would result in a negative block step. The Companies did not account for canceled bills or re-bills that

increased the usage in a block step beyond the maximum or minimum amount that could possibly be in the block step.

Q. Please explain.

A. For example, a block step from a usage of one therm to two therms with 100 customers ending their usage in the block would have a minimum usage allocated to the block of 100 therms and a maximum allocation of 200 therms. We provide our analysis of the normalization of the raw billing system data for KEDNY and KEDLI SC No. 1A, Residential Non-Heating using the Companies' methodology of removing negative step volumes, in Exhibit__(SRP-2). We noticed that the usage allocation exceeded the maximum or minimum possible block usage. Then we calculated the absolute value of the volumes that exceeded the maximum or minimum allocations of the blocks to determine the percentage of volumes, compared to the total billing data in each historic calendar year 2018 month, which was not allocated properly. The KEDNY SC No. 1A usage allocation, compared to the total usage, had from 0.14 percent incorrectly allocated in May 2018 to

2.98 percent incorrectly allocated in June 2018. The KEDLI SC No. 1A usage allocation, compared to total usage, had from 0.03 percent incorrectly allocated in August 2018 to 1.24 percent incorrectly allocated in October 2018.

Q. Does the Panel have any recommendations regarding the Companies' ogive calculations?

A. Yes. We recommend that the Companies revise their ogive calculations to account for canceled bills and re-bills. At a minimum, this can be done by ensuring that the allocation to each block step is not above the maximum possible or below the minimum possible allocation.

Q. What does it mean to price-out a sales forecast?

A. The price-out calculates the amount of base delivery revenue for each SC or rate code at certain rates.

Q. Did the Panel price-out the Companies' sales forecasts?

A. Yes.

Q. Did the Panel's sales forecast price-outs corroborate the Companies' price-outs?

A. No. Our price-outs used the updated sales forecasts without the NESE Project being

available during the Rate Year, which the Companies provided in response to IR DPS-798. The Companies did not provide updated price-outs to reflect the latest sales forecast without the NESE Project, as stated in the response to IR DPS-936, because they are optimistic that the NESE Project will be in service by the winter of 2020/2021.

Q. Do you agree that the Companies' price-out should be used?

A. No. We recommend using our price-out, which we provide in Exhibit___(SRP-3), because it reflects the most updated sales forecast without the NESE Project being in service during the Rate Year.

Other Revenues

Q. Did the Panel review the Companies' other revenues?

A. We reviewed the Late Payment Charges (LPC) and Billing Service Fee revenues and updated the revenues in our price-out, as set forth in Exhibit___(SRP-3).

Q. How did the Panel calculate the LPC and Billing

Service Fee revenues?

A. We calculated the LPC revenues and billing service fee revenues by following the Companies methodology. The Companies calculated the LPC revenues by multiplying the total Rate Year revenues by the ratio of the Historic Test Year LPC revenues to the Historic Test Year total revenues provided in the responses to IRs DPS-272 and DPS-273 for KEDLI and KEDNY, respectively. The Companies calculated the billing service fee by multiplying the average number of customers in the Rate Year by twelve to get the number of bills. Then, the Companies multiplied the number of bills by the Billing & Payment Processing fee to get the billing service fee revenues.

Depreciation

Q. Please explain what “depreciation” is, as it is used in ratemaking.

A. Depreciation is a method of recovering capital cost, less net salvage, related to plant in service over the plant’s expected useful life.

Q. What is a depreciation rate and expense?

A. A depreciation rate is a percentage rate applied to the gross plant in service, by account, to determine the annual depreciation expense. The annual depreciation expense is the amount depreciated in a given year and included in rates for recovery from customers.

Q. Did the Companies file depreciation studies in these proceedings?

A. No. The Companies did not perform a depreciation analysis on the majority of their assets, as the last depreciation studies were filed in Cases 16-G-0058 and 16-G-0059, when the Companies' last sought rate increases. For most of the Companies' assets, circumstances would not have changed in enough of a meaningful way as to affect depreciation rates. However, the Companies have plans to retire of all their leak prone pipe (LPP) assets within the next 20 years and propose to reflect this in their depreciation rates.

Q. What assets do the Companies consider LPP?

A. The Companies consider all mains 12 inches or less in diameter that are unprotected steel pipe, cast and wrought iron pipe, and Alydl-A

plastic pipe to be LPP. The Companies also consider bare steel, wrought iron, copper, Alydl-A, and some high-density polyethylene plastic services to be LPP.

Q. What deprecation factors did the Companies propose to modify?

A. The Companies proposed to modify the LPP accrual rates and the LPP net salvage rates. Together, these two factors increased the proposed annual depreciation expense by approximately $27.5 million and $24.5 million for KEDNY and KEDLI, respectively.

Q. Over what period did the Companies propose to recover the LPP costs?

A. The Companies proposed to recover the costs of their LPP assets over 20 years.

Q. How did the Companies develop this proposed LPP amortization period?

A. The Companies claim that a 20-year period is reasonable because the Companies are proceeding with a program to retire and replace the LPP assets on an accelerated schedule over the next 20 years. The Companies propose to fully depreciate the LPP accounts in 20-years so that

customers currently benefiting from the use of the pipe are responsible for its cost.

Q. How did the Companies develop their net salvage recommendations?

A. The Companies' consultant created databases that utilized the Companies' vintage survivors by LPP account as of December 31, 2018. KEDNY and KEDLI also provided the cost of removal, annual retirements, annual mileage of retirements, and annual number of services histories for the most recent seven years (2012-2018) to develop net salvage for the LPP accounts, as shown in Exhibit___(PMN-4).

Q. After reviewing the seven years of data, why did the Companies select a three-year period for the development of their net salvage proposal?

A. The Companies' consultant stated that KEDNY and KEDLI began their program of retiring/replacing LPP on an accelerated basis in 2015. Because the primary costs incurred in connection with the program are labor-related, the most recent three-year period was deemed to be most representative of the costs that are likely to be incurred in connection with future retirement

efforts for these plant assets.

Q. Did the Companies prepare any actuarial analyses to assist in the life estimation process?

A. No. The Companies' consultant did not analyze each account with respect to rolling and shrinking bands because the Companies are proposing a 20-year amortization of all LPP assets.

Q. Does the Panel agree with the Companies' proposal?

A. Not entirely. We agree that the depreciation accrual rates and associated net salvage should be accelerated, but we recommend a 30-year amortization period and net salvage based on a four-year average.

Q. Please explain.

A. Ultimately, we are concerned with the potential impact the amortization proposal has on customers' bills. While we agree that it is appropriate to begin the amortization process, we recommend phasing in the amortization. Additionally, though we are concerned about the bill impacts, we are making the same recommendations for both KEDNY and KEDLI for

consistency.

Q. Why does the Panel recommend the LPP assets be depreciated over 30-years?

A. One of the principles of depreciation is that it is more equitable to have the customers that benefit from plant bear the cost of that plant. However, the reason these LPP assets are being replaced early is due to safety and reliability concerns. The Panel, therefore, finds it equitable that current and future customers share the cost responsibility, even if they did not benefit directly from the replaced LPP assets themselves.

Q. What does the Panel propose with regards to net salvage?

A. The Companies proposed using a three-year band to reflect the most recent pipe retirement costs as the most representative of the future costs the Companies will incur as they replace their LPP assets. Referring to the response to IR DPS-611, though it is true that the total cost to retire LPP in New York City increased significantly in 2018, there is not yet enough evidence to believe that the costs to retire in

2018 are necessarily representative of future costs, and a three-year band would only overly emphasize the 2018 costs if it were an outlier. Referring to Exhibit___(PMN-4), pg. 2, the cost to retire per mile retired can vary significantly year-to-year within accounts; for example, for KEDNY Account 376.05 Mains – Cast Iron, the cost to retire per mile was $293,280 in 2018, $75,395 in 2017, $1,725,960 in 2016, and $14,652 in 2015. For KEDLI Account 376.18 Mains – Plastic, the cost to retire per mile was $71,364 in 2018, $17,807,549 in 2017, $688,636 in 2016, and $1,892,937 in 2015. The high annual variability in cost to retire per mile makes it difficult to regard the average of an overly narrow band of years as meaningful. Accordingly, we recommend using a four-year band instead, which, in addition to mitigating the effects of any outlier years, would also have the benefit of capturing all activity related to the LPP Acceleration Program, which started in 2015 from the Order Instituting Proceeding for a Recovery Mechanism to Accelerate the Replacement of Leak Prone Pipe, issued on April 17, 2015 in

Case 15-G-0151.

Q. What is the impact of the Panel's recommendations?

A. Our recommendations to use a four-year band for net salvage and an amortization period of 30 years would decrease the Companies' proposal by approximately $14.6 million and $10.6 million for KEDNY and KEDLI, respectively. We present our recommended annual depreciation accruals in Exhibit___(SRP-4).

Cost of Service Study

Q. Did the Companies file a cost of service study in these proceedings?

A. Yes. The Companies both filed a Pro Forma ECOS study and a Marginal Cost of Service study.

Q. Please briefly explain how the Companies' prepared the ECOS studies.

A. The Companies prepared the ECOS studies by analyzing each element of the utility's revenue requirement and assigning it to or allocating it among the rate classes. The ECOS studies rely on a specialized model, developed by the HSG Group, Inc., that uses the traditional three-

step process of functionalization, classification, and class allocation.

Q. How did the Companies use the results of the ECOS studies?

A. The Companies used the results of the ECOS studies to guide revenue allocation and rate design, and to establish components of the Merchant Function Charge and Billing Charge.

Q. Does the Panel agree with the Companies' use the ECOS studies results?

A. Partially. We would prefer the Companies use a historical ECOS study to guide the revenue allocation process. A pro-forma study is forward looking and can introduce additional errors in the results. It is more appropriate to use the historic cost of service studies to guide revenue allocation, unless very large changes in utility operations are projected. We used the results of the historic ECOS studies provided in the response to IR DPS-504 to guide our revenue allocation and rate design process.

Revenue Allocation

Q. Please describe the Companies' revenue allocation methodology.

A. The Companies stated that they considered the costs to provide the type and quality of service required by each SC, as determined in the ECOS studies, while considering impacts to customers. The Companies used a 25 percent tolerance band to allocate the revenue increases, in order to avoid minor disputes regarding the ECOS studies.

Q. What percentage increase did KEDNY allocate to each service class?

A. KEDNY allocated an increase of: 13.11 percent to SC No. 1B – Residential Heating , which has a return within the tolerance band; 3.29 percent to each of SCs No. 2-1 Non-Residential Non-Heating, No. 4A-HLF High Load Factor, No. 4A-CNG Compressed Natural Gas and No. 4B Year-Round Air Conditioning, which have returns above the tolerance band; 18.57 percent to each of SCs No. 1A, SC No. 1B-DG Residential Distributed Generation, No. 2-2 Non-Residential Heating, No. 3 Multi Family, SC No. 7 Seasonal Off-Peak and No. 21 Baseload Distributed Generation, which

have returns below the tolerance band. In addition, KEDNY allocated a decrease of 2.5 percent to the new combined non-firm demand response customers (IT) service classes, SCs No. 22 and No. 18-22.

Q. What percentage increase did KEDLI allocate to each service class?

A. KEDLI allocated an increase of: 6.38 percent to SC No. 1B Residential Heating, which has a return within the tolerance band, but below the average return; 6.09 percent to SCs No. 2B Non-Residential Heating, No. 3B Multi Family Heating and No. 16 Year-Round Space Conditioning, which have returns within the tolerance band, but above the average return; 3.93 percent to SCs No. 2A Non-Residential Non-Heating, No. 3A Multi Family Non-Heating, the new combined IT service classes, No. 18 and No. 19 which have returns above the tolerance band; 12.46 percent to SCs No. 1A and No. 1DG Residential Distributed Generation, which have returns below the tolerance band. KEDLI allocated a reduction of 36 percent to SC No. 9-NGV Natural Gas Vehicles, as this SC has a return that is higher than any

of the other service classes and KEDLI is attempting to promote this energy efficient technology.

Q. How does the Panel recommend the incremental revenue requirement be allocated in these proceedings?

A. We recommend that the historic ECOS studies provided in response to IR DPS-504 be used to allocate revenues based off the relative return for each service class. We agree with using the Companies' 25 percent tolerance band because it will avoid minor disputes with the ECOS studies. Additionally, we allocate classes with a return above the tolerance band 20 percent less of the revenue increase, or 20 percent more of a revenue decrease for KEDNY and KEDLI, respectively. We also allocate classes with a return below the tolerance band 20 percent higher increase or 20 percent less of a revenue decrease for KEDNY and KEDLI, respectively. Our revenue allocation to the firm service classifications at Staff's recommended revenue requirement is presented in Exhibit___(SRP-5).

Q. Did the Panel make any adjustments before

allocating the incremental revenue requirement?

A. Yes. We use the LPC percentage provided in the responses to IRs DPS-272 and DPS-273 for KEDLI and KEDNY, respectively, to calculate the LPC revenues.

Q. Does the Panel agree with the Companies proposal to move the Energy Efficiency Surcharge and the tax credit into base rates?

A. Yes.

Q. How did the Panel allocate the Energy Efficiency Surcharge and tax credit revenue?

A. As shown in Exhibit___(SRP-5), we subtract the total Energy Efficiency Surcharge and tax credit revenues from the incremental revenue requirement because each class is not allocated an equal percentage increase of the Energy Efficiency Surcharge and tax credit. We allocate the Energy Efficiency Surcharge and tax credit revenues based on the price-outs provided in Exhibit___(SRP-3). Additionally, the Staff Efficiency and Sustainability Panel recommends that the ETIP budget be set at the level in the Corrections and Updates testimony of the Future of Heat Panel. We allocate the ETIP budget

based on the current allocation provided in the response to IR DPS-504.

Merchant Function Charge

Q. Please describe the Companies' proposed Merchant Function Charges (MFCs).

A. The Companies' current MFCs are designed to recover certain expenses associated with providing gas procurement functions. For firm sales customers, the MFC recovers the costs associated with gas supply procurement, commodity-related credit and collection expenses, commodity-related uncollectible expenses, the return requirement on gas storage inventory, and commodity related working capital expenses. For transportation customers, the MFC recovers the return requirement on gas storage inventory that the Companies manage on their behalf. For IT sales customers, the MFC recovers the costs associated with gas supply procurement, commodity related credit and collection expenses, commodity-related uncollectible expenses and return requirement on gas purchase-related uncollectible expenses and

return requirement on gas purchase-related working capital. For ESCOs participating in the Companies' Purchase of Receivables programs, the MFC recovers commodity-related uncollectible costs and credit and collection expenses.

Q. To which SCs do the MFCs apply?

A. For KEDNY, the MFC applies to: customers who take firm sales service under SC Nos. 1, 2, 3, 4A, 4A-CNG, 4B, 7, 21; customers who take transportation Service; IT sales customers; and ESCOs that participate in the Companies' Purchase of Receivables program. For KEDLI, the MFC applies to customers who take firm sales service under SC Nos. 1, 2, 3, 15, 16, and 17; customers who take transportation service under SC 5; IT sales customers; and ESCOs that participate in the Company's Purchase of Receivables program.

Q. Did the Companies propose to modify their MFCs?

A. Yes. The Companies' Rates Panels explained that they propose to modify the MFCs by: (1) changing the reconciliation period to match the GAC year to align with the Companies' Annual Cost of Gas reconciliation; and (2) updating the MFCs to

reflect the proposed targets from the Cost of Service studies.

Q. Does the Panel agree with the Companies' proposed changes to the MFCs?

A. We agree to changing the reconciliation period to match the GAC year to align with the Companies' Annual Cost of Gas reconciliation. Because the Companies use pro-forma ECOS studies, the MFC should be updated based on the overall revenue requirements granted by the Commission. Furthermore, we recommend that the Companies update their MFC targets for the uncollectible rates and pre-tax weighted average cost of capital (WACC) set by Commission order in these proceedings. Finally, we recommend updating the cost of gas to reflect Staff's assumption that the NESE Project will not be available in the Rate Year.

Paperless Billing Credit

Q. What is the Paperless Billing Credit?

A. The Paperless Billing Credit is a credit given to customers who chose to receive paperless bills instead of paper bills. The credit equals

the difference in the cost of a paper bill per customer and the cost of a paperless bill per customer. Currently, the paperless billing credit is $0.49 for KEDNY and $0.35 for KEDLI.

Q. What did the Companies' propose?

A. The Companies proposed to change their credit from $0.49 to $0.44 for KEDNY, and from $0.35 to $0.41 for KEDLI.

Q. How did the Companies' justify the changes?

A. The Companies explained that they propose to adjust the credits to account for inflation from when they were last set through the Rate Year. As the cost of paper bills is an order of magnitude larger than the cost of paperless bills, a percentage increase due to inflation will cause a larger increase in the cost of paper bills, resulting in a net increase in the paperless billing credit.

Q. Explain why KEDNY's paperless billing credit is decreasing if there is supposedly a net increase due to inflation.

A. KEDNY had previously filed a proposed tariff amendment in Case 16-G-0059 to revise its paperless billing credit, which it ultimately

withdrew. This amendment would have reduced the credit from $0.49 to $0.41 to reflect increased costs for paperless billing due to an upgrade to the KEDNY's paperless billing system. Had the amendment not been withdrawn, KEDNY's proposal in the current proceedings would have increased the credit from $0.41 to $0.44.

Q. Does the Panel have any issues with the current proposal in these proceedings?

A. We have no issue with the Companies' methodology, nor with the rates proposed by KEDLI. However, at this time, we do not have enough actual data to confirm KEDNY's proposed rates.

Q. What does the Panel recommend?

A. We recommend waiting until we have a full year of actual billing data on which to assess KEDNY's rates. While the proposed rates seem reasonable, as of the date this testimony is filed, it is based only on four months of data. Consequently, the Panel recommends the approval of KEDLI's rates and asks KEDNY to provide an update in Briefs on Exceptions.

Rate Design

Q. Please describe KEDNY's firm rate design proposals.

A. KEDNY proposed to increase the minimum charges for all firm classes. Further, KEDNY proposed to increase the block rates in a manner to reduce the ratio between the mid-block and tail-block for SC Nos. 1A, 1B and 3. KEDNY proposed to increase the SC Nos. 1B-DG and 7 single block rates to reflect the remaining revenue that was not allocated to the minimum charge. For SC Nos. 2-1 and 4B, KEDNY proposed to increase each of the block rates by approximately the same percentage. The current SC No. 2-2 rates utilize a four-block declining structure with a steep slope meaning that the rate significantly decreases from the second block to the tail block. KEDNY proposed to increase the three SC No. 2-2 block rates such that the ratio of the second block rate to the tail block rate would decrease. For SC Nos. 4A-HLF and 4A-CNG, the two current rate blocks were combined into one block, with a rate equal to the current first block. All SC No. 21-DG minimum charges,

volumetric charges and demand charges were increased by the same percentage.

Q. Please describe KEDLI's firm rate design proposals.

A. KEDLI proposed to increase the minimum charges for all firm classes. For SC No. 1A, KEDLI proposed to increase each of the block rates by approximately the same percentage. For SC No. 1B, KEDLI proposed to increase the mid-block by approximately twice the percentage as the tail-block. KEDLI proposed to increase the SC Nos. 1B-DG and 15 single block rates to reflect the remaining revenue that was not allocated to the minimum charge. The current SC No. 3 and 16 rates utilize a three-block declining structure with a steep slope meaning that the rate significantly decreases from the mid-block to the tail block. For SC Nos. 3 and 16, KEDLI proposed to increase the block rates such that the ratio of the mid-block rate to tail block rate would decrease. For SC No. 2A, which has four rate blocks, KEDLI proposed to increase the tail-block rate by about one percent, increase the third block rate by about three percent, and

increase the second block rate by about six percent. The current SC No. 2B rates utilize a four-block declining structure with a steep slope meaning that the rate significantly decreases from the second block to the tail block. For SC No. 2B, KEDLI proposed to increase the second block rate by about four percent; the tail-block was increased by about four percent and the third block rate was increased by about eight percent. KEDLI proposed to increase the SC No. 9-NGV minimum charge by about 330 percent and reduce the single block rate by about 37 percent. KEDLI proposed to increase all SC No. 17-DG minimum charges, volumetric charges and demand charges by the same percentage.

Inclining Block Study

Q. Did the Companies provide the inclining block study as required by the 2016 Rate Order issued on December 16, 2016 in Cases 16-G-0058 and 16-G-0059?

A. Yes. The Companies provided the results of four rate design scenarios: (1) maintaining the

current ratio tail block rate to mid-block rate, (2) increasing the ratio of tail block rate to mid-block rate by 50 percent, (3) setting the tail block equal to the mid-block, and (4) inclining blocks where the tail block is 25 percent higher than the mid-block.

Q. What were the results of the studies?

A. The Companies found that moving rate design towards inclining blocks would produce bill impacts above the average customer's impact for both low and high usage customers. The average customer's bill would decrease, and the high usage customer's bill would progressively increase with usage. For example, if inclining blocks were used for KEDNY's SC No. 1B, the average customer's bill would decrease by 2.77 percent and a high usage customer's bill would increase by 49.4 percent.

Q. What conclusions did the Companies draw from the studies?

A. The Companies concluded that the bill impacts to customers within a class varied significantly with high and low usage customers receiving substantial increases compared to the average

use customers. The Companies stated that the significant bill impacts to higher and lower usage customers are unacceptable from a ratemaking perspective.

Q. Does the Panel agree with the Companies' conclusions?

A. Yes, however the revenue requirement also plays a large factor in the resulting bill impacts. We agree that the bill impacts would be substantial if any dramatic changes in moving towards inclining blocks were made in this case at the Companies revenue requirement. Due to Staff's overall recommended revenue requirements, we recommend rate design changes that move towards flattening the blocks while sending customers a price signal to reduce gas usage.

Firm Rate Design

Q. Does the Panel agree with the Companies' proposed rate design?

A. We agree with the Companies' proposal to gradually reduce the slope of the currently declining block rates, but we disagree with the

Companies' specific rate design proposals.

Q. Why does the Panel disagree with the Companies' proposed rate design?

A. The revenue requirements provided by the Staff Revenue Requirement Panel are significantly lower than the revenue requirement filed in the Companies' Corrections and Updates filing. Because the revenue requirements are lower, the rate design can be modified to more aggressively flatten the block rates. This will send high usage customers a price signal customers to conserve gas, without the same magnitude bill impacts for high users as shown in the Companies' inclining block rate study.

Q. What rate design does the Panel for KEDNY using the revenue requirement provided by the Staff Revenue Requirement Panel?

A. We recommend that, for SC Nos. 1A, 1B, 2-1, 2-2, 3 and 4B, the minimum charge should remain constant and the tail block and mid-block should increase to effectuate 20 percent movement towards flat block rates. For SC Nos. 1BDG and 7, we recommend holding the minimum charge constant and applying the entire increase to the

single block. We recommend setting the tail block and the first block rates equal to each other for SC Nos. 4 and 4A, as they were already close. Lastly, for SC Nos. 21-1 and 21-3, we recommend equal increases to the minimum charge, winter block rate and summer block rate. Our rate design is included in Exhibit___(SRP-6).

Q. What rate design does the Panel recommend if the revenue requirement for KEDNY increases substantially?

A. We recommend that the following factors be considered if the revenue requirement increases: (1) potentially reducing the movement towards flat block rates to mitigate high user bill impacts, (2) potentially increasing the minimum charges to mitigate bill impacts for average and high users, and (3) allocating the increases to both the minimum charge and the block rate for SC Nos. 1BDG and 7.

Q. What rate design does the Panel recommend for KEDLI using the revenue requirements provided by the Staff Revenue Requirements Panel?

A. For SC Nos. 1A, 1B, 2A, 2B, 3 and 16, we recommend holding the minimum charge constant

and increasing the tail block and/or decreasing the mid-block slightly to make a 20 percent movement towards flat block rates. We recommend applying the entire decrease for SC Nos. 1DG, 9 and 15 to the single block and holding the minimum charge constant. Lastly, for SC Nos. 17 rate 1 and 17 rate 2, we recommend applying equal increases to the minimum charge and the single block for each season. Our rate design is included in Exhibit___(SRP-6).

Q. What rate design does the Panel recommend if the revenue requirement for KEDLI increases substantially?

A. We recommend applying the same factors as we recommended for KEDNY, except if the revenue requirement becomes positive, the increase to SC Nos. 1DG, 9 and 15 may have to be allocated to both the block rate and minimum charge.

Q. Why are the Panel’s rate design recommendations reasonable?

A. Our recommendations are reasonable because our rate design mitigates bill impacts while sending customers appropriate price signals to conserve natural gas.

Interruptible Rate Design

Q. Is it important to have IT customers on the distribution system?

A. Yes. Gas distribution systems are designed to meet firm customers' heating loads at peak periods, which normally occurs mid-winter. Therefore, these systems usually have unused capacity during the remainder of the year. IT customers take advantage of this unused capacity and utilize the gas distribution system during non-peak periods, while agreeing to have their gas service interrupted during periods when the system is constrained.

Q. How should a utility price rates for IT customers?

A. A utility should set IT rates less than firm service rates because the service provided is not a firm service, and the utility does not have to upgrade its distribution system to ensure that it can deliver gas to IT customers during peak periods.

Q. Should IT service be set below the otherwise applicable fully bundled firm service?

A. Yes. IT customers are required to maintain dual

fuel capabilities, and the costs of any alternative fuels should be considered, because such costs are part of the financial calculation such customers must make in deciding if it is worthwhile to take IT service over firm service. From a rate making perspective, any non-firm revenues reduce the firm revenue requirement. Therefore, IT rates should be set at a point between rates that are low enough to make it economically beneficial for customers to choose IT service over firm service, and rates that are high enough to ensure that firm customers are maximizing the financial benefit that IT customers provide. At no time should rates to IT customers be less than the actual costs the utility incurs to serve them.

Q. Do the Companies continue to have IT customers convert to firm service?

A. Yes. According to the response to IR DPS-798, as of February 2016, KEDNY and KEDLI had 3,138 and 200 IT customers, respectively. As of February 2019, KEDNY and KEDLI had 2,569 and 182 IT customers, a reduction of 18 percent and nine percent, respectively. According to the

response to IR DPS-714, the decrease in IT customers has been driven by migration to firm service.

Q. What does the continued migration of IT customers to firm service suggest to the Panel?

A. It suggests that the IT service is not priced at a level that incents customers to choose to remain on IT service as opposed to migrating to firm service.

Q. How did the Companies' design rates for IT service?

A. KEDNY proposed to consolidate its temperature controlled and IT SCs into a single classification with sales and transportation rates, SC No. 22, each with two tiers. KEDLI proposed to consolidate its temperature controlled and IT SCs into two classifications, SC No. 18 for sales and SC No. 19 for transportation, both of which would have two tiers. The Companies proposed that tier 1 customers be interrupted at 15 degrees Fahrenheit and tier 2 customers be interrupted at 20 degrees Fahrenheit. KEDNY and KEDLI proposed to set minimum charges of $375 and

$450, respectively, for both IT tiers. KEDNY proposed a tier 1 rate of $0.3174 and a tier two rate of $0.3015 or a five percent discount from the tier 1 rates. KEDLI proposed a tier 1 rate of $0.2907 and a tier 2 rate of $0.2762, or a five percent discount from the tier 1 rates.

Q. Does the Panel agree with the Companies' IT rate design proposals?

A. No. The Companies' present rates for IT customers have not created adequate incentives to prevent customers from migrating to firm SCs. The Companies' proposed rates provide similarly inadequate incentives. Additionally, the five percent discount for tier 2 as compared to tier 1 is inadequate to reflect the reduced level of service.

Q. At what levels does the Panel recommend setting the IT rates?

A. It is not possible to calculate the exact costs non-firm customers incur to take non-firm service. It is, therefore, difficult to determine the exact discount that should be established off of firm service. That being said, we recommend a 30 percent discount off of

the applicable firm total bill for Tier 1 and a 40 percent discount for Tier 2 customers.

Q. Why does the Panel recommend increasing the discount for IT service?

A. A larger discount should be provided to incent customers to remain on or convert to IT service.

Q. What is the Panel’s recommended rate design for the new IT SCs?

A. We recommend that the Companies determine the resulting block rates for a 30 percent and 40 percent discount on the total bill of each IT SC compared to the applicable firm SC in rebuttal testimony. The IT rates may have to be further decreased when the Companies next seek new rates to increase the number of IT customers on the Companies system to increase system reliability.

Q. How did the Companies propose to price the IT sales customers’ cost of gas?

A. The Companies proposed to use the current Temperature Controlled customer cost of gas calculation methodology to determine IT customers cost of gas. The IT commodity cost would be calculated by multiplying the weighted average cost of gas by the lost and unaccounted

for gas factor plus the non-firm demand charge.

Q. Should this process be modified?

A. Yes.

Q. Please explain.

A. The costs associated with non-firm gas purchases are included in the weighted average cost of gas for all firm sales customers. This pricing methodology includes portions of the gas supply portfolio, such as base load gas supplies and storage gas, that are planned far in advance to meet the reliability needs and on behalf of the firm sales customers that are unable to procure or plan for their own gas supply and capacity needs. Gas costs are reconciled to all firm customers. IT customers' usage is incremental load on the distribution system and there are time periods when the Companies pay incremental gas costs for IT sales customers. Therefore, we recommend that the IT customers be charged the incremental cost of gas to eliminate any subsidies by firm customers.

Interruptible Penalties

Q. What are IT penalties?

A. In order to ensure the reliability of the distribution networks, the Companies must have confidence that IT customers will not use natural gas under certain conditions. To that end, the Companies' tariffs include provisions requiring that IT and TC customers have access to an alternative fuel and penalizes those customers for the unauthorized use of natural gas.

Q. Were IT penalties discussed Cases 16-G-0058 and 16-G-0059, the most recent rate proceedings for the Companies?

A. Yes. The 2016 Rate Order required the Companies to complete a collaborative addressing IT customer issues and file a report with the Commission. The Companies filed the required report on September 17, 2018.

Q. What did the collaborative report propose with regard to the IT penalties for usage during an interruption?

A. The report, on page 11, proposed that the penalty should be the changed from the "higher of" to the "lower of" (1) two times the sum of the market gas price plus the applicable IT or

TC transportation rate; or (2) nine times the applicable IT sales rate.

Q. Did the Commission adopt the change to the penalty structure?

A. Yes, in the Order Approving Tariff Revisions and Directing Further Tariff Filings (February Order), issued on February 7, 2019 in Cases 16-G-0058 and 16-G-0059. The February Order explained that the purpose of the penalty is to ensure that non-firm customers do not choose to use gas during an interruption and pay the penalty, rather than use their alternative fuel when they have access to it. IT customers jeopardize system reliability if they do not interrupt service when required by the Companies. The Commission stated that the resulting penalty for the unauthorized use of gas has been significantly influenced by the spike in natural gas prices during very cold weather periods due to capacity constraints. Even when limited to the lesser of the two alternative calculations, the penalty will continue to provide a sufficient incentive to IT customers to cease using gas when required.

Q. Should the Companies closely monitor this change going forward?
A. Yes.
Q. Please explain.
A. According to the response to IR DPS-1000, there may be situations where the lower of the two penalties is insufficient, but this is highly dependent on market prices. We recommend that the Companies closely monitor any penalty charges to ensure that the charges provide an adequate deterrent to prevent natural gas usage during an interruption. Should any unusual behavior arise, the Companies should be required to consult with Staff about the need for additional changes to the penalty structure.

Natural Gas Vehicles

Q. What tariff changes did the Companies propose for SC No. 4A-CNG?
A. The Companies proposed to add an interruptible option for new NGV customers under the SC No. 4A-CNG class. The Companies stated that new NGV customers are more likely to be able to change their fueling profiles during peak demand

periods. Additionally, the Companies proposed to install automatic shut-off equipment and interrupt service to these customers as the Companies will for other IT customers.

Q. Does the Panel agree with the Companies' NGV proposal?

A. Yes. We agree with the proposal, if customers are only interrupted for peak periods during a day and the customers can change their fueling profiles for several days at a time. The addition of interruptible NGV customers would benefit the entire system as they would increase revenue while reducing peak requirements for firm customers.

Bill Impacts

Q. Have you calculated the impacts of your recommended rate design on customer's bills?

A. Yes. The bill impacts of our rate design on customer bills are included in Exhibit___(SRP-7). The typical KEDNY residential heating customer annual bill impact is $10.39 or 0.6 percent. The typical KEDLI residential heating customer annual bill impact is a reduction of

$79.36 or 4.6 percent.

Revenue Decoupling Mechanism

Q. Did the Companies propose to modify their RDMs?

A. Yes. The Companies proposed to: (1) change the revenue per customer mechanism for SC No. 1B to a revenue per class mechanism; (2) eliminate the RDM's incremental growth incentives in for SCs No. 2 and No. 3; (3) Include SC No. 1A in the RDM; and (4) change the RDM reconciliation time period from a calendar year to the Companies' fiscal year, which aligns with the Rate Year, April 1 to March 31 of the subsequent year.

Q. Does the Panel agree with the Companies' RDM proposals?

A. Yes. We agree with Companies' proposals. We do, however, recommend that the RDM targets be updated based on the revenue and customer counts approved by the Commission in these proceedings.

Lost And Unaccounted For Gas

Q. What is lost and unaccounted for (LAUF) gas?

A. LAUF gas refers to the disparity between the amount of gas metered into a local distribution

company’s (LDC) system and the amount of gas billed for, and metered out of, the LDC’s system.

Q. What is the LAUF incentive mechanism?

A. The LAUF incentive mechanism holds LDCs accountable for LAUF gas. Before a LAUF incentive mechanism was established, LDCs were permitted full recovery of gas commodity expenses, regardless of the disparity between the amount of gas metered into the LDC’s system and the amount of gas metered out of the LDC’s system. The LAUF incentive mechanism limits the amount of gas expense that LDCs can recover as an incentive to control losses.

Q. Did the Companies propose changes to their LAUF incentive mechanisms?

A. Yes. The Companies proposed four changes: (1) update the fixed LAUF targets and associated dead-bands; (2) have the new LAUF targets become effective beginning the new GAC cycle, or September 1, 2020; (3) remove the inactive accounts adjustment; and, (4) modify the calculation to gross up gas costs for LAUF gas.

Q. Please explain the proposed change to the LAUF

targets and associated dead-bands.

A. KEDNY and KEDLI proposed to use the actual experience over the last five GAC periods ending August 31, 2018 to set their LAUF targets. The Companies stated that the methodology is consistent with the Staff Whitepaper on LAUF Gas, a copy of which is provided in our Exhibit___(SRP-8). KEDNY proposed a LAUF target of 2.432 percent with a standard deviation of plus or minus 0.540 percent. KEDNY proposed dead-bands, of plus or minus two standard deviations from the LAUF target, of 3.512 percent and 1.353 percent for the upper and lower dead-bands, respectively. KEDLI proposed a LAUF target of 3.218 percent with a standard deviation of plus or minus 1.166 percent. KEDLI also proposed dead-bands, of plus or minus two standard deviations from the LAUF target, of 5.550 percent and 0.886 percent for the upper and lower dead-bands, respectively.

Q. Does the Panel agree with the proposed LAUF targets and associated dead-bands?

A. We agree with KEDNY’s proposed LAUF target, disagree with KEDLI’s proposed LAUF target, and

disagree with both Companies' proposed dead-bands.

Q. Explain why the Panel disagrees with KEDLI's LAUF target.

A. We do not agree with KEDLI's proposed LAUF target because we believe the actual LAUF in 2014 is a significant outlier, and should be excluded from the calculation of the new LAUF target. As shown in Exhibit ___(SRP-9) on page 5, the actual LAUF was 4.933 percent in 2014 which was 2.284 percentage points higher than the average LAUF gas percentage between GAC years 2012 through 2018 excluding GAC year 2014. Indeed, Staff proposed the same adjustment in Case 16-G-0058.

Q. What is the impact of removing 2014 from the calculation of the new LAUF target?

A. The removal of 2014 from the data set changes KEDLI's LAUF target from 3.218 percent to 2.790 percent.

Q. Explain why the Panel disagrees with the method the Companies used to establish the dead-bands.

A. As shown in Exhibit__(SRP-8), page 27, Staff's LAUF White Paper states if the calculation of

the standard deviations from the LAUF target exceeds 0.5 percent, the standard deviation used to set the dead-bands should be limited to 0.5 percent. As stated above, KEDNY's and KEDLI's proposed standard deviations are greater than 0.5 percent.

Q. What does the Panel recommend the limits of the dead-band be?

A. We recommend using the methodology set forth in the Staff Whitepaper, adjusted for KEDLI to remove 2014, with a standard deviation limit of 0.5 percent.

Q. What LAUF targets and upper and lower dead-bands does the Panel recommend?

A. For KEDNY we recommend a 2.426 percent LAUF target, an upper band of 3.426 percent and a lower band of 1.426 percent. For KEDLI we recommend a 2.790 percent LAUF target, an upper dead-band of 3.790 percent and a lower dead-band of 1.790 percent, as shown in Exhibit___(SRP-9).

Q. Why did the Companies propose to adjust their LAUF targets at the start of the GAC year?

A. The Companies proposed to eliminate the LAUF target proration that would occur in the GAC

reconciliation if the new LAUF targets were to be implemented at the beginning of the Rate Year.

Q. Does the Panel agree with this proposal?

A. Yes, we agree that the new LAUF targets should be reset September 1, 2020, on the new GAC cycle.

Q. What are inactive accounts?

A. For the purposes of our discussion of LAUF gas, inactive accounts are metered accounts greater than 90 days that are not associated with an active customer account.

Q. Does the LAUF calculation for KEDNY and KEDLI currently incorporate an adjustment for inactive accounts?

A. Yes.

Q. Please explain.

A. The 2016 Rate Order implemented an adjustment beginning September 1, 2017. The Companies were to remove from the LAUF calculation an estimate of gas usage associated with meters that have been “inactive” for more than 90 days. To estimate usage, the Companies were to develop usage proxies that were to be applied to meters

that were inactive 90 days or more during each GAC period. To determine the proxies, the Companies were to calculate a monthly class-average use on inactive meters that continue to report consumption during the GAC year. The applicable historic reference proxy were to be applied to each meter that is inactive 90 days or more to determine the amount of gas to be excluded from the LAUF calculation.

Q. In these proceedings, how did the Companies' propose to treat inactive accounts in the LAUF calculation?

A. The Companies proposed to remove inactive accounts from the LAUF calculation.

Q. Does the Panel agree with the Companies' proposal?

A. No. We recommend continuing an inactive accounts adjustment, however the current method should be revised.

Q. Why should the inactive accounts adjustment be continued?

A. This adjustment provides an additional incentive for the Companies to take action and lock meters for inactive accounts in an expeditious manner.

Q. Why should the inactive accounts adjustment be modified?

A. The result of the current calculation is not appropriately incentivizing the Companies to lock meters.

Q. Please explain.

A. The Companies recover their actual LAUF gas if their actual LAUF is within the upper and lower dead-bands. The inactive account adjustment is a relatively small adjustment, which generally doesn’t push the actual LAUF results above the upper dead-band.

Q. How does the Panel recommend revising this adjustment?

A. We recommend continuing to estimate the volume of gas associated with inactive accounts using the Companies’ current methodology. However, in lieu of making a volumetric adjustment to the LAUF incentive, we recommend the Companies reduce their revenues in the GAC reconciliation by the inactive account adjustment, which should be calculated by multiplying the volumes associated with inactive accounts by the weighted average cost of gas. For an example of

this calculation, using hypothetical numbers, please see Exhibit___(SRP-10).

Q. Why are gas costs adjusted by the factor of adjustment?

A. The Companies' monthly cost of gas are adjusted by the factor of adjustment to collect a return for LAUF gas.

Q. How do the Companies currently calculate their factors of adjustment?

A. The Companies currently calculate their factors of adjustment as one plus the LAUF percentage.

Q. Did the Companies propose to change their factors of adjustment used to gross up gas costs for LAUF gas?

A. Yes, the Companies proposed changing the calculation to 1.0 divided by 1.0 minus the LAUF percentage to more appropriately reflect distribution line losses in their GAC statements.

Q. Does the Panel agree with the changes to the calculation of the factor of adjustment?

A. Yes, this change is consistent with recommendations contained in Staff's LAUF White Paper.

Earning Adjustment Mechanism

Q. Provide a description of the earnings adjustment mechanisms (EAMs).

A. EAMs are a way for the Companies to help achieve the State's clean energy goals and Commission's REV objectives. A more detailed description of the EAM can be found in the testimony of the Staff EAM Panel.

Q. What did the Companies propose in terms of recovering incentives from customers?

A. The Companies proposed to recover the earned EAM incentives beginning in 2020 and to recover the earned incentives to firm sales and firm transportation customers through the Delivery Rate Adjustment surcharge (DRA). The earned incentives would be recovered based on the SCs' contribution to peak send out and would be collected on a per-therm basis.

Q. Does the Panel agree with Companies' allocation and recovery method?

A. Yes.

System Benefits Charge

Q. What is the system benefits charge (SBC)?

A. The SBC allows the Companies to recover costs associated with clean energy activities implemented by the New York State Energy Research and Development Authority (NYSERDA) and the Company's energy efficiency programs. The SBC consists of two surcharges: the Clean Energy Fund surcharge, which collects funds for the NYSERDA-run clean energy programs, and the Energy Efficiency Tracker Surcharge, which recovers the Energy Efficiency Transition Implementation Plan (ETIP) costs.

Q. Did the Companies propose changes to their SBCs?

A. Yes, the Companies proposed three changes. The Companies proposed to recover ETIP costs in base rates so that the SBC would only include the costs associated with Clean Energy Fund. The Companies proposed that ETIP costs be recovered from the following baseload distributed generation and non-firm demand response classes: Nos. 21, 17-21, 22, and 18-22 for KEDNY and SC Nos. 17, 5-17, 18, and 19 for KEDLI. The Companies also proposed to include any over or

under recovery of ETIP costs in the RDM reconciliations for SC Nos. 1A, 1B, 2, and 3 for both KEDNY and KEDLI. The Companies would reconcile actual ETIP revenues from all other service classifications that pay for the ETIP to the amounts included in rates over the term of the rate plan. Any differences would be refunded or recovered through the DRA, including carrying charges at pre-tax WACC, after the end of the rate plan and would be set forth on the Statement of Energy Efficiency Program Costs.

Q. Does the Panel agree with the Companies' proposal to move the ETIP into base rates?

A. Yes.

Q. Does the Panel agree with the Companies' proposals?

A. Partially. We agree with the Companies' proposal that the ETIP be rolled into base rates and recovered through the DRA. We agree that ETIP costs can be recovered from the baseload distributed generation service classes as long as the bill impacts are reasonable. However, we did not allocate part of the ETIP budget to baseload distributed generation and non-firm

demand response customers and recommend that the Companies propose an equitable allocation in their rebuttal testimony.

New York Facilities System Surcharge

Q. What is the New York Facilities System (NYFS)?

A. The NYFS is a gas transmission system connecting the service territories of KEDNY, KEDLI and Consolidated Edison Company of New York, Inc. that provides service to the New York metropolitan area. The costs associated with the system are allocated to each utility pursuant to the NYFS Agreement. KEDNY and KEDLI forecast NYFS-related costs in their revenue requirements, and reconcile and recover those targets to their actual NYFS-related costs through the NY Facilities System Surcharge.

Q. What did the Companies propose?

A. The Companies proposed to change the timing of their reconciliations. Currently the Companies reconcile NYFS-related costs on a calendar year basis, with updates to the NY Facilities System Surcharge effective each April 1st. The Companies proposed to reconcile the costs on a

fiscal year basis, which aligns with the Companies' proposed Rate Year. Under this proposal, the revised surcharge would be effective each July 1st. The stub period – January to March 2020 – would be included in the reconciliation for the Rate Year.

Q. Does the Panel agree with the Companies' proposal?

A. Yes. The change in timing would align the reconciliation with the costs included in the Rate Year.

Gas Safety and Reliability Surcharge

Q. What is the Gas Safety and Reliability Surcharge (GSRS)?

A. The GSRS is a surcharge that allows the Companies to recover specified costs from customers.

Q. What did the Companies propose regarding the GSRS?

A. As discussed by the Companies' Gas Infrastructure and Operations Panel and Exhibit___(GIOP-3), KEDNY and KEDLI proposed to modify the current GSRS to include: (i) unit

cost productivity incentives; (ii) costs for incremental proactive leak prone pipe replacement and Type 3 leak repairs; and (iii) incentives earned for leak repairs and leak prone pipe replacement. In addition, as explained in the Companies' testimonies, if the requirements associated with the new professional engineering certification and operator qualification requirements are finalized after rates are set in this proceeding, the Companies proposed to recover those costs through the GSRS.

Q. What does the Panel recommend?

A. The Staff Policy Panel recommends eliminating the leak prone pipe mileage incentive and, therefore, this component should be removed from the GSRS. The Staff Policy Panel also recommends adding a new incentive to complete specific capital investments under budget, and this incentive should be added to the GSRS. Additionally, we also recommend rejecting the Companies' proposal to recover costs associated with the new professional engineering certification and operator qualification

requirements through the GSRS.

Q. Please explain.

A. The timing and costs associated with the new professional engineering certification and operator qualification requirements are unknown. To the extent the Commission does not address cost recovery for these potential new requirements in that separate proceeding, the Companies should be encouraged to manage and control its costs in a one year rate plan.

Tariff Fees

Q. Did the Companies propose to change any tariff fees?

A. Yes, on pages 68 and 66 of KEDNY's and KEDLI's pre-filed Rate Design Panel direct testimonies, respectively, the Companies proposed to update their unproductive field visit fee and reconnection/re-establishment fees.

Q. How did the Companies propose to update the unproductive field visit fee?

A. Both Companies proposed to decrease their unproductive field visit fees. KEDNY proposed to decrease its fee from $38.60 to $31.74 and

KEDLI proposed to decrease its fees from $59.47 to $47.14.

Q. How did the Companies propose to change their reconnection/re-establishment fees?

A. KEDNY proposed to decrease its fee for reconnection at the meter from $66.13 to $53.89, and increase its fee for reconnection at the main in a street from $300 to $500. KEDLI proposed to decrease its re-establishment charge from $78.00 to $74.39.

Q. Does the Panel agree with the Companies' proposed tariff fee changes?

A. Yes, because the proposed rates are based on actual costs.

Tariff Provisions

Q. Did the Companies propose any updates to their respective tariffs?

A. Yes. KEDNY and KEDLI proposed updates listed in the response to IR UIU-1.

Q. Does the Panel recommend any changes to the Companies' tariff?

A. Yes, we recommend that the Companies' modify their tariffs based on Staff's recommendations

set forth throughout Staff's testimony.

Q. Does the Panel have any further recommendations regarding the Companies' tariffs?

A. Yes. We recommend that the Companies (1) continue to streamline their tariffs, (2) perform a study to ensure that customers are in the correct SC, and (3) propose a draft DRA statement that includes each element in the surcharge.

Q. Please explain why the Panel recommended that the Companies streamline their tariffs.

A. The streamlining should provide administrative benefits to the Companies, Niagara Mohawk Power Corporation d/b/a National Grid, and Staff. It can also provide greater transparency for customers.

Q. How does the Panel recommend that the Companies streamline their tariffs?

A. To this end, we recommend that the Commission require the Companies to submit a study within six months after the Commission sets new rates in these proceedings. The study should identify ways in which KEDNY, KEDLI and Niagara Mohawk Power Corporation d/b/a National Grid, can

harmonize their tariffs.

Q. Why should the Companies perform a study to ensure customers are in the correct SC?

A. The average annual usage for KEDNY SC No. 1B in KEDNY Exhibit___(RDP-4CU) is 1,000 therms. According to the response to IR DPS-960, the 20 highest use KEDNY customers in 2018 range from 55,539 therms to 259,436 therms annual usage. The 20 highest use customers in SC No. 1 have usages that are significantly higher than the average. Therefore, we are concerned that the customers may not be in correct class.

Q. Should the Companies create DRA statements?

A. Yes. Currently, the Companies do not have a DRA statement so customers would have to read the Companies' tariffs to determine what is included in the DRA surcharge on their bills. We recommend that the Companies propose a draft DRA statement in their rebuttal testimony so customers can easily find out what is included in the DRA surcharge.

Q. Does this conclude your testimony at this time?

A. Yes.

BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

January 2020

Prepared Supplemental Testimony of:

Staff Rates Panel

Scott McAdoo
Assistant Engineer

Jennifer Park
Assistant Engineer

Mingdi Huang
Utility Engineering Specialist 1

John Vecchio
Utility Engineering Specialist 1

Office of Electric, Gas and Water

State of New York
Department of Public Service
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Albany, New York 12223-1350

Q. Members of the Department of Public Service Staff (Staff) Rates Panel (Panel), please state your names.

A. Our names are Scott McAdoo, Jennifer Park, Mingdi Huang, and John Vecchio.

Q. Did the members of the Panel previously file testimony in this case?

A. Yes. We provided pre-filed direct testimony, also as the Staff Rates Panel, on August 30, 2019.

Q. What is the purpose of the Panel’s testimony in this proceeding?

A. Our testimony will address the Second Supplemental Testimony of Theodore Poe, Jr. and the Second Supplemental Testimony of the Revenue Requirements Panel, filed on behalf of The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid (KEDLI) (collectively, the Companies). We will discuss the following: (1) corrections to our pre-filed direct testimony and modeling errors; (2) the sales forecast based upon the Companies’ second supplemental filing, in terms of meter counts and usage; and

(3) the gas delivery revenues at current rates for the Rate Year, also based upon the Companies' second supplemental filing.

Q. In your testimony, will you refer to, or otherwise rely upon any information obtained through discovery in this proceeding?

A. Yes, our testimony will refer to Company responses to Staff's Information Requests (IRs). These responses are contained in Exhibit___(SRP-11). We will refer to these responses by the designation given when sent, e.g., DPS-123.

Q. Are you sponsoring any other exhibits?

A. Yes. We are sponsoring five additional exhibits:

- Exhibit___(SRP-12) contains our sales forecast;
- Exhibit___(SRP-13) contains our revenue price-outs;
- Exhibit___(SRP-14) contains our revenue allocations;
- Exhibit___(SRP-15) contains our rate designs; and,
- Exhibit___(SRP-16) contains our calculated bill impacts.

Corrections and Updates

Q. Does the Panel have any corrections to their previous testimony?

A. Yes. Our pre-filed testimony contained three errors: (1) the KEDNY depreciation expense was incorrect; (2) modeling errors subsequently identified by the Companies; and (3) the exclusion of additional minimum charge revenue.

Q. Please explain the KEDNY depreciation expense error.

A. On line 7 of page 26 of our pre-filed direct testimony, the reduction to KEDNY's proposed depreciation expense should be $13.7 million instead of $14.6 million. The corresponding revised Exhibits were provided to the Companies in the response to IR NG-14, which is included in our Exhibit___(SRP-11).

Q. Please explain the modeling errors identified by the Companies.

A. We inadvertently did not include SC No. 4, SC No. 7, SC No. 12 and SC No. 13 revenues for KEDLI and provided incorrect revenues to the Staff Revenue Requirement Panel for KEDNY and KEDLI. We explained the modeling errors and the

corrections in the response to IR NG-02, included in our Exhibit___(SRP-11).

Q. Please explain the exclusion of additional minimum charge revenue.

A. According to the response to IR DPS-1027, because the Companies' minimum charges are prorated based on 30 days of service, the Companies increased their minimum charge revenues to reflect that there are 365, not 360 days in the year. The Companies increased the minimum charge revenues by 1.3889%, or 365 days divided by 360 days, to account for the additional five days of service that are billed each year.

Response to Second Supplemental Filing

Q. What was the purpose of the Companies' second supplemental filings?

A. The Companies updated their cases to reflect their agreement to lift the moratorium on new gas customer connections that had been in place since May 2019. The Commission adopted this agreement in its Order Adopting and Approving Settlement, issued and effective November 26,

2019, in Case 19-G-0678 (19-G-0678 Order).

Q. Would you like to address any other events that occurred subsequent to the filing of your pre-filed direct testimony?

A. Yes, the Commission issued its Order Authorizing Utility Energy Efficiency and Building Electrification Portfolios Through 2025, issued January 16, 2020, in Case 18-M-0084 (18-M-0084 Order). That Order updates the incremental energy efficiency budgets and projected gas usage reductions for KEDNY and KEDLI in calendar years 2021 through 2025.

Q. What do you want to address in response to these occurrences?

A. We would like to address the impacts of these occurrences on our sales forecast, Rate Year revenues, rate design, and bill impacts.

Sales Forecast

Q. What adjustments did the Companies make to their sales forecasts in their Second Supplemental Testimonies?

A. The Companies testified that customers and volumes will increase at the growth rates used

in the sales forecasts provided by the Companies in their Corrections and Updates (C&U) testimonies. The Companies used their C&U sales forecasts as a base, which assumed no restrictions on customer growth or usage and included a reduction in Temperature Controlled (TC) and Interruptible (IT) customers due to historic trends. Thus, the only updates made to the C&U forecasts were to reflect the impact of energy efficiency and demand response programs as provided for in the 19-G-0678 Order. The updates resulted in a decrease in usage from 1,689,417,139 to 1,689,187,510 therms for KEDNY and from 1,059,164,436 to 1,058,941,852 therms for KEDLI in the Rate Year.

Q. Describe how the Companies calculated and integrated the impact of the energy efficiency and demand response programs from the 19-G-0678 Order.

A. According to the response to IR DPS-1057, KEDNY reduced its residential volumes in 2019 by 86,000 therms and its commercial volumes in 2019 by 144,000 therms, for a total reduction of 230,000 therms. KEDLI reduced its 2019

residential volumes by 167,000 therms and its commercial volumes in 2019 by 56,000 therms, for a total reduction in 2019 of 223,000 therms. The Companies assumed that the load reduction will apply to the 2019/2020 winter and continue to subsequent winters. The Companies applied these usage reductions to the corresponding residential and commercial forecasting groups before those volumes were assigned to rate codes. The Companies did not make any usage reductions based on their demand response programs, as those programs were designed to reduce load on design days and the forecasts are based on normal weather.

Q. Does the Panel agree with the Companies' sales forecasts?

A. No.

Q. Please explain.

A. Per the response to IR DPS-1057, the Companies' forecasts do not reflect the existence or effects of the moratorium. In addition, the Panel does not agree that the non-firm customer count will decrease over the Rate Year, as the Companies have forecasted. Finally, the

Companies' forecast should be updated to reflect the 18-M-0084 Order's increased incremental energy efficiency gas usage reductions. The Commission issued that order after the Companies made their second supplemental filing.

Q. Why does the Panel disagree that the number of non-firm customers will decrease?

A. Based on the 19-G-0678 Order, the Companies will increase their energy efficiency and demand response programs. Thus, we would expect the number of non-firm customers, who are demand response customers, to increase rather than decrease.

Q. What does the Panel recommend?

A. We recommend that the Companies' sales forecasts be adjusted to account for the effects of the moratorium, the growth of the non-firm service classes, and the increased incremental energy efficiency gas usage reductions from the 18-M-0084 Order.

Q. Describe the adjustment made to account for the moratorium.

A. We updated the Companies sales forecasts to include the actual meter counts from January

2019 to November 2019, provided in the response to IR DPS-1063. From December 2019 on, we applied the forecasted monthly change in customers to maintain the forecasted growth. We used the forecasted monthly use-per-customer (UPC), with the adjusted customer count, to determine the corresponding change in usage.

Q. Describe the adjustment made to account for the growth of non-firm service classes.

A. Instead of forecasting a decline in non-firm customers, we maintained the historical proportion of non-firm customers to the number of customers in the otherwise applicable firm commercial and multi-family service classes. In the response to IR DPS-1063, the Companies provided the number of non-firm customers that converted to firm service from 2014 to 2019 for KEDNY and from 2015 to 2019 for KEDLI. We removed the monthly average of non-firm customer conversions to firm service from the otherwise applicable firm service class. We did this to account for the Companies' practice of independently forecasting the customer counts for the firm and non-firm service classes, which

does not track the number of non-firm customers converting to firm service. As with the moratorium adjustment, we applied the forecasted monthly UPC to the adjusted customer count to determine the corresponding change in usage.

Q. Describe the adjustment made to account for the increased energy efficiency gas targets implemented in the 18-M-0084 Order.

A. We allocated the increase in incremental gas usage reduction targets for the Companies in the same manner and proportion as the Companies allocated the impact of the energy efficiency and demand-response programs from the 19-G-0678 Order.

Q. What are the effects of the Panel's adjustments?

A. As seen in Exhibit___(SRP-12), our adjustments reduce KEDNY's forecast of the Rate Year total customer count from 1,270,947 customers to 1,262,868 and increased its forecast of Rate Year total usage from 1,689,187,510 therms to 1,695,499,873. For KEDLI, we decreased the forecast of the Rate Year total customer count from 611,127 customers to 610,765 and decreased the forecast of Rate Year total usage from

1,058,941,852 therms to 1,051,576,413.

Q. Explain why KEDNY's forecasted customer count decreased but its forecasted total usage increased.

A. Our adjustments increased the customer count of certain service classes while decreasing others, ultimately resulting in a net reduction in the number of customers. However, the UPC of the service classes with increased customer counts are higher than the UPC of the service classes with decreased customer counts. Ultimately, this caused an increase in total usage.

Rate Year Revenues, Rate Design and Bill Impacts

Q. Did the Companies update their revenue forecasts provided in its second supplemental filing?

A. Yes. The Companies corrected their revenue forecasts for erroneous KEDNY commodity revenues and KEDLI GRT revenues explained in the response to IR DPS-1061.

Q. Does the Panel agree with the Companies' corrected revenue forecasts?

A. No. We further updated the Companies' sales forecasts, which results in updated revenue

forecasts.

Q. Did the Panel update its revenue price-outs to account for its updated sales forecast and the 18-M-0084 Order?

A. Yes. We included the updated Rate Year revenue forecasts in Exhibit___(SRP-13).

Q. Did the Panel update the revenue allocation, rate design and bill impacts to reflect the revenue requirement in the supplemental testimony of the Staff Revenue Requirements Panel?

A. Yes. The updated revenue allocations are in Exhibit___(SRP-14), the rate designs are in Exhibit___(SRP-15), and the bill impacts are in Exhibit___(SRP-16).

Q. Does this conclude your testimony at this time?

A. Yes.

BY MR. GOODRICH: (Cont'g.)

Q. Panel, also before you are exhibits identified at the time of filing as S.R.P.-1 through S.R.P.-10. These have now been marked for identification purposes as Exhibits 492 through 501, respectively. Were those 10 exhibits prepared by you or under your direct supervision?

A. Yes.

Q. And also before you are exhibits identified at the time of filing as S.R.P.-11 through S.R.P.-16. These have now been marked for identification purposes as Exhibits 520 through 525, respectively. Were those 6 exhibits prepared by you or under your direct supervision?

A. Yes.

Q. And I would just like to note that the department -- that I sent around an email yesterday to Your Honors and the other parties with updates to the final 3 exhibits, so that was 14, 15 and 16. And so that's -- that equates to 523, 524 and 525. And that those revised exhibits could -- should just be substitute for the ones previously provided.

A.L.J. COSTELLO: They -- they will be

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BY MR. GOODRICH: (Cont'g.)

Q. And with -- with that clarified, panel, do you affirm that the information contained in all 16 of the exhibits that we've just identified is true to the best of your knowledge?

A. Yes.

MR. GOODRICH: Your Honors, the Staff Rates Panel is now available for cross examination.

A.L.J. LEARY: Can I ask you just one question. So you're updating 14, 15 and 16, would that be -- what are the hearing exhibits associated with those?

MR. GOODRICH: 523, 524 and 525.

A.L.J. LEARY: Great. Thank you.

A.L.J. COSTELLO: Mr. Maloney.

MR. MALONEY: Thank you, Your Honor.

CROSS EXAMINATION

BY MR. MALONEY:

Q. Good morning, panel, My name is Ken Maloney. I'll be asking you some questions on -- on your testimony. The first subject I want to talk to you about is depreciation. And maybe if you could

refer to page 19 of your testimony. Is -- is it correct that generally speaking, reasonable depreciation rates will permit the companies to recover the costs of their investments and facilities, plus or minus net salvage over the expected useful lives of those facilities?

A. (McAdoo) Can you please restate the question?

Q. Is it correct that generally speaking, reasonable depreciation rates will permit the companies to recover the costs of their investments in facilities, plus or minus net salvage over the expected useful lives of those facilities?

A. That is correct.

Q. Okay. Now, one of the differences between the panel and the companies with respect to depreciation in this case is that the companies are proposing a 20-year leak-prone pipe amortization period to recover the cost of their leak-prone pipe and the panel is proposing a 30-year period. Is that correct?

A. That is correct.

Q. Okay. And with -- with respect to the determination of net salvage, you recommend

that it should be based on the most recent 4-year period while the companies recommend the use of the most recent 3-year period, is that correct?

A. That is correct.

Q. And would you agree that the impact of your proposed change with respect to negative salvage is to reduce the negative salvage that the companies will recover in their depreciation rates?

A. That is correct.

Q. Okay. Does the panel agree that the company's net salvage costs consist primarily of labor costs?

A. We agree.

Q. Okay. Is -- the companies have had a number of rate proceedings before the commission over the past 12 -- 12 to 13 years. Is the panel aware of whether the company's labor expense has gone up by about 3% a year during that period?

A. We are not aware.

Q. Okay. Does the -- does the panel believe that the company's labor expense is likely to increase in the future?

A. We can't answer that.

Q. So the panel has no understanding of where the company's labor expense has been or is likely to go over the next few years?

A. Please rephrase the question.

Q. Could I have it read back?

(Reporter complied with request)

A. (McAdoo) Could you point to -- in the testimony where we testified to labor expense?

BY MR. MALONEY: (Cont'g.)

Q. No, but I -- I asked you before about whether labor expense constitutes cost of -- the largest piece of -- of cost of removal or net salvage, and I believe you agreed with me that it does. And so I'm asking in -- in making a recommendation about what net salvage should be collected in future depreciation rates.

Did you have a sense of where the company's labor expense is going or likely to go where it's been and where it's likely to go? So that's the foundation for my question. Do you have an opinion on that one way or the other?

A. It's possible labor costs could increase, but we do not know how that would affect

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net salvage.

Q. Thank you. And I -- I refer you to page 23 of your testimony. Is it correct that you stated that the reason for your proposed modifications to the company's depreciation proposals, is that you're concerned about bill impacts?

A. That is correct.

Q. Now, when you speak about bill impacts, are you speaking specifically about the bill impacts arising in this case?

A. The bill impacts would not just be this proceeding.

Q. What other proceedings would you be referring to?

A. So our intent was to gradually increase the amortization over time so that there wouldn't be any rate shock. So in future proceedings the amortization time could change if necessary and could be updated for anything with the changes in net salvage or otherwise.

Q. And is it correct that that result could happen regardless of whatever depreciation rates the commission approves in this

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A. That is correct.

Q. Okay. Is it your understanding that in this case the staff is proposing to reduce KEDLI's rates by approximately, I think, this is the latest update $39.9 million annually?

A. That is correct.

Q. Okay. And is it correct that your depreciation adjustment for KEDLI reduces its revenue requirement by approximately $10.6 million annually?

A.L.J. LEARY: Do you want to refer the panel to what you have before you in the record that shows the $10.6 million reduction to KEDLI's revenue requirement. And no worries, if -- if you can't do that, I'm just trying to speed the panel's response.

A.L.J. COSTELLO: I -- do you want me to refer them to page 26?

MR. MALONEY: If -- if you could, Your Honor.

BY MR. MALONEY: (Cont'g.)

Q. I believe it is on page 26 -- 26,

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line 7.

A. That is correct.

Q. Okay. So -- so just doing the math, if the commission rejected your proposed adjustments, but otherwise adopted the staff's revenue requirement, KEDLI's customer would still receive a $29.3 million annual reduction in rates in this case, is that right?

A. (Parr) Could you please repeat the question again?

Q. Okay. And it's just really doing the math. So if the commission rejected your proposed adjustment, but otherwise adopted staff's revenue requirement in this case, KEDLI's customer would still receive a $29.3 million annual reduction in rates.

And I'm doing that by taking the $39.9 million which was the proposed decrease and subtracted the 10.3 million dollar depreciation adjustment.

A.L.J. COSTELLO: 10.6.

MR. MALONEY: I'm sorry, 10.6, Your Honor, thank you.

THE WITNESS: (McAdoo) That's a

reasonable approximation.

MR. MALONEY: Thank you.

BY MR. MALONEY: (Cont'g.)

Q. Now, for KEDNY, is it correct that your depreciation adjustment would reduce KEDNY's annual revenue requirement by approximately $13.7 million annually. And I know that on page 26 is a -- as Judge Costello referred to before, it says, 14.6 million but I believe he made a correction to that in the staff rate panel, one of the supplemental testimonies that was filed?

A. On page 3, line 13 of our supplemental testimony says, KEDNY's proposed depreciation expense would be reduced by 13.7 million.

Q. Annually, is that correct?

A. Yes.

Q. Okay. Now, is it also correct that KEDNY's total revenues are forecast by staff to be approximately $1.807 billion in the rate year?

A. Where do we state that in testimony?

Q. Well, I -- I'm looking at the statement of operating income for the rate year

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ending March 31, 2021 that I believe is the corrected exhibit that was filed by Mr. Goodrich either yesterday or a day or two ago from the Staff Revenue Requirement Panel.

A.L.J. COSTELLO: Which -- just for the record which exhibit is that -- that's the S --

MR. MALONEY: Unfortunately, it's not marked as an exhibit. I believe it's Staff Revenue Requirement Panel 5A or 6A I don't remember which one.

A.L.J. LEARY: Let's hear from Mr. Goodrich.

MR. MALONEY: Yeah.

A.L.J. LEARY: No idea?

A.L.J. COSTELLO: I think we have 14, 15 and 16 were corrected exhibits?

MR. MALONEY: Those are for the -- for the staff Rate Panel. This is from the Revenue Requirement --

A.L.J. COSTELLO: Revenue Requirement.

MR. MALONEY: If -- if I could show this to the -- perhaps we could --

A.L.J. LEARY: Well, hold on a second. There's actually a real live exhibit from which that

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document is deriven?

MR. MALONEY: Yes, this was a printout from the D.M.M. system that I printed out last night.

A.L.J. LEARY: I just need to understand what the Revenue Requirement Panel exhibit number is?

MR. MALONEY: Let me see if I can.

MR. GOODRICH: Does it have it in the upper right corner does it say --

MR. MALONEY: Unfortunately -- unfortunately, it doesn't, but I don't know why it doesn't, but -- but I can probably figure it out. You know what, Your Honor, we can move on. I can move on without this line of questioning.

A.L.J. LEARY: I'm not trying -- I'm not trying to close you down. I just need the record to be clear on what this document is that you're going to show the panel?

MR. MALONEY: I understood I'm -- I'm fine. I -- I think whatever it is it will turn out to be so it's fine.

A.L.J. LEARY: Okay. And you'll have -- we're probably going to break for lunch and this panel may still be there, so maybe Judge Costello and

I can find it.

MR. MALONEY: It's -- it's actually S.R.R.P.1, is that corrected and that was filed yesterday?

MR. GOODRICH: No, this isn't it. No, this is not it. No, this is not it.

MR. MALONEY: No, no.

MALE: Filed on the 12th.

MR. MALONEY: I was going to say yes, let's -- let's just -- we can just move on and --

A.L.J. LEARY: Okay.

BY MR. MALONEY: (Cont'g.)

Q. In -- in terms of the total bill impact, does the panel have any sense of what the impact of its depreciation adjustment for KEDNY is in -- in percentage terms?

A.L.J. COSTELLO: I just want -- I'll let you know for the -- for the record in case you do want to. I believe that's Exhibit Number 511.

MR. MALONEY: 511.

A.L.J. COSTELLO: Is that KEDLI that you're referring or --

MR. MALONEY: KEDNY.

A.L.J. COSTELLO: KEDNY that's

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corrected -- I'm sorry KEDNY is 515, it's look like the corrected, filed on 2/13/2020.

THE WITNESS: (McAdoo) We did not perform that analysis.

MR. MALONEY: Okay. That's fine.

BY MR. MALONEY: (Cont'g.)

Q. I'd like you to refer to page 24 of your testimony. It's correct, isn't it that you state, the panel therefore finds it equitable that current and future customers share the cost responsibility even if they did not benefit directly from the replaced L.P.P. which means leak-prone pipe assets themselves. Is that correct?

A. That is correct.

Q. Okay. And when you say there were customers who did not benefit directly from the replaced leak-prone pipe assets themselves, you're referring to future customers who would be required under your recommendation to pay for those facilities even though they were no longer providing service to those future customers. Is that correct?

Please don't ask me to repeat that.

A. That is correct.

Q. Okay. You -- you're not

testifying in any way that current customers haven't benefitted from receiving service to the leak-prone pipe assets, is that correct?

A. Please restate the question.

Q. It's not the panel's opinion in any way that current customers have not benefitted from leak-prone pipe being used to provide service to them, is that correct? You're not suggesting that the current customers are not being served through the leak- prone pipe facilities today, are you?

A. That is correct.

Q. Okay. So is it fair to say that your recommendation concerning depreciation is based on a balancing of equities as between current and future customers?

MR. GOODRICH: Objection -- withdrawn.

MR. MALONEY: Thank you, Mr. Goodrich.

THE WITNESS: What do you mean by balancing of equities?

BY MR. MALONEY: (Cont'g.)

Q. Well, did you balance the equities of -- compare the fairness, if you will, of requiring current customers to pay a larger share of these as opposed to future customers. You're

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proposing to assess part of the bill to future customers and you're suggesting that's an equitable result, is that correct?

A. That is correct.

Q. Okay. Now, in formulating your opinion on what was equitable as far as bill impacts, did the -- were you aware that on a total bill basis KENDY and KEDLI's customers are paying total bills today that are approximately equal to what they were 10 years ago? And I'm asking if you were aware of that.

A. We are not aware.

Q. Okay. Were you -- were you aware that between 1995 and 2016 KENDY's customers' base rates did not change?

MR. GOODRICH: Objection, just relevance.

MR. MALONEY: The relevance is the panel said that they've made an equitable determination as to who should pay for this. What I'm exploring with them is whether current customers who, in fact, were recent customers of the company whether it was equitable that they've paid a relatively small share of these costs which I think I

can establish as compared to future customers who we don't know what they are going to be as to pay.

So I'm just asking at this time what factors affected their determination that their end result was equitable?

A.L.J. LEARY: I -- I think -- I think the question is fair. I just want to bring you back to the panel's testimony which talks about the replacement -- the reason for replacement of L.P.P. assets quote are -- I'm sorry, quote, is due to safety and reliability concerns. I think it's fair to ask them if they considered other factors.

They go on to say the panel therefore finds it equitable that current and future customers share the cost responsibility. I think you can explore this area, but I -- I want to make sure that you have something in the record if you're going to say to the panel between this date and this date base rates did not change, you're probably going to have to show them that base rates changed if you want --

MR. MALONEY: Well, I -- I -- we just ask him if they were aware, if they're not aware I can just move on.

A.L.J. LEARY: Unaware, got it.

MR. MALONEY: Okay.

A.L.J. LEARY: Well, I think you're -- I'm -- I'm not -- I'm going to rule the objection unless Judge Costello tells me I'm wrong, but it seems to me that that's a fair question to explore.

THE WITNESS: We are not aware.

BY MR. MALONEY: (Cont'g.)

Q. So it's fair to say that in formulating your proposal in this case, you didn't take into account the fact that customers up till now the amount of leak-prone pipe depreciation that the customers have paid up till now, you did not take that into account. Is that correct?

MR. GOODRICH: Objection. He's talked about overall total bills and in the past and now he's jumping to -- to the amount of leak-prone pipe depreciation in the past. There's no foundation for that.

MR. MALONEY: I'll -- I'll withdraw the question.

BY MR. MALONEY: (Cont'g.)

Q. In your testimony on page 24 at lines 7 and 8 you note that leak prone pipe assets are being replaced early. Is that correct?

A. That is correct.

Q. What is the panel's understanding as to the age of the leak-prone pipe assets that are being replaced?

A. The leak-prone pipe ages are in Exhibit P.M.N. 5 for KEDNY and KEDLI.

Q. And that indicates that those assets have been in service for a significant number of years, haven't they?

A. Define a significant number of years?

Q. 50, 60, 70 years, some -- some longer. I don't have the exhibit in front of me, but.

A. That is correct.

Q. Okay. Would the panel agree that a portion of the need for additional depreciation expense associated with the recovery of the full leak-prone pipe costs arises from the fact that customers in the past did not pay an equitable share of what the total costs of the L.P.P., the leak-prone pipe assets will turn out to be including the cost of removal or negative net salvage?

A. That is correct.

Q. Would the panel agree that many of KEDNY and KEDLI's current customers are likely to be the same customers who did not pay an equitable share of the total costs of leak-prone pipe in the past?

MR. GOODRICH: Objection. There is no real foundation. There is no explanation as to which customers were -- are current versus past customers, how far back he is going 50, 60, 70 years?

MR. MALONEY: The panel can answer the question. They may not know. I don't know what foundation I have to establish to ask that question.

A.L.J. LEARY: Can you define a timeframe for them at least and is this last rate case?

MR. MALONEY: Well, what I'm asking them, I believe, what they've testified is that past customers really did not pay a full share of the depreciation.

A.L.J. LEARY: And where is that in their testimony?

MR. MALONEY: They just testified through their --

A.L.J. LEARY: Okay.

MR. GOODRICH: Actually, no though because you, that -- that question was much more complex than what you just laid out. You -- your question, I believe was something about would you agree that past customers won't -- wouldn't have paid their equitable share based on --

MR. MALONEY: But I believe I said --

MR. GOODRICH: -- based on how the cost turn out to be, which is like half hypothetical.

MR. MALONEY: Yes. I think we've established that depreciation expense has to recover the full costs of the facilities plus the total cost of removal or net salvage over the lives of the facilities or some extended life beyond that. That's correct.

And I asked them whether customers in the past had failed to pay essentially an equitable share of that total cost and I believe the panel agreed with me that that was correct. Now I realized I'm paraphrasing what I asked before, but the sum and substance of it was that.

A.L.J. LEARY: Does the panel agree that that is the sum and substance of their testimony, what was just paraphrased? Let's go off

the record.

(Off the record 12:19 p.m.)

(On the record 12:21 p.m.)

THE WITNESS: In hindsight, we could say that customers were not paying enough in the past. But the depreciation studies that were done during that time period could have indicated that customers were paying the appropriate amount.

BY MR. MALONEY: (Cont'g.)

Q. It's correct isn't it, that in arriving at your rec -- strike that. Would the panel agree that during a future period, after the 20 years of the accelerated program is done, under your recommendation, there will be a 10-year period in which future customers would be required to pay both the increased costs of the leak-prone pipe and the cost of replacement facilities?

A. You are correct.

Q. And is it correct that in arriving at your recommendation, you didn't attempt to develop what the bill impacts of that result would be?

MR. GOODRICH: I would -- I would ask counsel to clarify, is he talking about the bill

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impacts of -- of what rates may be between 20 and 30 years from now?

MR. MALONEY: Yes, the bill impacts of -- of the future customers paying the cost of the leak-prone pipe that remains unpaid, as well as the replacement facilities that will be used to serve them at that time.

MR. GOODRICH: So with that clarification, I would say that, I mean, it's pure speculation and I would object on that basis.

MR. MALONEY: I asked them whether they prepared the analysis. They can answer yes, they can answer no. They -- they've built a case based on equity. If they don't know what the result is in the future, I'm having a hard time saying why it would be equitable in the present, but that's --

MR. GOODRICH: Your characterization is that they've built the case based on equity.

MR. MALONEY: They said what -- their proposal is equitable.

MR. GOODRICH: Their testimony is --

MR. MALONEY: Testimony says that. Yes.

MR. GOODRICH: That's not all that

their testimony says. That's all -- and you're characterizing it as that was their case.

MR. MALONEY: It's part of their case and it's the part I'm cross examining them on.

A.L.J. LEARY: So your question is whether the panel has analyzed the bill impacts for future customers?

MR. MALONEY: Yes.

A.L.J. LEARY: I think -- I think the panel can answer that.

THE WITNESS: It would be impossible to get accurate bill impacts since we cannot predict what the company's rate requests would be in the 20 years that the amortization would be going on.

BY MR. MALONEY: (Cont'g.)

Q. Would the panel agree that the company's costs of replacing leak-prone pipe have increased and are forecast to continue to increase?

MR. GOODRICH: Objection. Can counsel put some timeframe parameters on that? That's a very vague and expansive question.

BY MR. MALONEY: (Cont'g.)

Q. Okay. Have they increased over the life of the leak-prone pipe acceleration program

and is it likely that they will continue to increase during the remainder of that program?

A. It's possible that the leak-prone pipe cost could increase.

Q. Is the panel aware of whether they have increased over the last 5 years?

A. That is correct.

Q. Is it correct that one of the reasons that you believe that it is equitable for future customers to pay the costs of leak-prone pipe replacement is that future customers will receive a safety and reliability benefit as a result of -- of that replacement? And I refer you to page 24 of your testimony, lines 49. I'm sorry. I had the lines 49, I couldn't find the page.

A. That is correct.

Q. In the panel's opinion, whenever the company replaces older facilities, such as mains, services, regulators, don't customers always get a benefit from greater safety and reliability? Isn't it expected that newer facilities will be safer and more reliable?

A. It would be expected that newer infrastructure would be more reliable and safer than

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older infrastructure.

MR. MALONEY: Your Honor, that brings me to the end of the cross on depreciation. I have a few other areas, but we can do that after lunch.

A.L.J. LEARY: That sounds good. Is everybody okay with that? All right. We're going to break for lunch. It's just about 12:30 now.

MR. MALONEY: Thank you, panel.

A.L.J. LEARY: And the panel's excused. Oh, no, you're not excused.

(Off the record 12:29 p.m.)

(On the record 1:17 p.m.)

A.L.J. COSTELLO: And we're resuming with the cross examination by the companies.

MR. MALONEY: Thank you, Your Honor, once again, Ken Maloney for the companies.

BY MR. MALONEY: (Cont'g.)

Q. Good afternoon panel. I want to ask you a few questions now about your position on the cost of service study and I'd refer you to pages 26 and 27 of your direct testimony. It's correct, isn't it, that you prefer that the companies use a historical eco-study, rather than a forward looking proforma methodology?

A. That is correct.

Q. Okay. Is it correct that the purpose of an embedded cost to service study is to identify the return on rate base being generated by each rate class?

A. That is correct.

Q. And is it correct that a returns in ECOSS are computed by comparing the company's revenue from each class to the cost to serve that class?

A. That is correct.

Q. Does the panel agree that -- that one of the goals of the rate making process is to establish rates that move each of the company's rate classes closer to the system average rate of return?

A. That is correct.

Q. Does the panel believe that it's able to measure progress toward the goal of achieving more cost based rates by comparing a historic ECOSS results and your proposed revenue allocations?

A. Please rephrase that.

Q. Does the panel believe that it's able to measure progress toward the goal of achieving more cost base rates by using -- by comparing the

results of a historical embedded cost of service study to the panel's proposed revenue allocation?

A. Yes.

Q. How is the panel able to measure progress toward cost base rates by comparing a prospective revenue allocation to a historic cost of service study -- to the results of a historic cost of service study, I should say?

A. We would measure the movement towards the system average rate of return in the next rate case.

Q. Okay. So based on that answer, would the panel agree that if you ran a pro forma -- a pro forma forward looking embedded cost of service study using the final revenue requirement, that would be a more accurate way to determine whether revised rates were achieving the goal of establishing rates that are more cost based?

A. We do not agree. The pro forma ECOS study could potentially introduce additional errors due to it being a forecast.

Q. Is it correct that a historic embedded cost of service study will utilize actual revenues from the historic period?

A. That is correct.

Q. And is it correct that those revenues would not be normalized for -- the weather would not be -- would not be normalized for weather? I'm sorry.

A. That is correct.

Q. Okay. And is it also correct that a historic embedded cost of service study would or could -- I should say could reflect non-recurring costs that would typically be normalized out in establishing new rates?

A. It is possible.

Q. Well, do you normally make normalization adjustments when -- when the panel performs an embedded cost of service study, does it make normalization adjustments?

A. The panel does not perform embedded costs of service studies.

Q. Is it -- is it your understanding that when parties -- other parties perform historic embedded cost of service studies, that they make normalizing adjustments?

A.L.J. LEARY: I'm -- I'm just going to ask, you're not -- you're speaking generally about

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embedded cost of service studies and --

MR. MALONEY: Yes, I'm asking about what their experience is as to whether those studies include normalizing adjustments.

A.L.J. LEARY: Okay. One question I had, I understand that there was an ECOS study in the 0058 and 0059 prior rate cases by the company. Is that in this record now? Is that ECOS study in this record?

MR. GOODRICH: I don't believe so.

MR. MALONEY: I don't believe so either, yeah.

A.L.J. LEARY: Okay. Because it is referenced in this panel's testimony that's why I thought it might be, but that was my question.

MR. GOODRICH: I -- they -- they may reference it, but I think it's just based on it being a public document at this time.

A.L.J. LEARY: Okay.

THE WITNESS: We're not aware of any normalizing adjustments.

BY MR. MALONEY: (Cont'g.)

Q. I'd refer you to page 27 lines 15 to 18 of your testimony. You state there, it is more

appropriate to use historic cost of service studies to guide revenue allocation unless very large changes in utility operations are projected. Is that correct?

A. That is correct.

Q. Okay. When you're talking about large changes in utility operations, are you talking about projects that have a large impact on the revenue requirement?

A. It is our understanding that pro forma ECOS studies were used when power plants were built and there would be a large change to rate base.

Q. So you're talking about circumstances akin to the coming on to service of a whole new power plant for a vertically integrated utility. Is that correct?

A. That is correct.

Q. If you want -- well, strike that. Leaving aside that example, how could you measure whether there is a large change in operations if you don't use a for -- in other words, what would you compare it to if you don't use a forward looking embedded cost of service study?

A. Compare what to?

Q. Whatever you would decide would be a large change in operations. How would you decide that absent the use of a forward-looking cost of service study?

A. Could you please rephrase that?

Q. Yeah, let me try it again. Wouldn't you need to know -- in other words, if you're trying to decide whether there is a large change in operations such that it would be good to -- wouldn't you need to look at the impact of that on future rates, the rates that are being set prospectively?

A. I'm sorry, I'm not sure I understand what you're asking.

Q. I'm going to move on. And this is the final area. Could you refer to page 98 of your testimony? Page 98 of your --

MR. GOODRICH: Objection. That's a trick question.

MR. MALONEY: There is only 73 pages. Obviously I have a typo with my cross here. My secretary does that to me just to get back at me for sending her these things at 10 o'clock at night.

A.L.J. LEARY: How about 68?

MR. MALONEY: Let's see if 68 does it.

A.L.J. LEARY: That's safety and reliability surcharge, that summary.

MR. MALONEY: No, unfortunately -- what I -- what I'm referring to is I.T. rate design.

A.L.J. LEARY: I.T. --

MR. MALONEY: Yes, interruptible transportation rate design. And I believe -- let's see if we can find that.

A.L.J. COSTELLO: It's page 45.

MR. MALONEY: How did I get 98 out of that. I'm referring to page 48. Thank you.

BY MR. MALONEY: (Cont'g.)

Q. And on page 48, beginning on line 24 and carrying over to page 49, it says, we recommend a 30% discount off the applicable firm total bill for Tier 1 and a 40% discount for Tier 2 customers. Is that correct?

A. That is correct.

Q. And -- and that's compared to the total bill. How would you calculate the firm total bill for the purpose of doing that rate?

A. So the total bill would be calculated with -- using the otherwise applicable

firm rates and then the incremental cost of gas that would be the weighted incremental cost of gas would be included. And then that discount of 30% or 40% would be taken off that total bill.

Q. Why does the panel believe that it's better to use -- let me back up. This incremental cost of gas, would that be based on a forecast?

A. The incremental cost of gas would be calculated at the beginning of the month just like the weighted average cost of gas is calculated for firm customer.

Q. Why does the panel believe that it's better to use that incremental cost of gas rather than calculating the I.T. discount purely off delivery revenue -- delivery rates and delivery revenue?

MR. GOODRICH: I'm sorry, could -- could counsel please rephrase it. I'm -- I'm confused as to whether you're asking essentially why -- why it should be -- the discount should be calculated based on comparing just delivery rates or -- or is it compared to whole group compared to --

MR. MALONEY: Compare to -- compared

to the total bill.

MR. GOODRICH: Total bill.

MR. MALONEY: Total bill. That's right.

MR. GOODRICH: That is the phrase, okay.

Mr. MALONEY: That's what I'm essentially asking.

BY MR. MALONEY: (Cont'g.)

Q. Well, why -- why do -- the company knows -- you would agree with me the company knows what the delivery revenues are. The cost of gas is a forecast that may or may not turn out to be correct. Why shouldn't this simply be done off the delivery revenue using the inputs that we know exist on the first day of the month.

A. Our intent was to decrease the bills for I.T. customers so that there would be more I.T. customers on the company's system, which would benefit all customers.

MR. MALONEY: Thank you, panel. I have nothing further.

A.L.J. COSTELLO: Okay. PULP.

MR. BERKLEY: Thank you, Your Honor.

CROSS EXAMINATION

BY MR. BERKLEY:

Q. Good afternoon, panel. Could you turn to page 23 of your direct testimony? And since I didn't state my name, Richard Berkley for PULP. Why does the panel recommend a 30-year amortization period rather than the company's 20?

A. On page 24 lines 2 to 13 we state one of the principles of depreciation is that it is more equitable to have the customers that benefit from plant bear the costs of that plant. However, the reason these L.P.P. assets are being replaced early is due to safety and reliability concerns.

The panel therefore finds it equitable that current and future customers share the cost responsibility even if they did not benefit directly from the replaced L.P.P. assets themselves.

Q. Thank you. And on page 23 lines 17 through 19, you say, ultimately we are concerned with the potential impact the amortization proposal has on customers' bills. Could you explain what the impact is on customers' bills?

MR. GOODRICH: I'm going to object, asked and answered. This was one of the questions

the company asked earlier.

A.L.J. LEARY: Let's allow the panel to respond. I'd -- you know, the context and where Mr. Berkley is going could be slightly different, but the point is well taken. We want to avoid duplication today. So -- but the panel can respond to the question.

THE WITNESS: We did not perform an analysis on the bill impacts strictly due to the depreciation change.

BY MR. BERKLEY: (Cont'g.)

Q. Thank you. So if I were to ask the panel for a specific numeric bill impact, you wouldn't be able to answer that question?

A. What bill impacts are you referring to?

Q. I am referring to your statement on lines 17 through 19, where you say that you, the panel, are concerned with the potential impact the amortization has on customers' bills.

A. We could not provide a numeric impact for the depreciation change.

Q. Thank you. I'm moving ahead to pages 34 and -5, paperless billing credit. Were you

able to find that?

A. Yeah.

Q. Great. Is the panel able to answer what the bill impact is to customers receiving paper bills based on the company's proposal to change numbers on lines 6 through 8 above?

A. On page 35, lines 6 to 8, there was an increase of 44 cents for KEDNY per month and an increase of 41 cents for KEDLI per month.

Q. Thank you. Is --does this panel know how many of KEDNY and KEDLI customers receive paper bills versus paperless bills?

A. We're not aware.

Q. Does the panel know -- does the panel have any knowledge, pardon me, of the demographics of customers receiving paper versus paperless bills for KEDNY and KEDLI?

A. We do not know.

Q. Is it fair to say that customers receiving paperless billing are ones that have access to the internet?

MR. GOODRICH: Objection, calls for speculation.

MR. BERKLEY: I'll rephrase it.

BR MR. BERKLEY: (Cont'g.)

Q. How would customers receive paperless bills?

A. (Huang) They will receive it in an email from the company.

Q. Thank you. And --

A. Mingdi Huang.

Q. Thank you.

A. Yeah.

Q. Is the company aware -- let me withdraw that. Is it fair to say that the customers who are receiving paper bills don't have access to the internet?

MR. GOODRICH: Objection, calls for speculation.

A.L.J. COSTELLO: Yeah, that -- that objection is sustained.

MR. BERKLEY: I'll come back to that, bear with me.

BY MR. BERKLEY: (Cont'g.)

Q. I'd like to skip up to pages 39 and 40 inclining block study. And on lines 8 through 11 on page 40, panel testifies that the companies found that moving rate design towards inclining

blocks would produce bill impacts above the average customer's impact for both low and high usage customers.

Could you explain why there would be above average impacts upon low usage customers?

A. (McAdoo) So we were stating what the company found from the results of the inclining block study, which is summarized on page 70 and 71 of KEDNY's initial rate design panel testimony.

Q. Thank you. If you look at the first 7 lines of page 41, it says, the company stated that the significant bill impacts to higher and lower usage customers are unacceptable from a rate making perspective. Does the panel agree with the company's conclusions, yes.

And so first I'd like to ask again, why does the panel agree that there would be significant bill impacts to lower usage customers?

A. On page 41 of our testimony lines 9 to 12, we stated we agree that bill impacts would be substantial if any dramatic changes in moving towards inclining blocks were made in this case at the company's revenue requirement.

Q. Thank you. Is the panel aware of

the theoretical reason for adopting inclining block rates or flattened block rates as compared to declining block rates?

A. Yes.

Q. Is it fair to say that the reason for adopting inclining block rates, setting aside the company's specific for scenarios that it's studied, but that the reason for adopting inclining block rates is to send price signals to customers to encourage them to conserve?

A. We would assume that inclining blocks would be used to promote conservation.

Q. Thank you. And if -- let me withdraw that for a moment. Is the panel aware of the Climate Leadership and Community Protection Act otherwise referred to as the C.L.C.P.A., the governor's 80 by 2050 goals and a whole series of other state policies towards conservation and reduction of greenhouse gas impact?

MR. GOODRICH: Objection. I mean, he asked if the panel is aware of a whole series of undefined things.

A.L.J. LEARY: I heard the law. Let's start with that.

MR. BERKLEY: Okay.

A.L.J. LEARY: Aware of the law and you can go from there, Mr. Berkley.

MR. BERKLEY: Thank you, Your Honor.

THE WITNESS: (McAdoo) We are aware of the law.

MR. BERKLEY: Thank you.

BY MR. BERKLEY: (Cont'g.)

Q. Is the panel aware of a state goal annunciated by the commission at one point and the governor called 80 by 2050?

A. We are aware.

Q. Thank you. Would the panel agree that it's fair to say that the state's goal and that is the state as a whole, as an entity, both the executive, the legislature, the administrative agencies have a goal of reducing the greenhouse gas impacts of among other things the energy business in New York?

A. Please rephrase the question.

Q. Sure. Would panel agree that the state goal for the energy sector is to reduce greenhouse gas impacts and also to promote conservation?

A. We believe those are some of the goals that have been laid forth by the state.

Q. Thank you. If -- if the state's goal were to promote conservation, energy efficiency and lower greenhouse gas output, why would a significant bill impact to a higher usage customer be unacceptable?

A. On page 44 lines 21 to 24 we state, our recommendations are reasonable because our rate design mitigates bill impacts while sending customers appropriate price signals to conserve natural gas.

Q. Thank you. You anticipated a question -- two questions down the line, but I'm happy to jump there for the moment.

BY MR. BERKLEY: (Cont'g.)

Q. Could the panel explain what appropriate means?

A. (McAdoo) We mean the price signals would be high enough that it would promote conservation amongst those customers.

Q. Thank you. I'll come back to that concept in a moment. This whole series of pages starting on 41 and going through the top of 45 or the

bottom of 44 are discussing the firm rate design. So the question I have is, were the panel's recommendations that it talks about at some length in these four pages based on knowledge of the gas moratorium imposed by the company in May of 2019?

A. The recommendations are based on the capacity constraint and the company's down state service territories.

Q. Thank you. Would a stronger price signal be more likely to induce higher conservation than a weaker price signal?

A. We would assume a stronger price signal would induce conserve -- more conservation, but we would like to add that we would like to gradually make changes, so there is no rate shock to any certain customers.

Q. Thank you. Does the panel maintain that position despite the affect upon some -- fairly large number of customers by the companies moratorium? Well, let me -- let me rephrase that. The panel stated that it made its recommendations and knowledge of the capacity constraints in the system. Wouldn't one of the panel's recommendations be therefore to send stronger price signals to lower

usage where possible to make the capacity constraints less of a concern in the company's service territory?

A. Could you please rephrase that?

Q. Thanks, I'll try and do it slightly differently. The panel stated that it was aware of capacity constraints in the companies', plural, service territories and the comp -- and the panel also stated that a stronger price signal would potentially lead to more conservation. My question is, why did the panel decide to advocate for a weaker price signal rather than a stronger one knowing of the company's capacity problems?

MR. GOODRICH: Objection. To characterize the panel's price signal as weaker rather than a stronger one, there's -- without identifying what stronger price signal -- specifically could even be recommended in this case.

A.L.J. LEARY: I thought this started with referring to some testimony about the inclining blocks and their use to incentivize conservation, right? So I think that's in their testimony, Mr. Berkley. Is that right?

MR. BERKLEY: That's correct, Your Honor.

A.L.J. LEARY: So I think that the distinction was drawn between the -- the position that the panel took -- at least this is what I'm hearing. The position the panel took versus what I'll call more aggressive price signal, so I'm -- I'm not sure why, along this line of questioning, what your objection is.

MR. GOODRICH: So I mean a rate case deals with actual proposals and recommendations and if Mr. Berkley would like to point to a proposal that actually advocates from -- from him -- from PULP or from another party for more aggressive change to the block structure and say why -- why your staffs recommend a block structure compared to that other party's block structure. That's one thing, but simply to say shouldn't we do something more aggressively in general, generically it -- it -- there's no proposal.

A.L.J. LEARY: I'm sorry. I thought that there was in this panel's testimony but let me just sustain the objection and let Mr. Berkley address this. I'm not suggesting he has to present some other proposal but giving the -- the panel the benefit of the comparison so weaker price signal

19-G-0309/19-G-0310 - 2-19-20 - Brooklyn Union Gas versus stronger price signal. So implicit in that I think is that their proposal is weaker than something else, right, Mr. Berkley?

MR. BERKLEY: Yes, and I can compare the staff's proposal to the company's scenarios that are derived at through the studies where on Page 41 between Lines 7 and 17 the staff says we agree that the bill impacts, and this is referring to lines 1 through 4 above, sorry. We agree that the bill impacts would be substantial if any dramatic changes in moving towards inclining blocks were made in this case of the company's revenue requirement.

Due to staff's overall recommended revenue requirements, we recommend rate design changes that move towards flattening the blocks while sending customers a price signal to reduce gas usage and I had asked the panel what was the purpose of sending price signals, what was the purpose of inclining block rates and flattening block rates. So I think I laid some foundation for that question, Your Honor.

A.L.J. LEARY: I agree, and I mean that's the way I understood it. So Mr. Goodrich, is there -- just given what Mr. Berkley identified on

Page 41, does that address your concern here?

MR. GOODRICH: Well, at --

A.L.J. LEARY: Flattening the blocks --

MR. GOODRICH: I --

A.L.J. LEARY: -- versus inclining blocks.

MR. GOODRICH: But I -- I could be mistaken, but I don't believe any party has actually advocated -- advocated or is advocating implementing the -- the company's -- the -- the scenarios the company ran in its study and then the company decided not to implement -- not to recommend which is --

A.L.J. LEARY: That's not Mr. Berkley's line of questioning. His line of questioning goes toward how do you send the price signal to customers to conserve. Do you send it by flattening the blocks or do you send it by inclining the blocks or somewhere in between. That's what I'm taking from this line of questioning.

So I'm going to overrule your objection and let Mr. Berkley proceed and I think the panel has been enlightened by this dialogue that we've had or colloquy, whatever you want to call it.

So I'm going to -- I'm going to ask Mr. Berkley to sort of go back and present a question to the panel.

MR. BERKLEY: Thank you, Your Honor.

BY MR. BERKLEY: (Cont'g.)

Q. On page 42 panel, between Lines 8 and 14 you state the rate design can be modified to more aggressively flattening the block rates and I admit I'm starting from the comma on line 8. You then say, this will send high usage customers a price signal to conserve gas without the same magnitude bill impacts for high users as shown in the company's inclining block rate study.

So I want to re-ask or ask a question that I think I asked perhaps infelicitously before which is why would the panel try and avoid high magnitude bill impacts for high users and my second question -- let's answer that one first if you don't mind.

A. There are many goals in rate design. Though we want to promote conservation, we also want to avoid rate shock.

Q. Thank you. Would one of the acceptable goals of rate design be to try and mitigate the effects of a system wide crisis such as

the company's 2019 moratorium and the expectation that based on the settlement order that we'll be right back in that same position 2 years from now?

A. Please rephrase the question.

Q. I went by it, let me see if I can recall without flipping back a -- a bunch of pages. Is it fair to say that one of the -- and I forgot the exact word you used, but one of the goals of rate design could be addressing or trying to mitigate problems such as that caused by -- I'm sorry, giving rise to the moratorium in the company service territory in 2019?

A. One of the goals we set forth was to help induce conservation which should help relieve the capacity constraints in the company's down state service territories.

Q. Thank you. And to return to the question, I believe that through Mr. Goodrich's objection. Could you explain why the panel chose to address that problem through a proposal of slightly flattening the blocks as opposed to an inclining block rate design?

MR. GOODRICH: So I'm going to object in that the panel -- this question has been asked of

the panel and the panel has answered they have pointed to their testimony where they -- they explained the balancing that they did. I think more than once now.

A.L.J. LEARY: I don't think so. I am very interested in the answer to this question myself given the foundation that Mr. Berkley has created here which not only deals with the moratorium, but also deals with the constraints and associated factors that I'm -- I'm assuming he takes the position more aggressive price signals would be better if I'm not mistaken. That's where I think you're going, Mr. Berkley.

MR. BERKLEY: You Honor, I wasn't making that value adjustment because the panel and the company seem to believe that more aggressive price signals create some problems. My question is very simply, would more aggressive price signals deal more appropriately or deal -- perhaps deal better with the crisis?

THE WITNESS: In general, we like to make gradual changes to avoid rate shock.

BY MR. BERKLEY: (Cont'g.)

Q. Thank you. I'll move on, I

think. On page 73 of your direct testimony between -- between lines 2 and 12 the question is asked, why should companies -- the companies perform a study to ensure customers are in the correct service class and the answer is, the average annual usage for KEDNY is 1,000 therms. The 20 highest use KEDNY customers ranged from 55,539 therms to 259,436 therms annual usage. And you state on lines 11 and 12, therefore we are concerned that the customers may not be in the correct class. Why is it a concern that customers may not be in the correct class?

A. We are concerned that the higher use customers in that class might not be paying the appropriate rates since they could be in the wrong service class.

Q. Thank you. So is it fair to say if customers were in the wrong class that they might distort the outcome of trying to create new rates?

A. What do you mean by distort?

Q. Let me give you a specific example. So if in the residential class, there was an average usage of -- I don't know, I'll come up with the number maybe 1,000 therms a year, just to use that number. And there were some non-average

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customers who were using 55,000 therms or a quarter million therms, if you were trying to create a -- a rate that properly charged the residential average customers, wouldn't having those very large customers in there distort your attempt to try and come up with a rate design that fits that class?

A. In Exhibit S.R.P.-2 on page 1 we provide the KEDNY rate codes which go over the usages for customers and what block they land in, so the use -- their final usage in that month. In that table you can see there are a lot of customers that land in the beginning, the middle and are higher use customers and the objective of rate design is to make sure we try to have somewhat equal impacts over this entire class. Although there will be -- there could be some higher use customers that do not belong in that class, they should not distort rate design.

Q. Thank you. Is it common for a class to contain users who are, you know, more than 200,000 times the usage amount of the average?

A.L.J. LEARY: Mr. Berkley, do you have reference in the record to that particular statement that there are actually customers in a rate class that are 200,000 times the average?

MR. BERKLEY: Your Honor, I'm still referring to lines 1 through 12 and I -- and I may be mistaken that they are all on the same class, but since staff had said that they were concerned that they might not be in the correct class, I was basing of that.

A.L.J. LEARY: I was actually -- Judge Costello just showed it to me in the testimony, but I was wondering in this panel's exhibits whether there was a particular exhibit that reflected -- I see them referring to D.P.S.-960, but I also see something in, I think it's S.R.P.-2 and S.R.P.-7. Is that what you -- I'm just trying to get some clarity on -- on what the backup information is here beyond the testimony.

THE WITNESS: That is correct.

A.L.J. LEARY: S.R.P.-2 --

THE WITNESS: It is --

A.L.J. LEARY: -- and 7?

THE WITNESS: There are bill frequency data in S.R.P.-2 and the average usage is laid forth in the bill impacts in S.R.P.-7.

A.L.J. LEARY: And in S.R.P.7 that -- the line that goes through the -- at a parti -- at a particular point where therms are used, is that the

average? Is that a designation of the average?

THE WITNESS: Yes, that was a designation of the average usage.

A.L.J. LEARY: Thank you. You can go ahead, Mr. Berkley. That was helpful.

MR. BERKLEY: Thank you, Your Honor. Actually I have no further question for the panel. Thank you, Panel.

A.L.J. COSTELLO: KEDLI Utility Intervention Unit.

CROSS EXAMINATION

BY MS. O'HARE:

Q. Good afternoon, panel. This is Kathy O'Hare from the Utility Intervention Unit. I am referring to your direct testimony page 27, lines 18 through 21. I'll give you a moment to find the page.

A. Could you repeat the line numbers?

Q. Yes. It's page 27, lines 18 to 21.

A. We are there.

Q. Thank you. So on these lines, the panel states we use the results of the historic

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ECOS studies provided in response to I.R. D.P.S. 504 to guide our revenue allocation and rate design process, correct?

A. That is correct.

Q. Please confirm that the results of the historic ECOS studies provided in response to I.R. D.P.S. 504 did not change the results of the company's minimum system study which was used to classify a portion of distribution means of customer related.

A. Yes.

Q. Thank you. Just to clarify, it did not change the numbers provided in the company's minimum system?

A. What do you mean by numbers?

Q. The information provided in Hearing Exhibit 492, it's Page 19 -- 159 of 372.

MR. GOODRICH: Is that one of the pre-filed exhibits?

MS. O'HARE: Yes, it's S.R.P.-1

MR. GOODRICH: S.R.P.-1, okay.

MS. O'HARE: Page 159.

THE WITNESS: (McAdoo) The historic ECOS study did not have significantly different

results as compared to the pro forma study, as shown on page 8 of S.R.P.-1.

MS. O'HARE: Okay. Thank you. No further questions.

A.L.J. COSTELLO: Do you need a moment?

MR. GOODRICH: Yes, please, Your Honor. I would suggest 10 minutes.

A.L.J. COSTELLO: 10 minutes.

MR. CONWAY: Your Honors, I'm sorry to interrupt, this is Adam Conway from New York City. I just have some I.R. responses that I wanted to get on the record.

A.L.J. COSTELLO: Sure. Okay. We can do that first.

A.L.J. LEARY: With this panel?

MR. CONWAY: Yes.

A.L.J. LEARY: Okay.

MR. CONWAY: Yeah.

A.L.J. LEARY: Let's do that, when we're still on the record we'll do that.

A.L.J. COSTELLO: Thank you.

MR. CONWAY: 644.

A.L.J. COSTELLO: We're going to mark

this as -- for identification as Exhibit 644.

CROSS EXAMINATION

BY MR. CONWAY:

Q. And just quickly panel, I've just handed you a 17 page document that has 10 I.R.s that are interrogatory responses that were asked by the City of New York to the Staff Rates Panel. Can you just let me know when you've had a minute to look through these?

A. We have reviewed the I.R. responses.

Q. Okay. Great. And were these prepared by the panel or under the panel's supervision?

A. Yes.

Q. And the I.R. response that's contained in this Exhibit 654 true and accurate copies of the -- of your panel's responses.

A. They are.

MR. CONWAY: No further questions.

MR. GOODRICH: I'm sorry. I thought I heard a different exhibit number. Is that Exhibit 6 --

A.L.J. COSTELLO: 644.

MR. GOODRICH: -- 44.

A.L.J. COSTELLO: Okay. And you want to -- we'll go off the record for 10 minutes. It's now 2:34.

(Off the record 2:34 p.m.)

(On the record 2:45 p.m.)

A.L.J. COSTELLO: Back on the record.

MR. GOODRICH: Hi, Your Honors, staff does have a few redirect questions.

A.L.J. COSTELLO: Okay.

REDIRECT EXAMINATION

BY MR. GOODRICH:

Q. Panel, when you're ready.

A. (McAdoo) We're ready.

Q. So earlier you were asked about the bill impact of the paperless billing credit. And I direct your attention to page 35 of your direct testimony. I believe it's line 6 to 8. If you could please clarify your answer.

A. Yes, on lines 6 to 8 it says the company's propose to change their credit from 49 cents to 44 cents, and from 35 cents to 41 cents for KEDLI.

Q. So earlier I believe you said the

increases were something like 44 cents and 41 cents. What are the actual changes in the rates and the bill -- what is the actual bill impact of the changes on a monthly basis?

A. There is a 5 cent decrease for KEDNY and a 6 cent increase for KEDLI.

Q. Earlier we spent a fair amount of time talking about high use customers and shifting blocks from -- from -- shifting the rate block structure around. What is the current -- could you briefly describe what the current rate block structure is for -- let's use residential customers as -- as example, heating customers I guess if there -- because there's two classes? So you just briefly describe the -- the block rate structure as it currently exists.

A. So in corrected Exhibit S.R.P.16 on the bill impacts, it shows the rate structure for the S.C.1B. residential heating class for KEDNY, which includes a minimum charge, a second block of about $1.14 and a tail block of 41 cents.

Q. So when you say second block of $1.14, is that $1.14 flat per something?

A. That is per therm.

Q. And the 41 cents is?

A. Also per therm.

Q. So would you describe that rate structure as inclining, declining or flat?

A. That is a declining structure.

Q. And so your proposal for S.C.1B. residential heating would be to bring it to -- toward a flat structure?

A. That is correct.

Q. So how would that compare between -- so what would that do to the tail block?

A. So essentially that would increase the tail block and decrease the mid block.

Q. So if you -- whether or not you believe that the end result, you know, hypothetically several cases down the line would be an inclining block rate structure or a flat block rate structure. Would your proposal move toward either of those goals -- would your proposal in this case move the -- the rate structure toward either of those goals?

A. The proposed rate structure would move towards both a flattening block structure and a inclining block structure.

Q. So we talked about high use

customers, do you -- are there high use customers who are also low income customers?

A. There are high use low income customers.

Q. Okay. And then we talked a bit about incenting customers to conserve natural gas. So how could a customer and let's stick with the heating class. How could a customer conserve natural gas?

A. A customer could potentially reduce the temperature on their thermostat, which only would go so long, or they could replace their heating equipment using one of the energy efficiency programs.

Q. And can a customer -- if a customer were faced with a dramatic bill increase, if we were to go immediately to an inclining block rate structure, could a -- could that customer necessarily move to replace its heating equipment immediately or very quickly?

A. We don't believe a customer could quickly replace their heating equipment as there could be permitting delays, there -- they'd have to plan out the replacement of their equipment, and it's

possible that they might not have the money on hand to replace that equipment immediately.

Q. So in other words, even though the price signal could be felt immediately, is it fair to say that -- that responding to the price signal in the most effective manner may take some amount of time?

A. That is true.

MR. GOODRICH: No further questions, Your Honor.

A.L.J. COSTELLO: Okay. Mr. Maloney.

MR. MALONEY: No redirect, Your Honor.

A.L.J. COSTELLO: Okay. And we have Mr. -- any -- yeah, Mr. Berkley any questions.

MR. BERKLEY: Yes, I would like to ask a few more questions.

RE-CROSS EXAMINATION

BY MR. BERKLEY:

Q. Panel, how did you -- I am sorry. How did you identify these high usage low income customers to which you just testified of the existence?

A. (McAdoo) So in Exhibit S.R.P.-2, there is bill frequency data. It shows the -- the

usages and the customers and who lands in what usage blocks. And in the Excel file, it has the individual rate codes listed. And one of those rate codes is the low income rate code. As in the Excel file, you can -- the exhibit I'm sorry, there are rate codes 80, 85, 380 and 3 -- 385. If you go into the Excel file, you can see the low income usages in which you can see that there are higher use low income customers.

Q. And when you refer to higher use low income customers, how high is the higher use, is it the quarter million therms or the 25,000 therms you were referring to in your testimony?

A. Not that high usage, but significantly higher than the average usage for that class.

Q. Thank you. Would it be possible to design rates that would take into account and for my purposes, I'll call those outliers, that would take into account these high usage low income households, such that they wouldn't be harmed by a rate structure that was promoting conservation?

A. We're not aware of a rate design option where you could promote conservation through

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increasing the tail block that would not harm higher use low income customers.

Q. Thank you. If unlike the company's examples and its 4 scenarios, the minimum charge was lowered, would that do something towards mitigating any harms on high usage low income customers?

A. That would actually increase the harm to higher use low income customers as it would put more money into the tail block.

Q. Thank you.

MR. BERKLEY: I think nothing further, Your Honors.

A.L.J. COSTELLO: Thank you. U.I.U. any further questions?

MS. O'HARE: No, Your Honor.

A.L.J. COSTELLO: Nothing. Okay. Any further redirect?

MR. GOODRICH: No, Your Honors.

A.L.J. COSTELLO: Okay. Panel, we thank you for your testimony and you are excused. And we can go off the record.

(Off the record; 2:59 p.m.)

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STATE OF NEW YORK

I, KAYLA ALLEN, do hereby certify that the foregoing was reported by me, in the cause, at the time and place, as stated in the caption hereto, at Page 1 hereof; that the foregoing typewritten transcription consisting of pages 1 through 3261, is a true record of all proceedings had at the hearing.

IN WITNESS WHEREOF, I have hereunto subscribed my name, this the 26th day of February, 2020.

Kayla Allen, Reporter